

Cliff Notes: conflict in the Middle East to cast a long shadow

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By [Elliot Clarke](#) & [Ryan Wells](#)

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Key insights from the week that was.



The first detailed look at the mindset of Australian consumers and businesses amidst the Middle East conflict proved sobering. Our [Westpac-MI Consumer Sentiment Index](#) posted its largest fall since COVID-19, down 12.5% to a deeply pessimistic reading of 80.1. The impact from the surge in fuel prices was acute, leading to a more pronounced deterioration in the sub-indexes tracking current conditions – namely ‘family finances vs a year ago’ (–16.7%) and ‘time to buy a major household item’

(−15.0%). There were also significant hits to the year-ahead outlook for family finances (−13.9%) and the economy (−12.4%), suggesting households are bracing for enduring pressure.

The tone of the March NAB business survey was no better, business confidence collapsing 29pts from a neutral reading in February. This came alongside a notable lift in purchase cost pressures, up 1.7ppts to a quarterly pace of 3.0%. That final producer prices lifted +0.4ppts emphasises the rapid pass-through of surging fuel costs, but also that businesses are currently absorbing most of the increase in costs via margins, impacting profitability. Note though, the readings for current trading conditions and employment were positive, enabling business conditions to hold around its long-run average. This suggests the underlying health of the economy can be maintained if risks subside quickly.

This week we also received the March Labour Force Survey. It showed the Australian labour market was in good health prior to the Middle East conflict and the RBA's most recent rate hike. Employment growth continued to strengthen from its trough in March, from 1.0%yr to 1.5%yr on a three-month average basis, reflecting the economy's momentum through the second half of 2025 and into 2026. The unemployment rate has also held at 4.3% over the past two months, a similar level to the second half of last year. It now looks increasingly like the 4.1% prints at the turn of the year were due to temporary weakness in participation, not a sustained re-tightening.

However, given the hit to business confidence and the expectation of further policy tightening, the Middle East conflict looks set to cast a long shadow over the labour market. We expect a combination of lower average hours worked and slower employment growth, seeing the unemployment rate lift to 5.0% in early 2027. Tracking industries most exposed to the fuel shock will provide an initial take on the scale of the impact. Manufacturing, construction, transport/logistics and travel/tourism are the sectors to watch.

Offshore, an abrupt end to the first round of in-person talks between the US and Iran and the US' Navy's subsequent blockade of Iranian ports and associated vessels was the main point of conversation for markets this week. The market's take has been sanguine, the price of Brent oil retreating below US\$100 and global equities rallying back to historic highs during the week. Comments made by both sides imply negotiations are ongoing and another round of in-person talks will occur before the two-week ceasefire ends in coming days. There is also the option to extend the ceasefire, if necessary.

Effectively cut off from global shipping, Iran's need for a deal is clear. But arguably this is also the case for the US economy, University of Michigan consumer sentiment falling to a record low this week, 43% below the average of the survey since 1978. Price pressures are currently limited to first-order effects, headline CPI inflation printing at 0.9% against a core reading of just 0.2% in March; but, should the conflict persist, it is highly likely second-round effects will permeate through the US economy, materially increasing the likelihood of inflation holding well above target and term interest rates trending higher. FOMC members who spoke this week all showed confidence in the underlying health of the US economy but also concern over the potential for an lasting imbalance between growth and inflation.

In contrast, China's economy showed strength this week, annual GDP growth accelerated from 4.5%yr in Q4 2025 to 5.0%yr in Q1, matching the full-year outcome for 2025. From the monthly partial data,

China's Q1 momentum was principally due to the strength of exporters and associated investment, both of which are likely to receive a lasting boost from increased demand for green technology given the Middle East's impact on energy prices and supply. There is reason for guarded optimism over the outlook for property investment as well, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years would provide a material boost to aggregate growth through 2026.

External demand and investment's support for GDP masks the still-troubled state of consumer demand, however. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment. Without broadening the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years, even with a significant benefit from global demand for green technology.

A full update of our expectations and assessment of risks for the global economy and markets will be made available today in the April edition of Market Outlook on [Westpac IQ](#).

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By [Luka Belobrajdic](#)
Economist, Westpac

08:05 April 16 2026

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Today's economic developments and market movements.



 Morning Report PDF (PDF 268KB)

Key themes:

- Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.
- US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.
- Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.
- FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.
- Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

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By [Luka Belobrajdic](#)
Economist, Westpac

08:05 April 16 2026

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Key themes:

- Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.
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Economist, Westpac

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Hormuz hit CPI & core inflation: the magnitude of the shock has significant implications

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By Justin Smirk

Senior Economist, Westpac

15:10 April 10 2026

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A crude shock, surcharges may change expectations.



Read full report 'Inflation outlook' (PDF 1MB)

- The Iran conflict is the largest energy shock since the oil crises of the 1970s/80s. For more details on the scenario underpinning these projections please refer to [Middle East Crisis Update](#).
- Westpac is forecasting a 1.5%qtr/4.2%yr gain in the March quarter CPI. The Trimmed Mean is forecast to lift 0.9%qtr/3.5%yr.
- Headline inflation is now peaking at 5.4%yr in the June quarter before easing back to 4.6%yr by end 2026.
- Core inflation peaks around 4%yr in the second half of 2026 and does not return to 3%yr till the end of 2027.
- The monthly CPI to rise 1.3% in March and April with the annual pace peaking at 5.8%yr in May.
- The Trimmed Mean is set to rise 0.2% in March followed by 0.5% increase in April; the annual pace peaks around 4%yr in June and holds this pace till year end.
- Pass-through to construction inputs has been reported by Tradelinks to be greater than usual.

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On hoping you'll be wrong

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By Luci Ellis

Chief Economist Westpac Group, Westpac

08:25 April 10 2026

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Forecasts are an assessment of the most likely outcome, not the preferred one. The ceasefire announcement was welcome, but whether it holds is highly uncertain.



- The economy does not care about your feelings, so forecasts must reflect what you think is the most likely outcome, not necessarily what you wish would happen. This distinction is especially salient

now. The outright fall in global fuel supply has different implications than other recent supply shocks, and the outlook for Australia and the world is rough.

- The ceasefire announced this week was obviously welcome, but the question is whether the Strait of Hormuz opens properly. The first 24 hours after the announcement were not promising. But if it does, that would be a better outcome than the baseline forecast update we released last week. We would be happy if our baseline forecast was wrong for this reason.
- The key issue for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

The thing about forecasting is that your preferences do not matter. A baseline scenario is simply what you think is most likely. It is not necessarily what you wish would happen. And of course things could play out differently. It is the role of scenario and risk-sensitivity analysis to articulate these other possible future states of the world.

The disconnect between what you hope will happen and what you think will actually happen is especially salient now. The near-term outlook for Australia is tough: higher inflation, with consumers again squeezed by some combination of higher interest rates, lower income growth and higher unemployment. Things are even worse for many other countries. Australia has been able to leverage its LNG exports to ensure we have – so far – not been left short of other fuels. Many lower-income countries do not have this advantage and have been facing the prospect of shortages and rationing; some of our neighbours in the Pacific are particularly hard-hit.

The economic shock from the Gulf conflict centres on global oil and gas supply. It is different from COVID, when the disruptions were all the way down supply chains. It also differs from the energy shock following Russia's invasion of Ukraine, where the Russian oil and gas supply did not disappear, it just needed time to be redistributed to non-European nations willing to buy it despite the sanctions; the peak decline in its oil output was estimated to be around 3 million barrels per day, but the disruption faded quickly. This time around, the oil and gas are not getting out of the Persian Gulf. Some production has been redirected through Saudi pipelines to other ports, but not all of it. Current estimates are that the net reduction of global production has been 8–9 million barrels per day for oil and one-fifth of pre-war global supply for gas. And at the same time, Russia's output capacity has been reduced by successful Ukrainian attacks on Russian oil infrastructure; news reports suggest this has cut global output by a further 0.7–1 million barrels per day.

The effect on prices from such a cut to capacity was always going to be severe.

News this week that a two-week ceasefire had been agreed was obviously welcome. Assuming it holds well enough to reopen the Strait of Hormuz properly – a big if given the attacks in the 24 hours following its announcement – it would be a better outcome than the baseline update we released last week, and one of the “risks on both sides” we contemplated when we released it. A lasting ceasefire and faster opening up of the Strait would put energy prices on a trajectory between the one we contemplated in last week's baseline, and the one underpinning the forecasts in the March Market

Outlook. A return to pre-war prices is unlikely in the short term, though, given the damage to oil and gas infrastructure in the Gulf states and in Russia.

Even if the ceasefire holds well enough that the Strait stays open, a key watchpoint is whether ships enter the Gulf during the next two weeks, not just whether those previously stuck there leave. If ships do not enter, the next wave of production will not be able to be shipped. Supply will sag again a few weeks later and prices will rebound, especially for refined product.

If the ceasefire does not hold, the reprieve on fuel supply will be brief. Trust between the parties is low and Iranian control of the Strait – even jointly with Oman – is an unstable equilibrium that is unacceptable to much of the rest of the world. Even if the ceasefire gets back on track after its rocky start, flare-ups later in the year cannot be ruled out.

The real question for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. On this there is less cause for optimism. While ‘temporary fuel levies’ are easier to unwind as fuel prices decline, for many products, list prices have been lifted significantly and a reversal seems less likely. Building materials are a particular issue, with the cost of building a detached home increasing as much as 10%, on our preliminary estimates. The lift in pricing has been widespread across industries and in some cases quite large relative to overall inflation trends. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

Our next forecast round, scheduled for release next week, will contemplate both the case where traffic through the Strait remains disrupted and one where the ceasefire holds.

If the ceasefire does hold, downside risks to growth diminish and inflation risks ease. Because of the downstream pass-through to other prices we are already seeing, though, the inflation risks do not disappear and the RBA is still likely to raise the cash rate further. Still, it would be a better outcome than our current published baseline. This would be one of the instances where we would be quite happy to be wrong.

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April 17 2026 • ⌚ 8 mins

By Luci Ellis



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By [Luka Belobrajdic](#)
Economist, Westpac

08:05 April 16 2026

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Today's economic developments and market movements.



 [Morning Report PDF \(PDF 268KB\)](#)

Key themes:

- Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.
- US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.
- Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.
- FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.
- Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

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Australia's Trade in Goods Account, February

#trade

#australia



By Mantas Vanagas

Senior Economist, Westpac

15:15 April 02 2026

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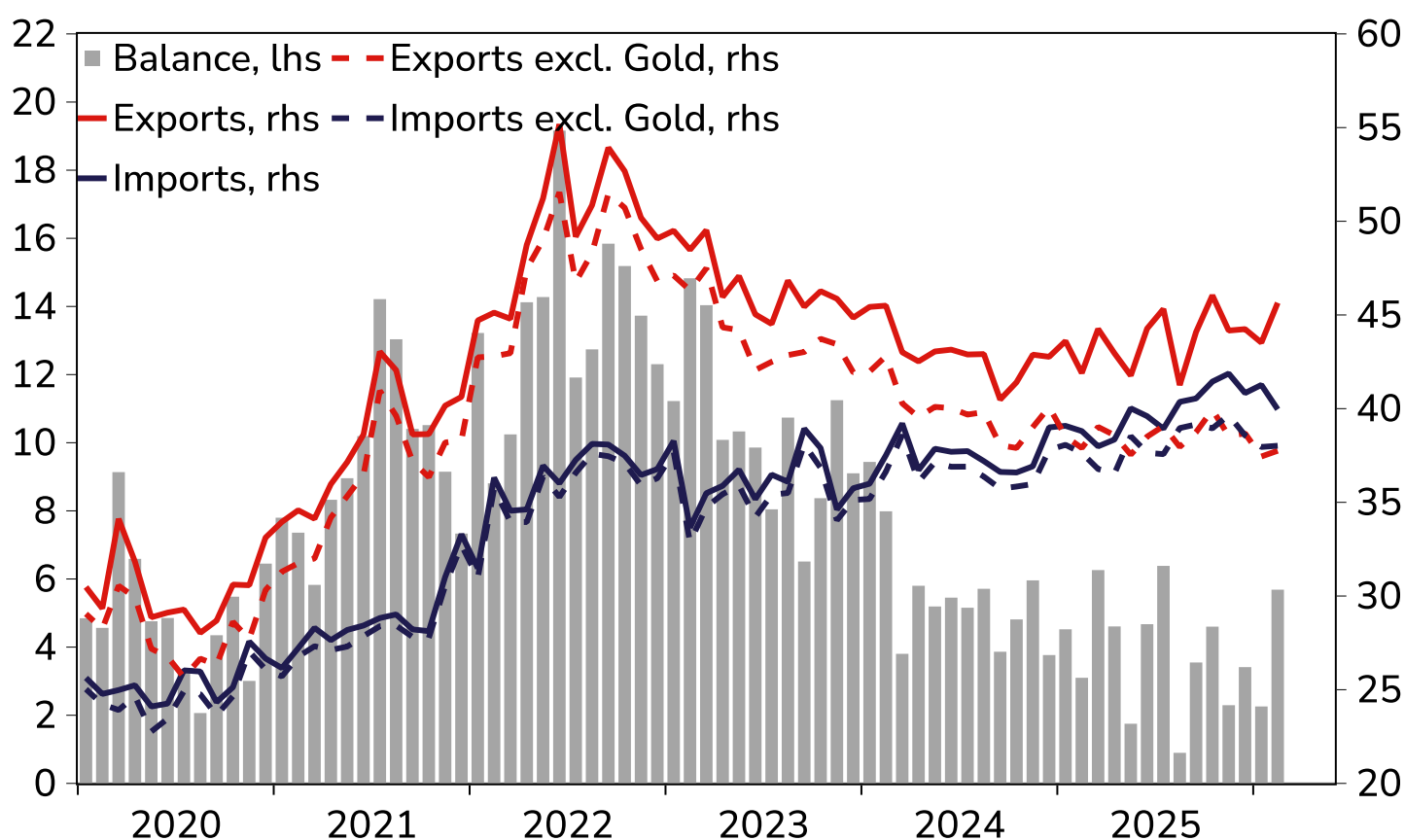
Sharp shifts in gold flows led to Australia's goods trade surplus widening in February. The impacts of the conflict in the Middle East, including on commodity prices, are likely to see volatility in monthly trade flows increase in March and beyond. Trade balance: \$5.7bn. Export values: up 4.9%_{mt}. Import values: down 3.9%_{mt}.



After a period of more stability recently, monthly trade figures saw volatility return, with the headline goods trade surplus jumping from \$2.3bn to \$5.7bn, marking the highest level in seven months. Significant fluctuations in gold inflows and outflows were the primary driver. Excluding gold, the goods trade balance remained close to zero. Importantly, this data predates the outbreak of the conflict in the Middle East, suggesting greater volatility in trade flows is likely as these impacts flow through in coming months. The sharp appreciation of the AUD – in trade-weighted terms up more than 3% in February – had minimal impact on trade flows.

Goods Trade Balance

Value, \$bn



Source: ABS, Macrobond, Westpac Economics

Exports

Export earnings surged nearly 5%*mt*. Gold exports reached a new record high and were almost entirely responsible for the increase. Most of this increase was likely driven by higher prices rather than volumes – this is consistent with our view that gold prices will deliver the federal budget a significant and underappreciated windfall ([see here](#)). Excluding gold, exports were up just 0.8%*mt*, remaining below last year's peak following sharp declines in January and November.

Major commodity exports fell 3.7%*mt*, led by decreases in iron ore and LNG shipments. ABS data show that exports of both iron ore and LNG fell in both volume and price terms. Production and shipment disruptions caused by Tropical Cyclone Mitchell, which impacted the Pilbara coastline, were partly responsible for the soft outcome during the month. Coal exports, by contrast, were broadly unchanged.

Rural goods exports surprised on the upside, rising almost 14%^{mt} – the steepest increase in over a year – offsetting the previous month's decline. Meat exports jumped by more than a quarter, suggesting that January's drop was likely a temporary retraction. We think that risks for meat exports remain skewed to the downside due to expected supply weakness, but such effects are likely to materialise more in the medium term.

By country, exports to major trading partners remained relatively stable. Hong Kong was an exception – exports there tripled due to a surge in gold shipments. Exports to the US showed little change, though larger shifts may occur in coming months, following the US Supreme Court's decision to rule previous tariffs under the IEEPA act illegal and subsequent adjustments to US import tariffs.

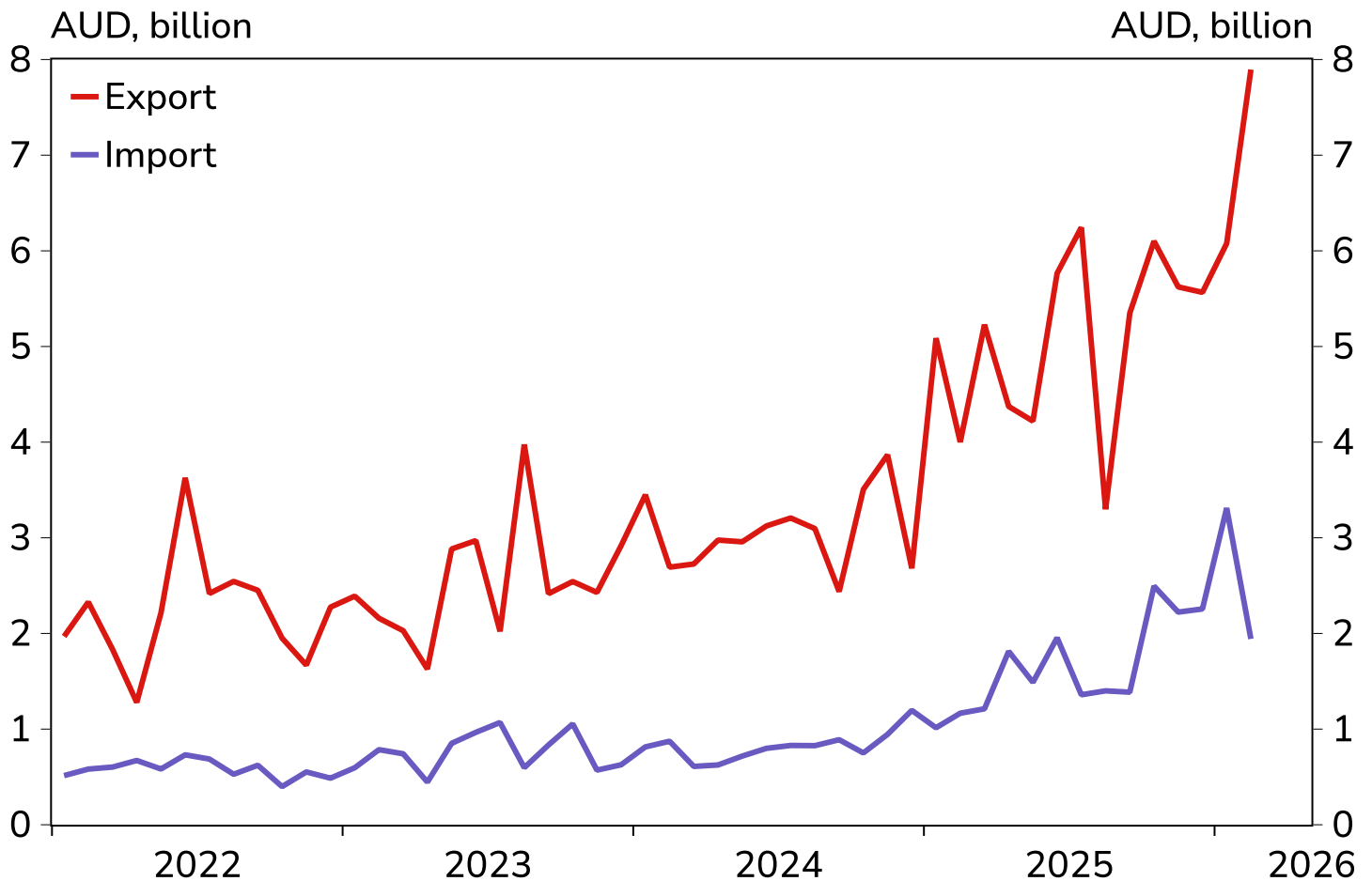
Imports

The import bill declined by 3.2%^{mt}. Similar to exports, gold – which dropped over 40% – played a significant role. Excluding gold, imports were almost unchanged. Nonetheless, major import categories experienced considerable swings.

Consumption goods imports rose 3.4%^{mt}, reversing a similar decline in January, with food and household electronics leading the way. Intermediate goods imports also strengthened notably, up 3.1%^{mt}. Capital goods imports fell 8.1%^{mt} – volatility seen in recent months for data processing equipment and aircraft imports was again the main driver.

Looking past the monthly volatility, imports for January–February were nearly 2% lower compared to Q4, with all three major components reporting declines. Price effects may have contributed, but following the significant jump in Q4, this suggests that domestic demand may have softened at the start of the year.

Gold trade flows (values)



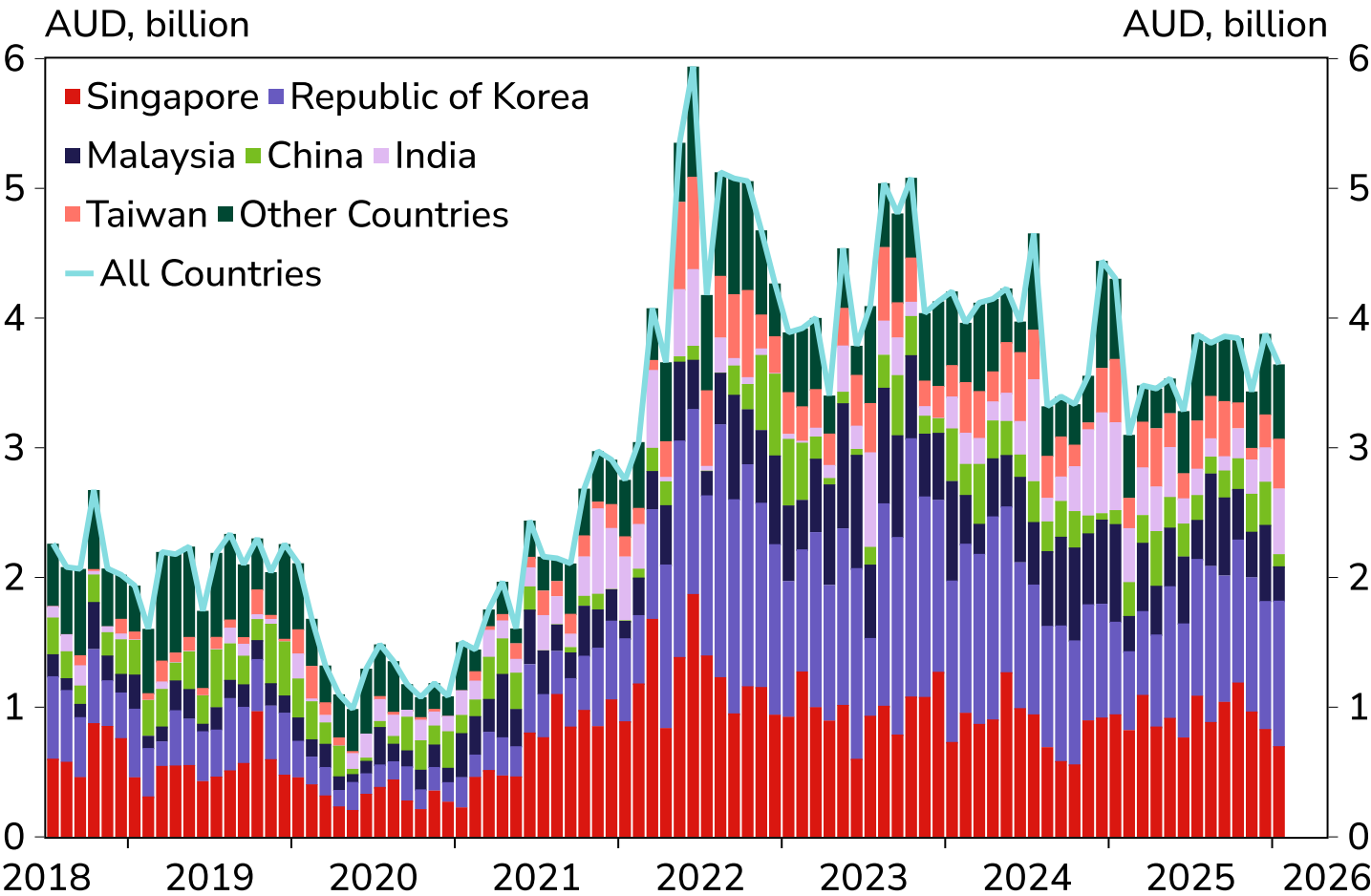
Source: ABS, Macrobond, Westpac Economics

Trade in the coming months

Over the coming months, monthly trade data will likely be shaped by the ongoing conflict in the Middle East. Price effects are expected to dominate, with the LNG (Japan/Korea benchmark) 80% higher since the end of February, and coal and iron ore prices also up significantly.

Beyond price movements, we might also see impact to trade volumes. Australia's direct trade with Middle Eastern countries is small representing around \$1bn in exports and around \$0.5bn in imports per month. However, indirect impacts via supply chain disruptions could be substantial. For instance, most refined oil products in Australia are sourced from Asian countries, which in turn import crude oil from the Middle East. Oil accounts for roughly 11% of total goods imports, and a sharp drop could significantly affect the economy, especially if certain regions begin to experience fuel shortages.

Australia imports - refined petroleum (monthly values)



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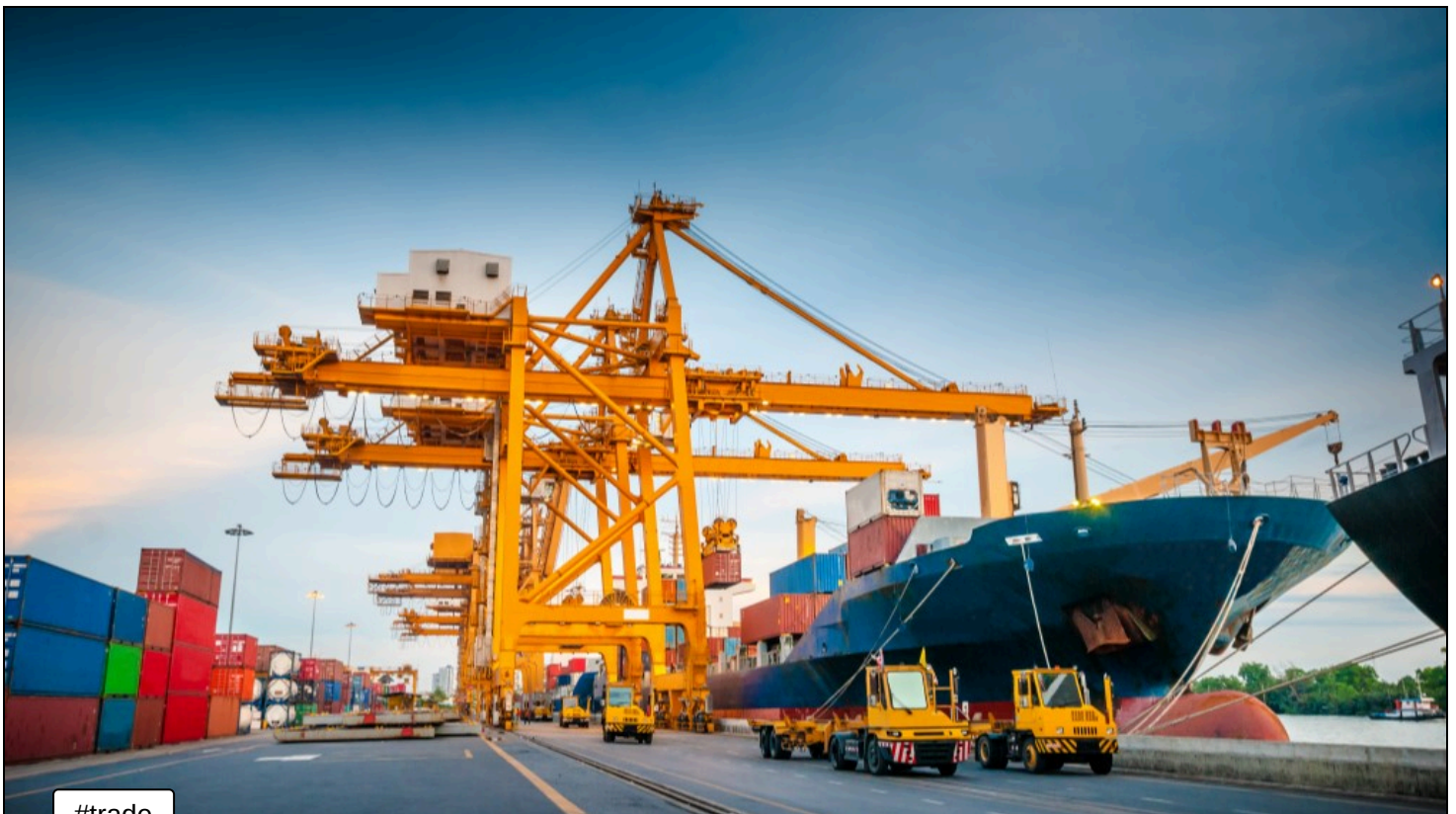


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By Mantas Vanagas

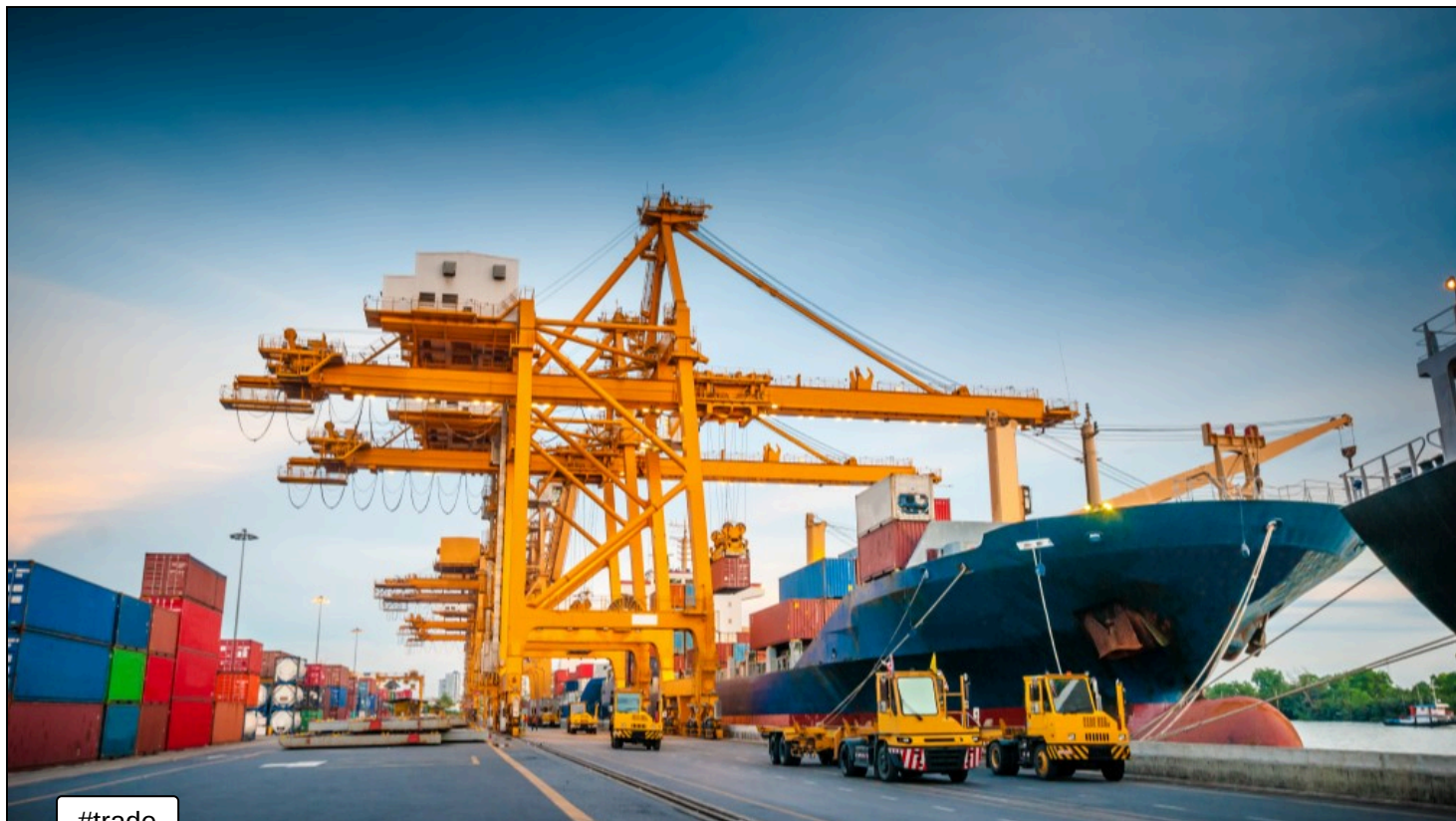


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By [Luka Belobrajdic](#)
Economist, Westpac

08:05 April 16 2026

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- Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.
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By [Luka Belobrajdic](#)
Economist, Westpac

08:05 April 16 2026

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Today's economic developments and market movements.



 [Morning Report PDF \(PDF 268KB\)](#)

Key themes:

- Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.
- US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.
- Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.
- FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.
- Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

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17 April 2026

WESTPAC NOWCAST Q1 2026: SECOND ESTIMATE

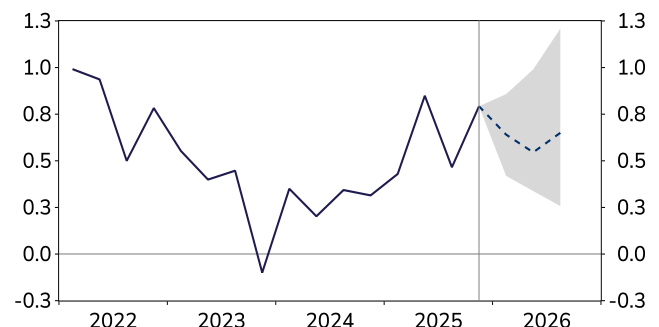
The cyclical upswing is maturing

Key points

- Consistent with our [first estimate](#), Westpac Now points to GDP growth of around 0.6%qtr in Q1 2026 (range: 0.55–0.75%qtr), lifting year ended growth to 2.8%yr.
- Our monthly activity index edged lower in March after moving sideways through January and February. Overall, activity was flat across the March quarter, ending an upswing that began in May 2025 even before the recent tightening in monetary policy could take effect.
- Recent sharp falls in [consumer](#) and [business confidence](#) were largely 'looked through'; our framework would take more signal from a sustained drop.
- While growth appear to have remained resilient in Q1, a prolonged Middle East conflict increases the risk that weak confidence spills over into a broader set of indicators (many of which have already softened), exacerbating supply chain dislocations and lower real incomes.

Quarterly GDP Growth*

Quarterly % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics
*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q1 2026) relies on the actual Westpac monthly activity index to March 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

- Our framework suggests growth will ease to around 0.5%qtr in Q2, before returning to 0.6%qtr in Q3 2026, but these estimates by design do not allow for the wider effect of the conflict and differ from our actual GDP forecasts.
- Westpac Now updates are released monthly, with details in Appendix A.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

The Upswing Is Maturing, Even Before Rate Hikes Bite



Pat Bustamante
Senior Economist

In November 2025, we introduced [Westpac-Now](#), a real time measure of current activity in the Australian economy. Westpac-Now draws on more than 60 high frequency economic and financial variables, using advanced statistical techniques to provide a timely pulse check on economic momentum. It is the first Australian model to incorporate internal banking data, enhancing its predictive power.

This note provides the second estimate of growth for the March quarter 2026, using domestic and international data released up to and including the March Labour Force Survey (released 16 April 2026). Future updates will be published monthly (see Appendix A for the release schedule).

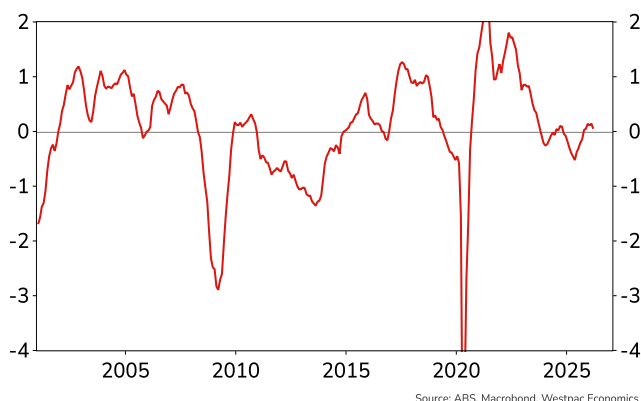
Monthly activity index declines over March

Our monthly activity index edged lower in March after moving sideways through January and February. Overall, activity was flat across the March quarter, ending a steady upswing that began in May 2025 even before the recent tightening in monetary policy could take effect. The monthly activity index is now sitting around the levels recorded in September 2025.

Importantly, there is greater than usual uncertainty around the monthly activity estimate amid heightened inflationary pressures. Faster price growth can cause nominal indicators, such as consumer spending, to rise strongly even though 'real', inflation adjusted spending may be soft. The inclusion of 'real' indicators, such as employment and banking transaction volumes, helps manage some of this uncertainty but it remains higher than usual given above average inflationary pressures.

Westpac Monthly Activity Index

Index. Axis truncated for covid.



Confidence: More noise than signal for now

At this stage, our framework largely looks through the recent sharp falls in consumer and business confidence. Historically, these measures can be volatile, and other indicators have not yet moved in the same direction. In that sense, the decline in confidence is inconsistent with broader domestic economic conditions.

This interpretation is intuitive: the shock triggering the confidence response appears exogenous, or linked to the conflict in the Middle East, rather than arising from domestic economic fundamentals. As such, the declines are currently treated as large idiosyncratic shocks.

That assessment would change if the fall in confidence were sustained or if other high frequency indicators, such as banking transaction data, began to corroborate the signal. In that scenario, the model would revise its treatment and place greater weight on the information coming from confidence measures.

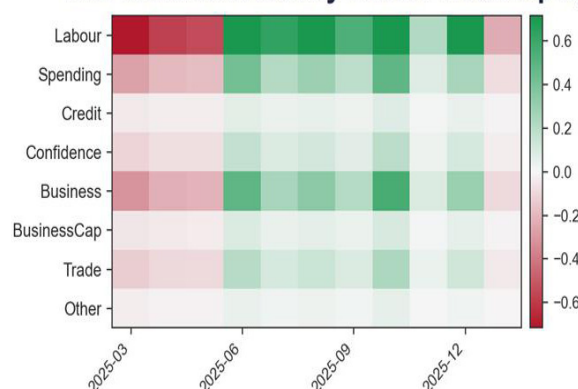
But there are risks with key indicators shifting to neutral

While growth remained resilient in Q1, the longer the Middle East conflict persists, the greater the risk that the weakness evident in confidence starts to show up in a broader set of indicators, such as investment and consumer spending.

Our indicator heatmap decomposes changes in the monthly activity index into group level contributions, allowing us to assess which components drove the recent moderation. For ease of interpretation, indicators are grouped into broad categories. For example, the labour market category includes both official ABS Labour Force Survey outcomes and more timely survey based measures of labour demand and job advertisements.

The heatmap shows that labour market conditions, consumer spending and credit growth lost momentum and shifted to neutral in March, after ending 2025 strongly.

The Common Activity Factor Heatmap by Groups



Westpac Now: Growth moderating even before the recent tightening in monetary policy take effects

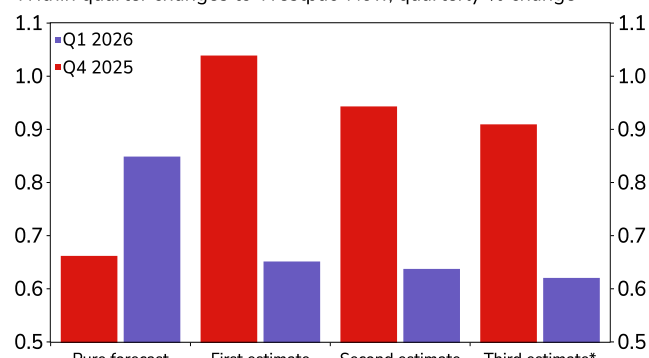
Recall that the Westpac-Now estimate is a more refined indicator that combines our monthly activity indicator using advanced econometric techniques to produce point estimates of GDP growth. As previously noted, the fit is not expected to be exact, as measured GDP includes components that are not well captured by other activity measures, such as imputed rents for owner occupiers, public and business inventories, and the depreciation of buildings and equipment. To bridge monthly and quarterly data, we employ a MIDAS framework, which allows us to combine mixed frequency data and incorporate partial information for the current quarter when producing GDP forecasts.

Based on our current forecast equations, the Westpac-Now Q1 2026 second estimate points to GDP growth of 0.6%qtr (range: 0.55–0.75% qtr), lifting year ended growth to 2.8% yr.

Projections further out, based on the indicator's internal dynamics, suggest growth will ease to 0.5%qtr in Q2, before returning to 0.6%qtr in Q3 2026. However, these projections should be treated as tentative, with heightened uncertainty given the reliance on projected inputs rather than realised data. The potential impact of the Middle East conflict implies that these forward projections are even more uncertain than usual.

Evolution of Westpac-Now

Within quarter changes to Westpac-Now, quarterly % change



Source: ABS, Macrobond, Westpac Economics

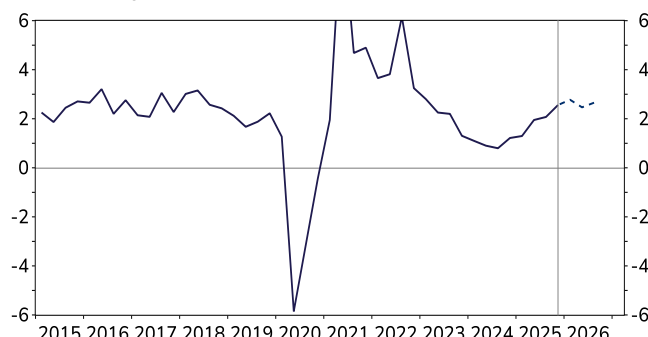
*Preliminary third estimate, to be updated when the full suite of monthly March data becomes available

Bottom line

Westpac Now points to moderating growth, with GDP tracking at around 0.6%qtr in Q1 2026. While recent sharp declines in confidence are currently being 'looked through', momentum has softened across key indicators, including labour market conditions, consumer spending and credit growth, even before the RBA's rate hikes took effect on the economy. Growth remains resilient for now, but a prolonged Middle East conflict raises the risk that weak confidence and supply chain disruptions reinforce each other, posing a more material downside risk over coming quarters.

Westpac-Now Estimates and Projections*

Year-ended % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics

*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q1 2026) relies on the actual Westpac monthly activity index to March 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

March quarter data signal a moderation in growth

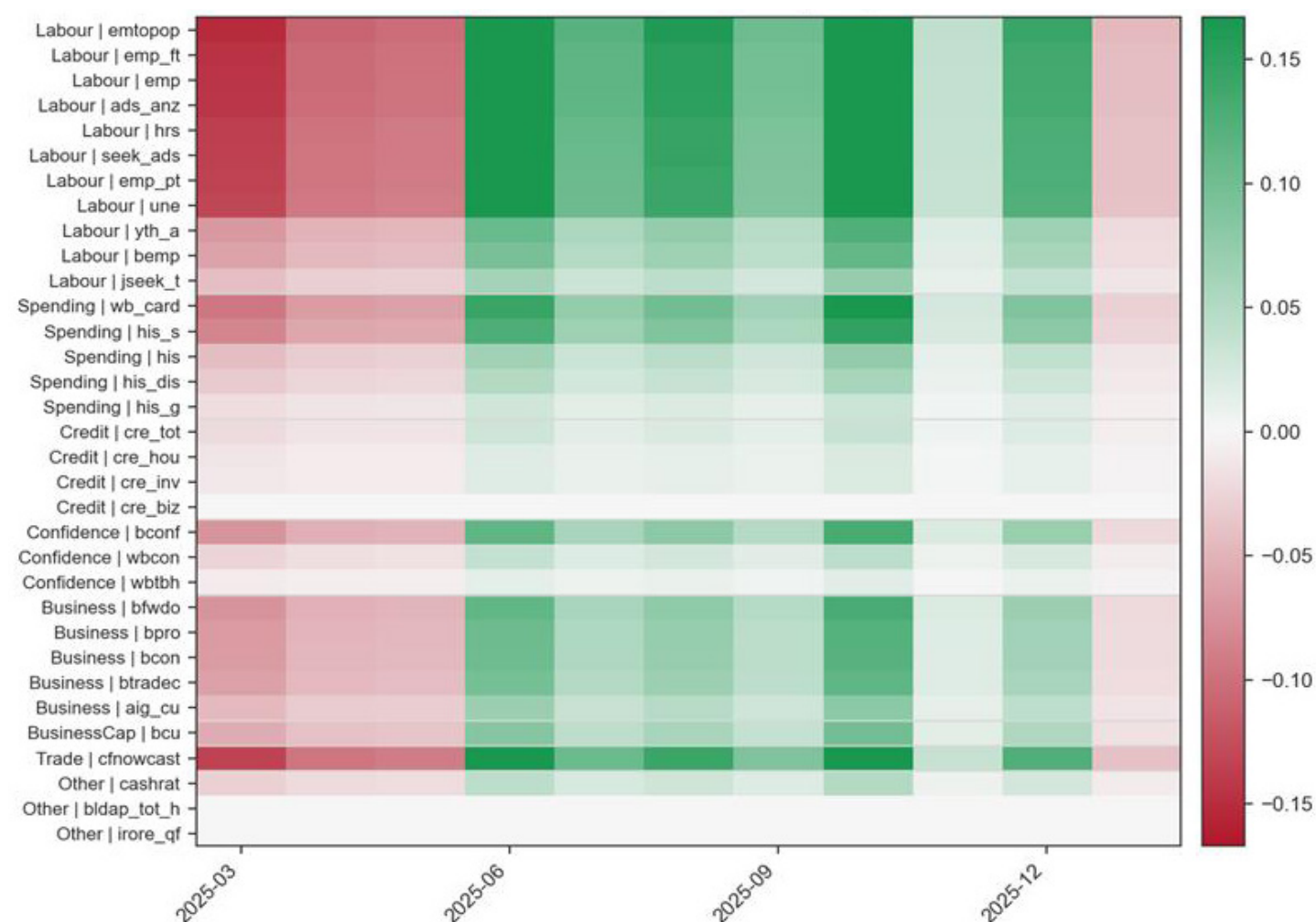
Data released over the March quarter point to growth moderating from the previous quarter. Once data released through the quarter are incorporated, our nowcast estimates Q1 growth at 0.6%qtr. This contrasts with the 0.8%qtr 'pure forecast' estimate that we obtain using only data available up to and including December. The pattern of softer estimates once actual data for the quarter begin to be included in the nowcast also contrasts with Q4 in that the nowcast for that quarter remained higher than the 'pure forecast' estimate as more data were included in successive estimates.

Appendix A: Westpac Now Release Schedule (2026)

Going forward, Westpac Now will be published on the Friday following each ABS Labour Force Survey (LFS) release, at 11:30am AEDT/AEST (Canberra time). Each release incorporates the latest labour market data alongside other high frequency indicators and provides an updated nowcast for quarterly GDP growth. As the quarter progresses, each update should be interpreted as a progressively more complete estimate of that quarter's economic performance.

Release date (Friday)	LFS reference month	Quarter focus	Interpretation
22 May 2026	April 2026	Q1 2026 – final estimate	Near complete read on Q1 activity
19 June 2026	May 2026	Q2 2026 – first estimate	Initial assessment of Q2 momentum
17 July 2026	June 2026	Q2 2026 – second estimate	Refined Q2 signal as activity data accumulate
21 August 2026	July 2026	Q2 2026 – final estimate	Near complete read on Q2 activity
18 September 2026	August 2026	Q3 2026 – first estimate	Initial assessment of Q3 momentum
16 October 2026	September 2026	Q3 2026 – second estimate	Refined Q3 signal as activity data accumulate
20 November 2026	October 2026	Q3 2026 – final estimate	Near complete read on Q3 activity
18 December 2026	November 2026	Q4 2026 – first estimate	Initial assessment of Q4 momentum

Appendix B: The common activity factor heatmap by indicators



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



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By [Luka Belobrajdic](#)
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- US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.
- Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.
- FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.
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By [Luka Belobrajdic](#)
Economist, Westpac

08:05 April 16 2026

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Today's economic developments and market movements.



 [Morning Report PDF \(PDF 268KB\)](#)

Key themes:

- Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.
- US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.
- Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.
- FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.
- Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

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Cliff Notes: ceasefire optimism to be tested

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By [Elliot Clarke](#), [Ryan Wells](#) & [Mantas Vanagas](#)

10:47 April 10 2026

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Key insights from the week that was.



Ahead of the worst of the current conflict, the [ABS' household spending indicator](#) gained 0.3% in February, in line with January's result and the trend pace of the past two years. Services continued to drive growth overall, aided in particular by holiday-related spending. Goods spending only managed a 0.1% gain, however, remaining weak.

Our Westpac-DataX Card Tracker suggests spending growth is likely to moderate in coming months as higher energy prices and weaker sentiment are felt, though a lasting end to hostilities could ease concern and see households look through some of the cost shock already in train. Geopolitical considerations are challenging for market participants to digest, let alone households and small business. For these individuals, in the fulness of time, pricing responses and time delays up and down the supply chain could prove as, or more, significant than the energy market dynamics currently being witnessed. Risks for the Australian consumer are therefore likely to linger.

In New Zealand, the RBNZ maintained the stance of policy as expected. However, our New Zealand team took the commentary to be hawkish, with a particular focus on second-round inflation pressures. The RBNZ's short-term inflation forecast is now 4.2%yr at June 2026, in line with Westpac NZ Economics' 4.1%yr projection. As a result, Westpac's expected timing for the first hike for the coming cycle has been brought forward from December to September 2026, with the risk of a further acceleration if evidence of second-round inflation impacts accumulates.

Further afield, the data flow was concentrated in the US and mixed in tone. Over the Easter long weekend, nonfarm payrolls rebounded 178k in March, bringing the three-month average back up to 68k compared to an average monthly outcome of -8k in the second half of 2025 and 10k over the full year. The unemployment rate was also consistent with labour supply and demand being in balance in March, edging back down to 4.3%. Note though, this outcome was due to a further decline in the participation rate (now down 0.7ppts since April 2025) rather than an increase in household survey employment.

The weak outcomes for employment through late-2025 look to increasingly be affecting household demand – indeed, the downward revision to Q4 GDP to just 0.5% annualised was in part due to sub-par consumption growth (1.9% annualised).

Since the turn of the year, momentum looks to have slowed further, with real personal consumption expenditure up just 0.1% in February after a flat January. With business investment soft and susceptible to downside risks (core goods order growth in Q1-to-date is less than a third of the pace registered in Q4), US Q1 GDP growth looks likely to maintain a pace well below trend, closer to Q4's third estimate than the 1.3% annualised pace currently projected by the Atlanta Fed's GDPNow nowcast. This is before the sentiment and cost of living shock emanating from the Middle East is felt.

The above outcomes are unlikely to materially alter FOMC member's baseline view and overall risk assessment. While the latest meeting minutes indicate "a vast majority of participants" see "risks to the employment side of the mandate... [as] skewed to the downside", the labour market is considered to be in good health overall. Active risk assessment is therefore likely to focus more on price uncertainty, both with respect to the initial jump in energy prices and second-round effects which, over time, could build greater persistence into the core inflation pulse. This is not to say that the FOMC will vote on hiking interest rates anytime soon, in contrast to the RBA and RBNZ, but it likely means debate over a need to cut further will be deferred for the foreseeable future.

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By [Luka Belobrajdic](#)
Economist, Westpac

08:05 April 16 2026

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- Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.
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By [Luka Belobrajdic](#)
Economist, Westpac

08:05 April 16 2026

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- Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.
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Economist, Westpac

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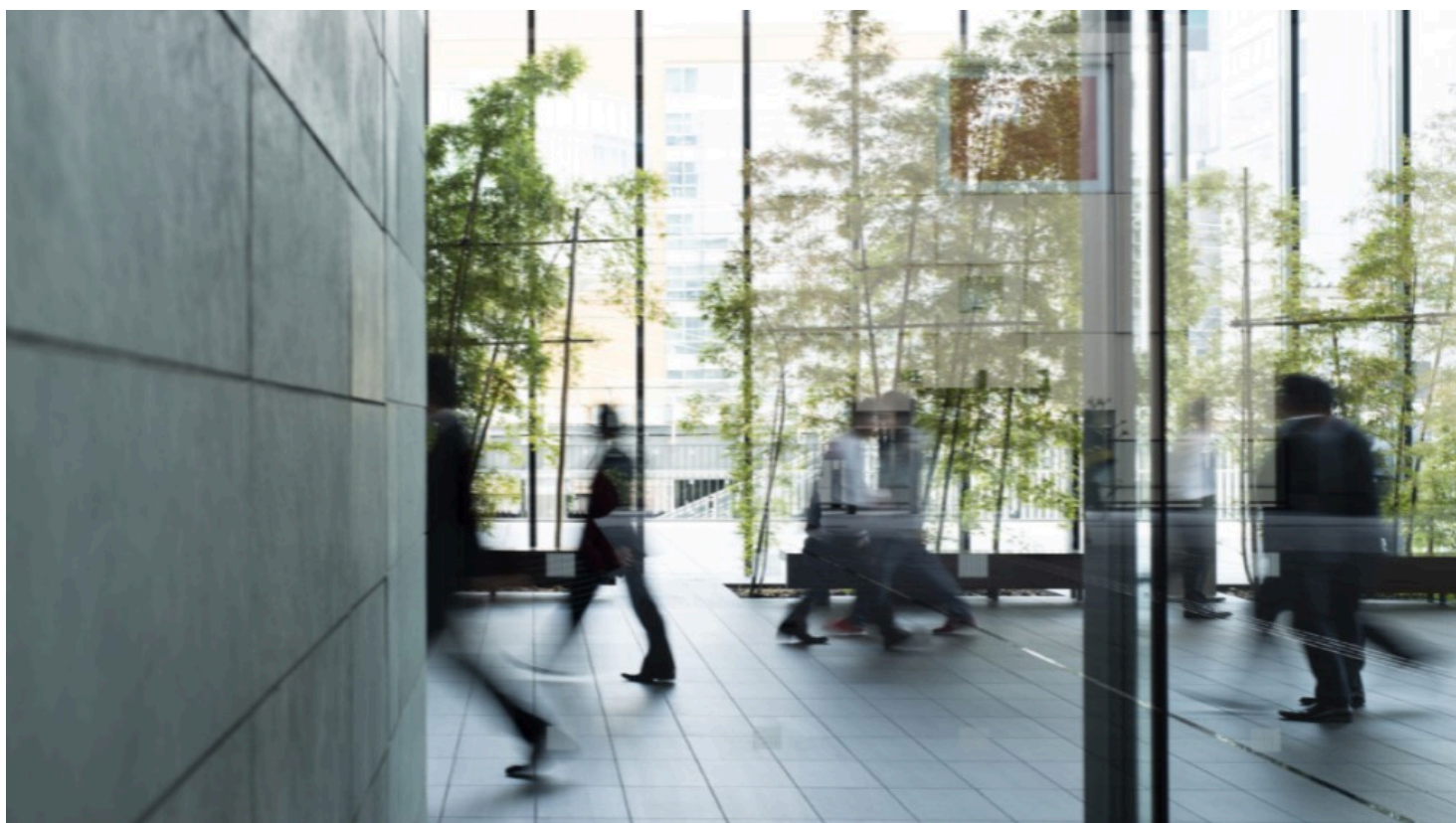
By Luci Ellis

Chief Economist Westpac Group, Westpac

11:05 April 17 2026

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Scenario analysis is essential in uncertain times, but it must be well-grounded, not just drawing an arbitrary line on a graph.



- You know times are uncertain when institutions start publishing scenarios alongside their normal forecasts. Two principles underlie good scenarios. First, the narrative underlying the scenario must hang together – no assuming people do things that are either individually irrational or infeasible.

Second, the scenario must allow people to respond to the initial shock – avoid just drawing a price line on a graph and assuming people cannot adjust their behaviour.

- There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. There is a legitimate role for worst-case thinking, but it must be handled with care. Recall that even though our forecasts last year were less alarmist than many in the wake of Liberation Day, actual outcomes were even better than we had expected.
- The real value of scenarios is teasing out downstream effects and delayed responses. Sometimes the responses to temporary shocks can have lasting effects. From EV purchases to defence budgets, these could be especially important coming out of the current conflict. All the more reason to avoid just drawing a line and assuming that is the outcome.

In times as uncertain as these, you want to be able to articulate more than one possible future state of the world. That is where scenario analysis comes in. Indeed, when institutions start publishing scenarios, you can take it as a sign that things are unusually uncertain. The RBA used scenarios extensively during the pandemic. And while the IMF did not give scenarios any prominence in its previous full *World Economic Outlook* report in October, it did this week. Similarly, we have published several scenario iterations over the past six weeks and will provide an update later today in our *Market Outlook* report.

Using scenarios rather than simple uncertainty ranges or a description of risks is especially useful when the possible future states of the world are qualitatively different from the base case, and when the level of conviction about that base case is low. There is nothing wrong with a scenario that is only a little different from the base case, but it is not that interesting or informative.

Two key principles underlie good scenario analysis. First, the premise of the scenario needs to be well-grounded. The narrative motivating the initial impetus must hang together. It must be logically consistent and represent both the interests and the constraints of the actors within the system. In other words, scenarios should not assume that people do things that are either bonkers or infeasible. Individually rational behaviour that is harmful in aggregate, such as panic-buying toilet paper or conducting fire-sales of loss-making assets, should of course be allowed for, but make sure the action is indeed individually rational.

Second, the methods used in developing the scenario need to go beyond first-round thinking. You need to allow for other people to react. A good scenario cannot be just a one-off shock where nothing else changes. Sometimes it takes time for people to adjust to the new situation, so the reaction occurs with a lag. Teasing these reactions out is the value-add of the scenario.

There is a tension, though, between the need to be realistic and a desire to highlight vulnerabilities or contemplate worst-case scenarios. Sometimes a lack of realism is used to guard against a potential failure of imagination. There is a legitimate role for this approach when stress testing, for example. However, unrealistic assumptions in forecast-flavoured scenarios leave your forecasts open to

misinterpretation. We have seen an example of this issue this week, where the IMF's worst-case 'severe' scenario, which implies a global recession, has sparked unhelpful talk of recession here in Australia.

Part of the issue is that the IMF's less-bad 'adverse' scenario (which assumes oil prices average USD100/bbl this year before moderating to USD75 next year) and worst-case 'severe' scenario (which assumes oil prices stay around USD125/bbl from the outbreak of the conflict all the way through to end-2027) are both 'top-down' scenarios that appear to start from an assumed path for oil prices. Unlike our own scenario work, they do not explicitly model loss of supply from the Middle East and work out what prices need to do to clear the global market. By effectively just drawing a line on a graph for oil prices, the scenarios assume away any scope for other producers to respond. This is not an issue in the near term, but the longer the assumption is maintained, the less realistic it is. High prices will spur non-OPEC producers such as the US and Canada to boost production. It takes time to get that expansion running, but eventually prices will start to ease.

Because it assumes high prices right through 2027, the 'severe' scenario is most challenged by this issue. This is not to say that the IMF should not have published that scenario, but it is important to understand the context and what it was trying to achieve in doing so.

When developing scenarios, you also need to avoid the trap of thinking only of downside risks. Part of the problem is that downside risks usually come from identifiable events. It is easy to construct a plausible narrative for a scenario starting from "this particular bad thing happened". But as one of my old bosses used to remind us, sometimes you should also consider the risk everything just turns out a little bit better than expected.

As our April *Market Outlook* goes to publication later today, it is helpful to recall last April's edition. The 'Liberation Day' tariffs had been announced a fortnight previously, and many voices in the market were predicting global or US recessions. At the time we took a more moderate view, based on the principles noted above. Firstly, continuing with very high tariff rates would have been an act of economic self-harm. While it was hard to bet on the Trump administration acting rationally in a context of 'flood the zone' headlines and intemperate social media posts, self-interest is still the best assumption. If there is nothing preventing someone from stopping punching themselves in the face, they will stop punching.

Secondly – and this was a key judgement in our forecast last year – other countries had agency and could respond. In particular, China had scope to stimulate, and this would also cushion growth in Australia. In that context, we note that the latest Chinese GDP growth has again surprised on the upside relative to market expectations.

It turns out that even we were too bearish a year ago: the global economy did much better than expected, and global trade kept expanding with barely a hiccup. Other factors, including a tech boom, turned out to be more important than expected. Trade patterns were also re-routed around the highest tariffs, and of course the US government de-escalated, as is proving to be its pattern.

These principles also hold for other kinds of scenarios. Whenever you read a prediction of doom concerning, say, adoption of a new technology, ask yourself what is preventing people from responding to ameliorate the bad thing. What prevents macroeconomic policymakers from easing, for example, or the tax system from redistributing unequal gains? While occasionally decision-makers decide that a bad thing is good actually, holding that position is itself fragile.

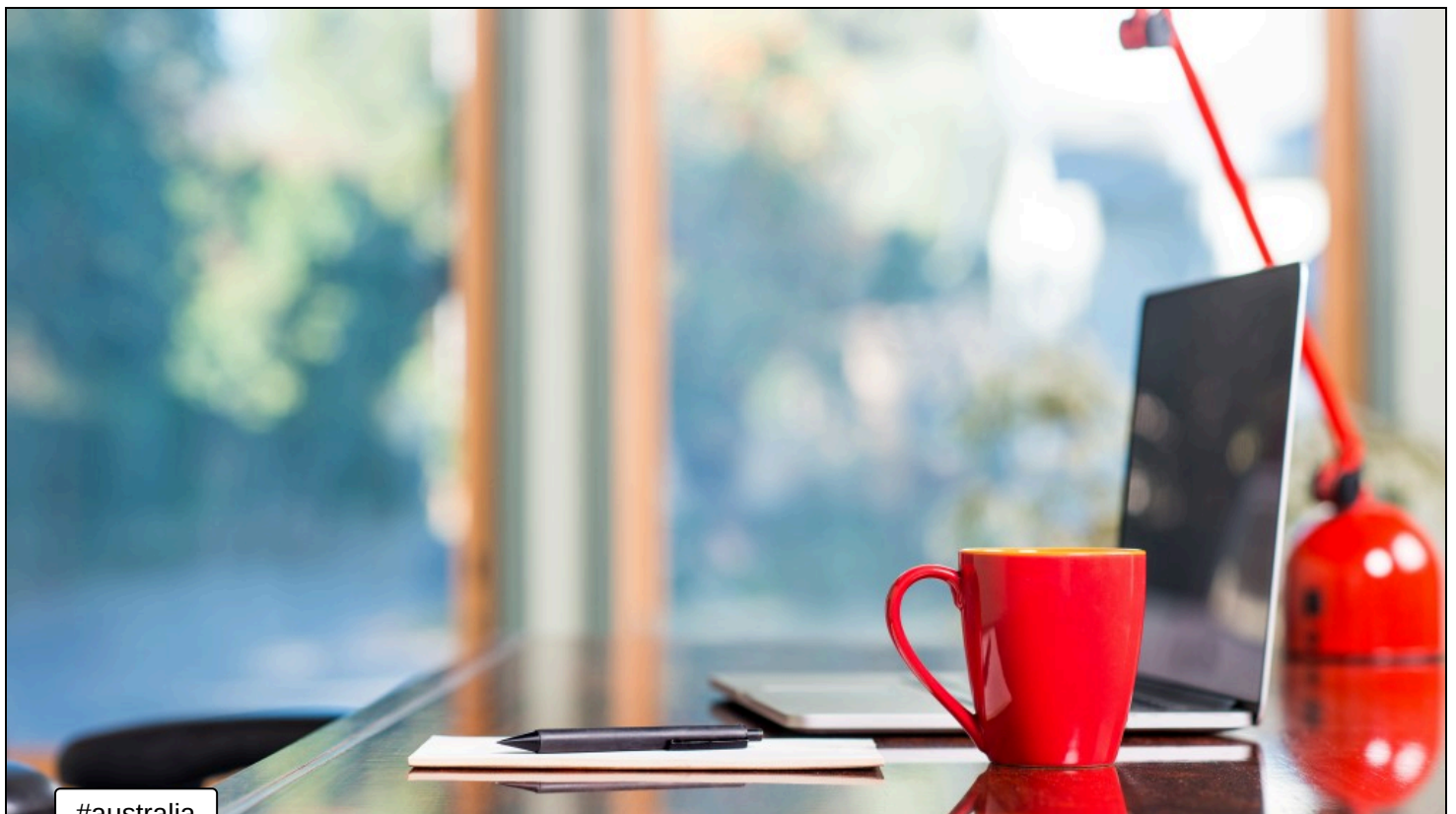
Where scenarios can really add value is when they highlight a lasting effect from a temporary shock. Whether it is the person who buys an EV in response to current high petrol prices and reduces their petrol consumption permanently, or the government that reassesses its defence spending, behavioural responses can change longer-term demand trends, and so the prices that prevail further out. Normalisation after a shock does not always take you back to where you were. That is another reason why it is so important to avoid just drawing a line on a graph and calling it a scenario, ignoring system-wide effects.

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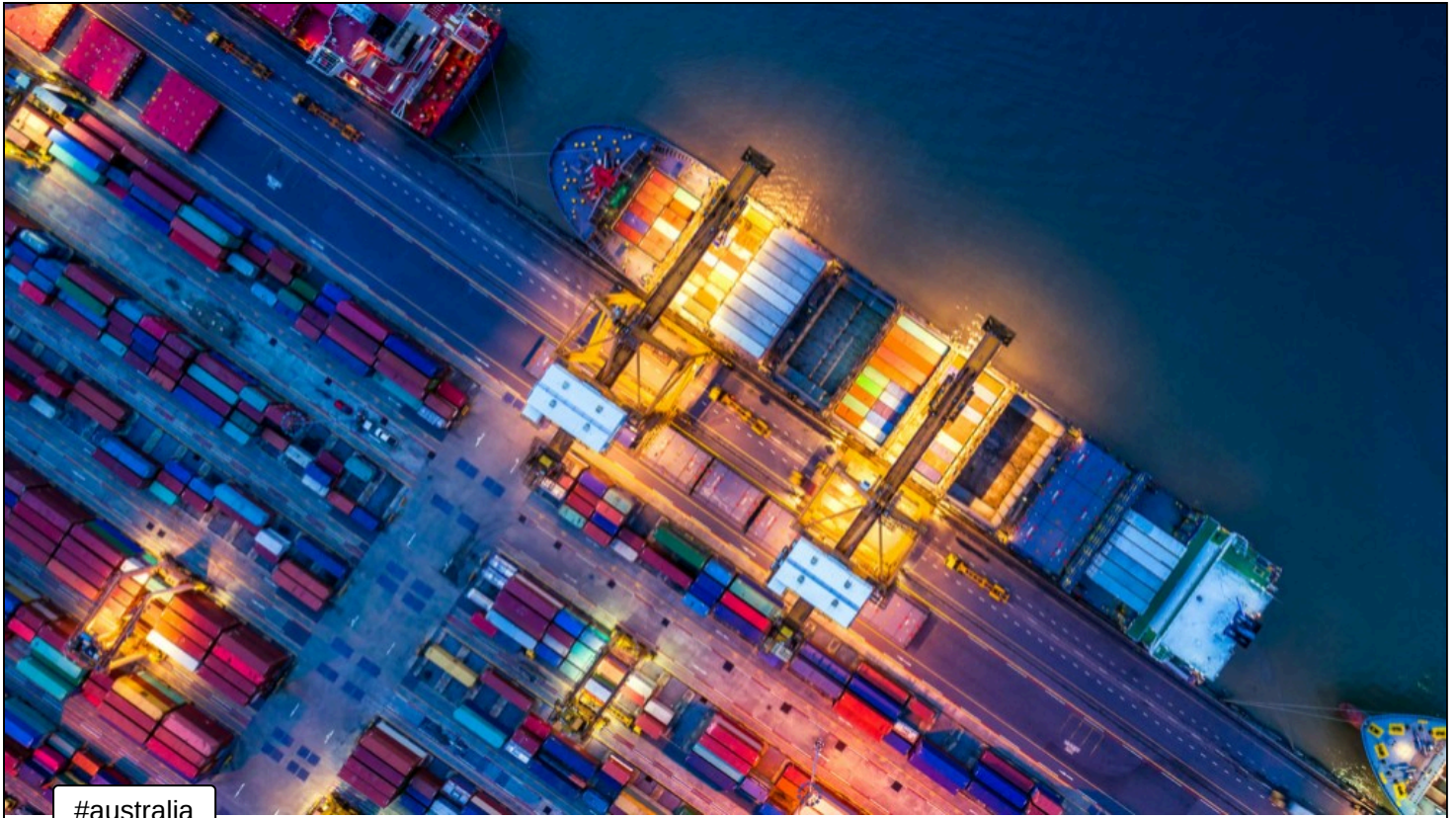


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Cliff Notes: mixed messages

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By [Elliot Clarke](#)

Head of International Economics, Westpac

09:28 April 02 2026

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Key insights from the week that was.



At the turn of the week, [Chief Economist Luci Ellis](#) and Westpac Economics highlighted how severe the inflationary impact is expected to be for Australia. Recognising the extreme uncertainty surrounding the conflict and the passage of time, we extended our baseline supply assumption from a one to two-month complete shutdown of the Strait of Hormuz followed by a protracted recovery in transit from 20%

of pre-conflict supply in May to normal supply at year end. Also, a consequence of elevated refining margins globally, annual Australian consumer inflation is now expected to peak around 6%yr in mid-Q2. While headline inflation will fall back to target over the following year, trimmed mean inflation is forecast to remain above 3.0%yr until end-2027 and only settle in the middle of the target range in late-2028, having peaked at 4.0%yr at end-2026.

With Australia already experiencing tight capacity and elevated domestic inflation pressures, attested to again by the RBA in the March Monetary Policy Board meeting minutes, the Middle East conflict warrants pre-emptive action by the RBA through three 25bp cash rate hikes in May, June and August 2026 to 4.85%. Policy is then seen on hold until 2028, when success with inflation should allow the cash rate to be reduced by 100bps steadily through the year. The consequence for GDP is likely to be a deceleration to just 1.0%yr in 2026, followed by a sub-par 1.6%yr gain in 2027, then an above-trend 2.8%yr recovery in 2028. The unemployment rate is forecast to rise to 5.0% at end-2026, and to take until end-2028 to return to its full employment level, circa 4.5%.

To the above forecasts, time matters a great deal. If, as has been mooted in recent days (and may be confirmed in a Presidential address later today), the Trump administration calls a quick end to the US' strikes against Iran, Australian GDP and the labour market may receive a reprieve. That said, heightened inflation will remain an acute risk while transit and supply-chain disruptions persist, and businesses may also take the opportunity to re-set margins. The balance between inflation and activity risks will therefore remain in focus for the RBA over the coming year. Ahead of the Federal Budget, the Government's financial position is also in flux, although current conditions look more likely to prove a positive than negative at this stage.

Local data out this week meanwhile focused on housing. Cotality home values increased a solid 0.6% in March. Although affordability saw a divergence in conditions city by city, with prices down a touch in Sydney and Melbourne as strong growth continued in Brisbane, Adelaide and Perth. Where conditions are weakest, reduced turnover is holding prices up. Dwelling approvals remained volatile in February, a 29.7% monthly gain lifting the annual growth rate to 14%yr. Australia clearly has need for significant, sustained additions to housing supply across our major cities, but affordability and the cost of construction are material risks which are likely to persist into the medium term.

Offshore, the list of data worthy of mention was short this week. University of Michigan consumer sentiment was, unsurprisingly, weak in March, 19% below the 5-year average and 37% under the full-history benchmark. The Conference Board's measure showed greater resilience but was still weak versus history. That said, ADP private payrolls continued to grow in March, and the retail sales control group recorded a solid gain of 0.5%mt. The ISM manufacturing index for March was also favourable, although the survey only caught the beginning of disruptions related to the Middle East conflict and the detail was also mixed, with production up, new orders down and employment contracting. China's official PMIs emphasised the nation's ability to weather uncertainty, with both the manufacturing and services indexes higher in March.

The key international data release for the week is still to come on Friday night. The US March employment report will be closely scrutinised after February's weak detail reset participants current understanding and expectations for the labour market. US policy makers have been more focused on

inflation risks in recent weeks, but another poor employment result could see them reconsider this view. In contrast, a rebound in job creation will likely see market pricing for near-term policy decisions shift materially in favour of a hike, or two, as has been the case elsewhere across the developed world.

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Still the lucky country: Conflict, Gold and Inflation to Lift the Budget

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By Pat Bustamante

Senior Economist, Westpac

10:27 March 31 2026

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Stronger commodity prices and elevated inflation are boosting nominal incomes and tax collections, driving a net budget improvement.

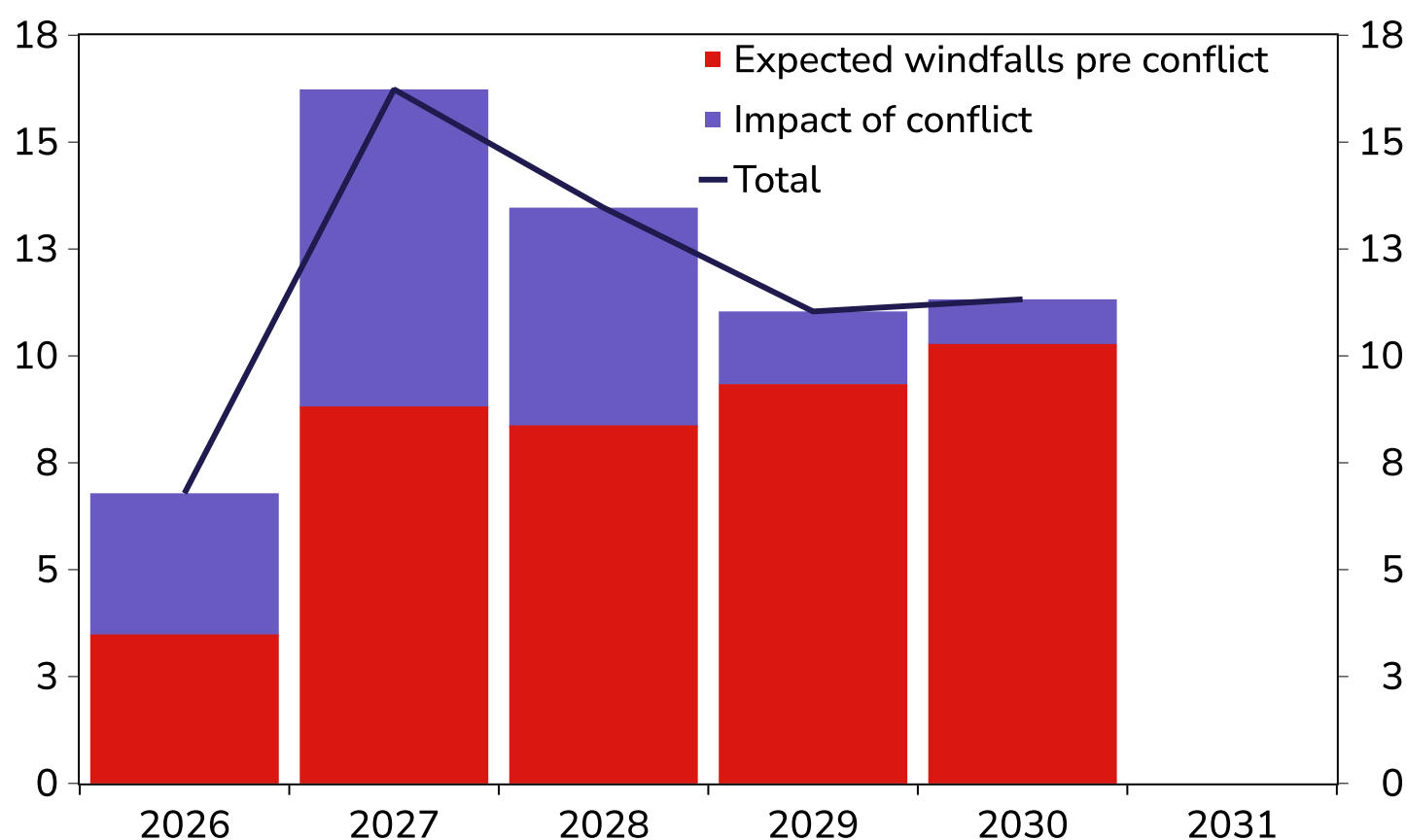


- Higher-than-assumed commodity prices are expected to deliver the Federal budget a windfall of almost \$60bn over the five years to FY30.

- Around \$20bn of this uplift reflects the impact of the Middle East conflict, particularly via higher coal and LNG export prices. This more than offsets the \$2.6bn cost of halving the fuel excise for three months.
- The run-up in gold prices since FY24 is estimated to add around \$19bn to Treasury revenues over the next five years. This broadly aligns with Department of Industry forecasts showing gold export receipts rising by around \$40bn in FY26 relative to FY24.
- Higher inflation and the cyclical upswing are boosting nominal incomes, consistent with the March monthly statements showing income and indirect tax revenue were around \$7.0bn and \$2.5bn ahead of MYEFO estimates, respectively. The inflationary impulse from the conflict is expected to provide further near-term support to revenues.
- We will provide a full update of revenue and expenses before the May Budget.

Expected company tax upgrades

Financial years, \$bn



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

The Federal Treasurer has warned that the economic fallout from the Middle East conflict could be “just as serious” as the GFC, the COVID-19 pandemic and Russia’s invasion of Ukraine. But there is a countervailing force: higher commodity prices and elevated inflation are lifting Treasury tax collections. Because the tax system operates in the nominal world, tax receipts can continue to rise even as real economic activity slows over the coming years, as we expect.

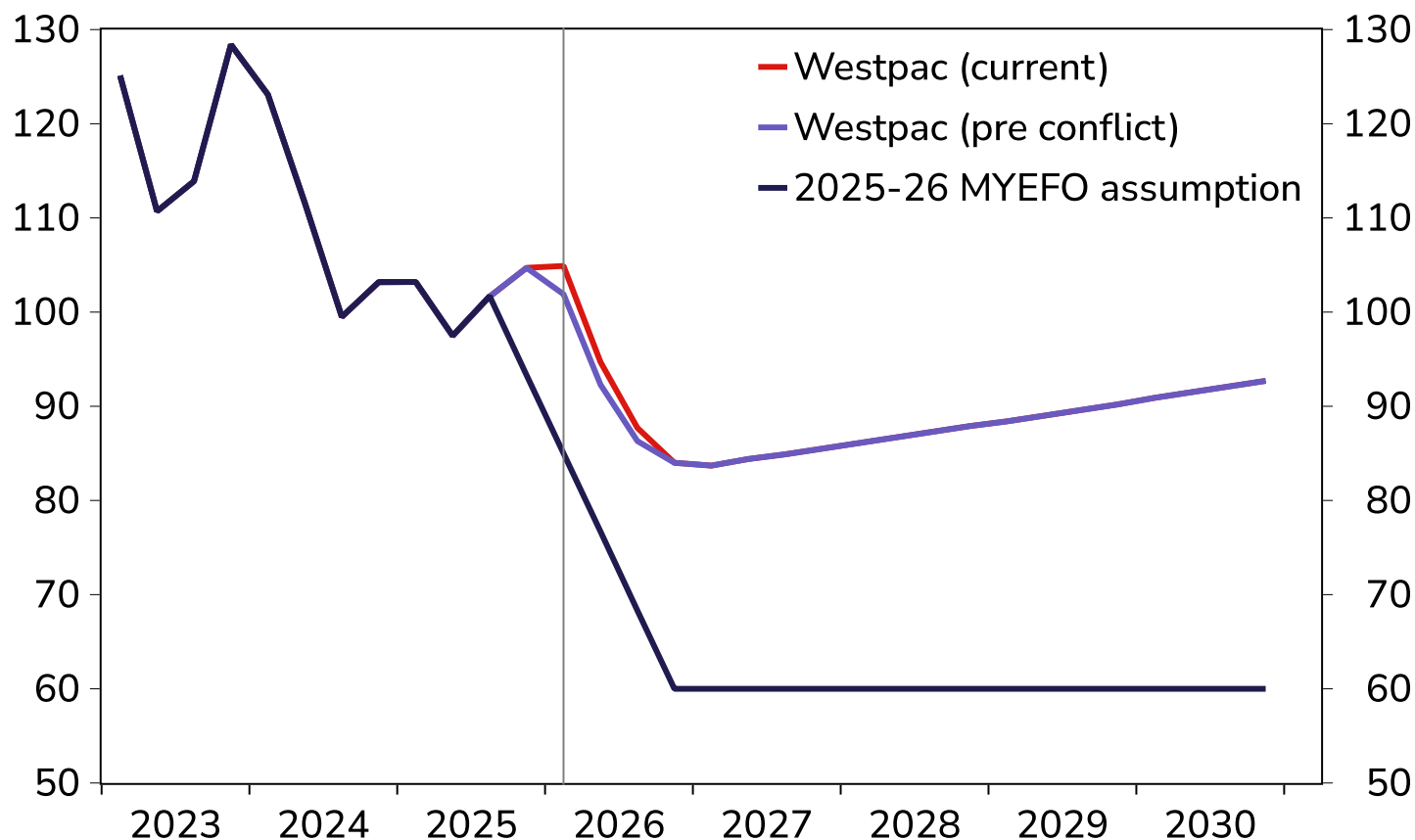
Using actual spot prices and Westpac commodity price forecasts, we estimate that **higher-than-assumed commodity prices will deliver the Federal budget a windfall of almost \$60bn over the five years to FY30.**

Relaxing some of the conservatism in budget forecasts

It is well known that Treasury's revenue forecasts remain highly conservative, anchored on commodity prices reverting to long-run assumptions. In practice, elevated prices had already proven more persistent before the conflict (see iron ore chart below), and the conflict itself has delivered a further lift.

Iron ore

\$US per tonne

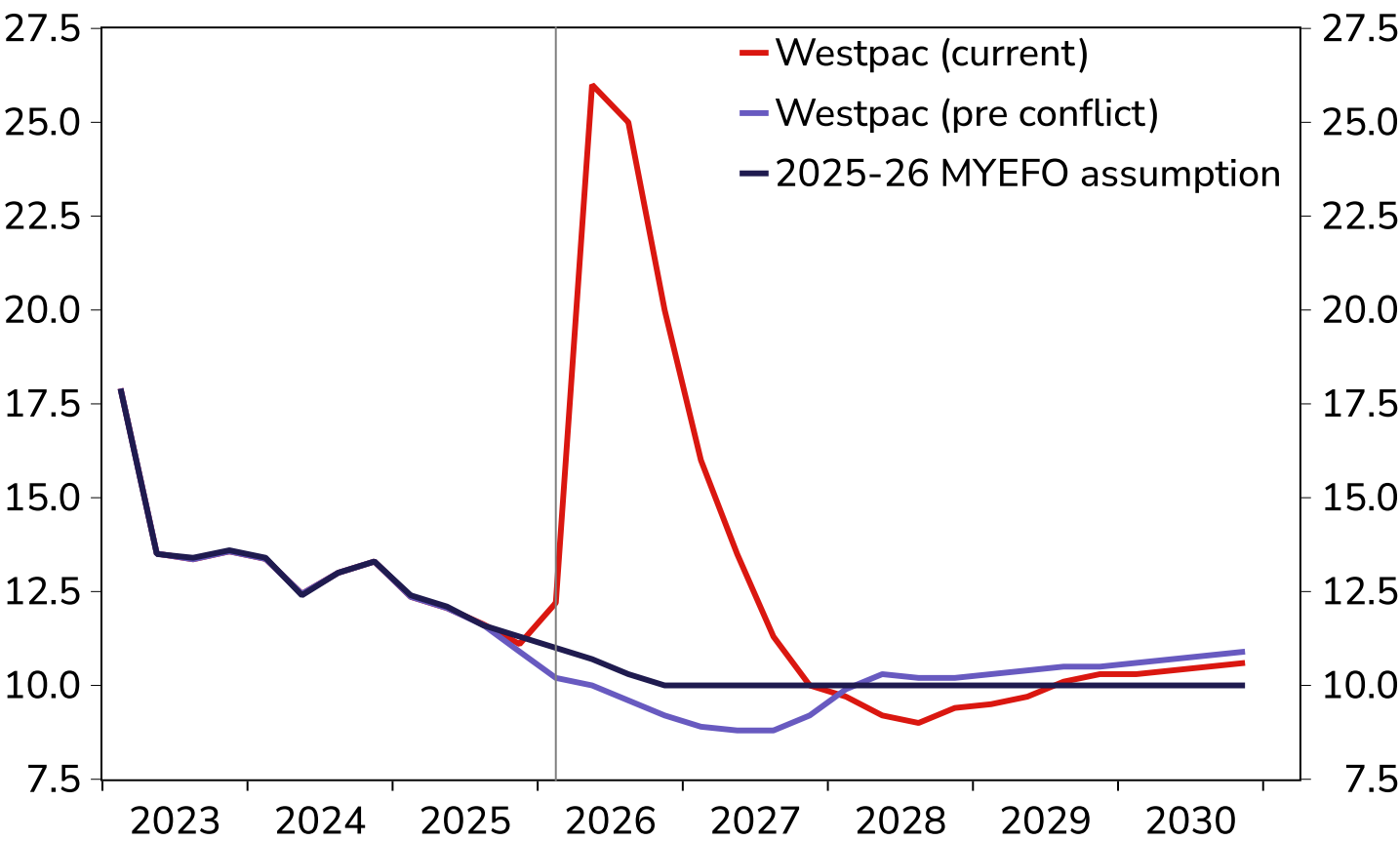


Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

The Middle East conflict also is pushing energy export prices higher, most notably for coal and LNG export prices. The longer the conflict persists, the greater the upside risk to commodity price forecasts. **At this stage, we estimate that around \$20bn of the total budget windfall can be attributed directly to the Middle East conflict, with the gains front-loaded over the next few years. This additional revenue more than offsets the estimated \$2.6bn fiscal cost of halving the fuel excise for three months, leaving a substantial net improvement in the budget position.**

LNG export prices

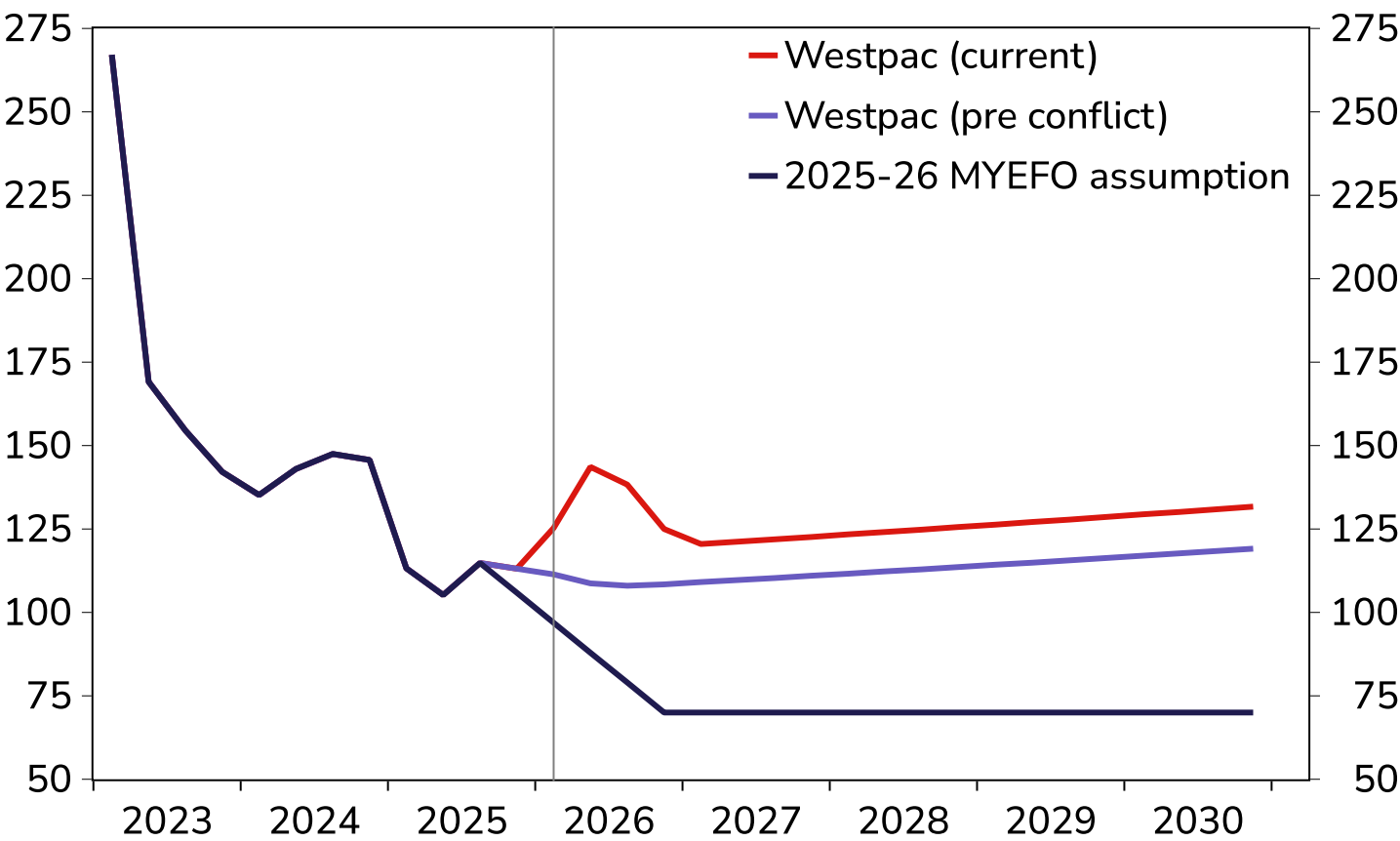
\$US per mmBtu



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Thermal coal

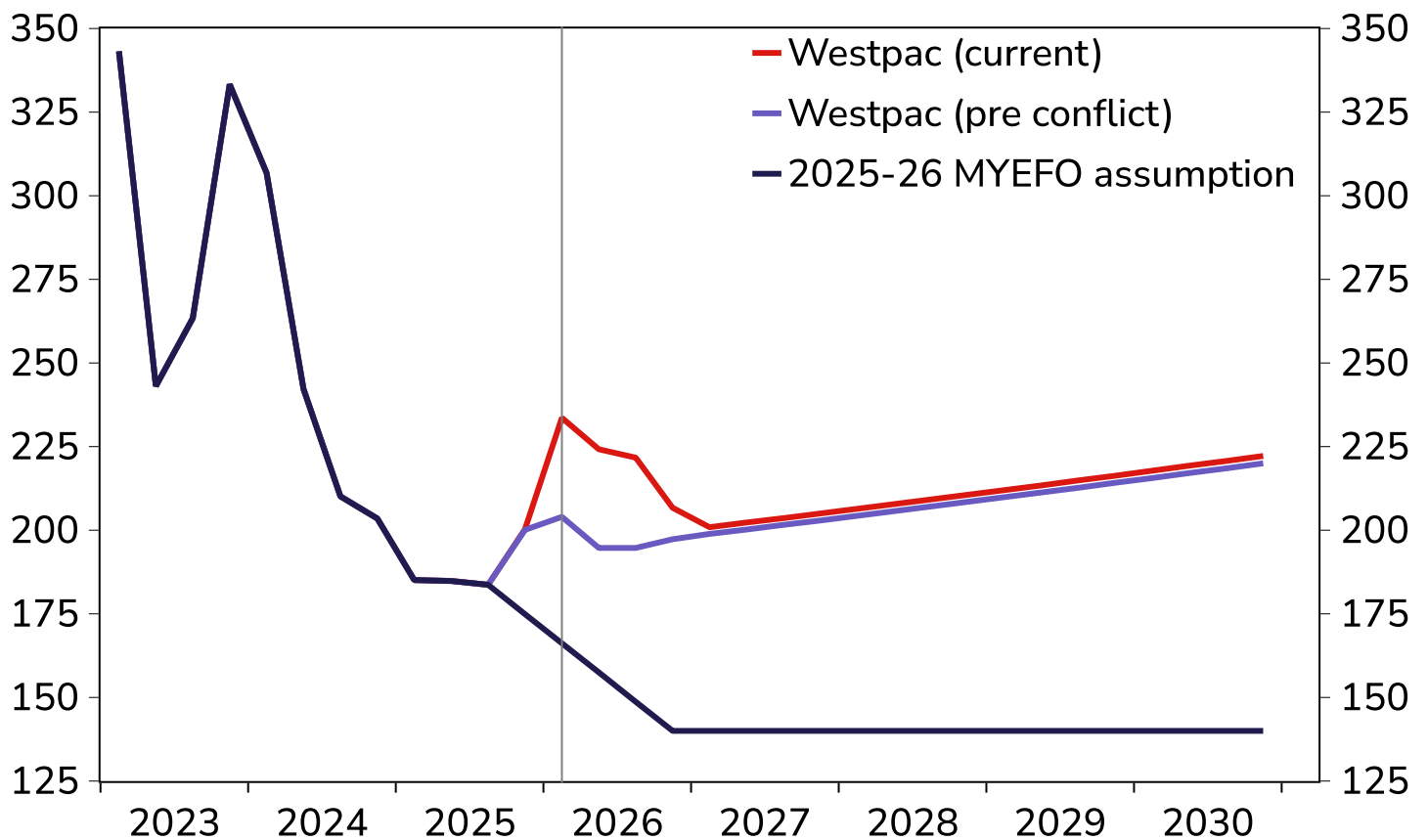
\$US per tonne



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Metallurgical coal

\$US per tonne

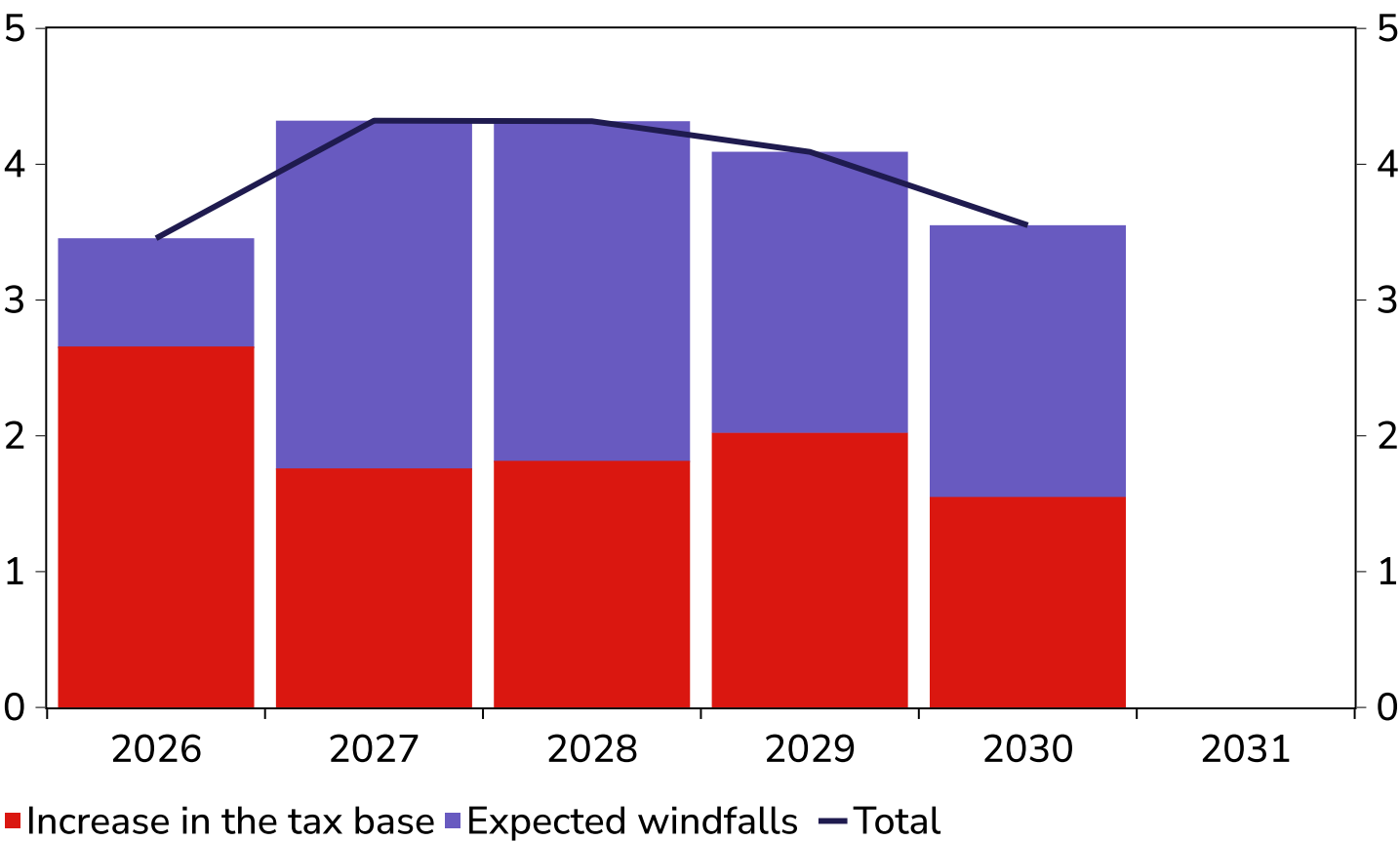


Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

Gold is also delivering an underappreciated windfall. Following the recent surge in prices, gold is expected to become Australia's second-largest export by value in FY26, overtaking LNG and coal. The run-up in gold prices since FY24 is estimated to add around \$19bn to Treasury revenues over the next five years. Despite recent volatility, the gold spot price is currently around US\$4,500 an ounce. That's almost double its level at the end of FY24. **We expect some of this revenue uplift to materialise as early as May 2026, when miners make large wash-up tax payments for the completed 2025 tax year.**

Expected tax upgrades due to gold prices

Financial years, \$bn

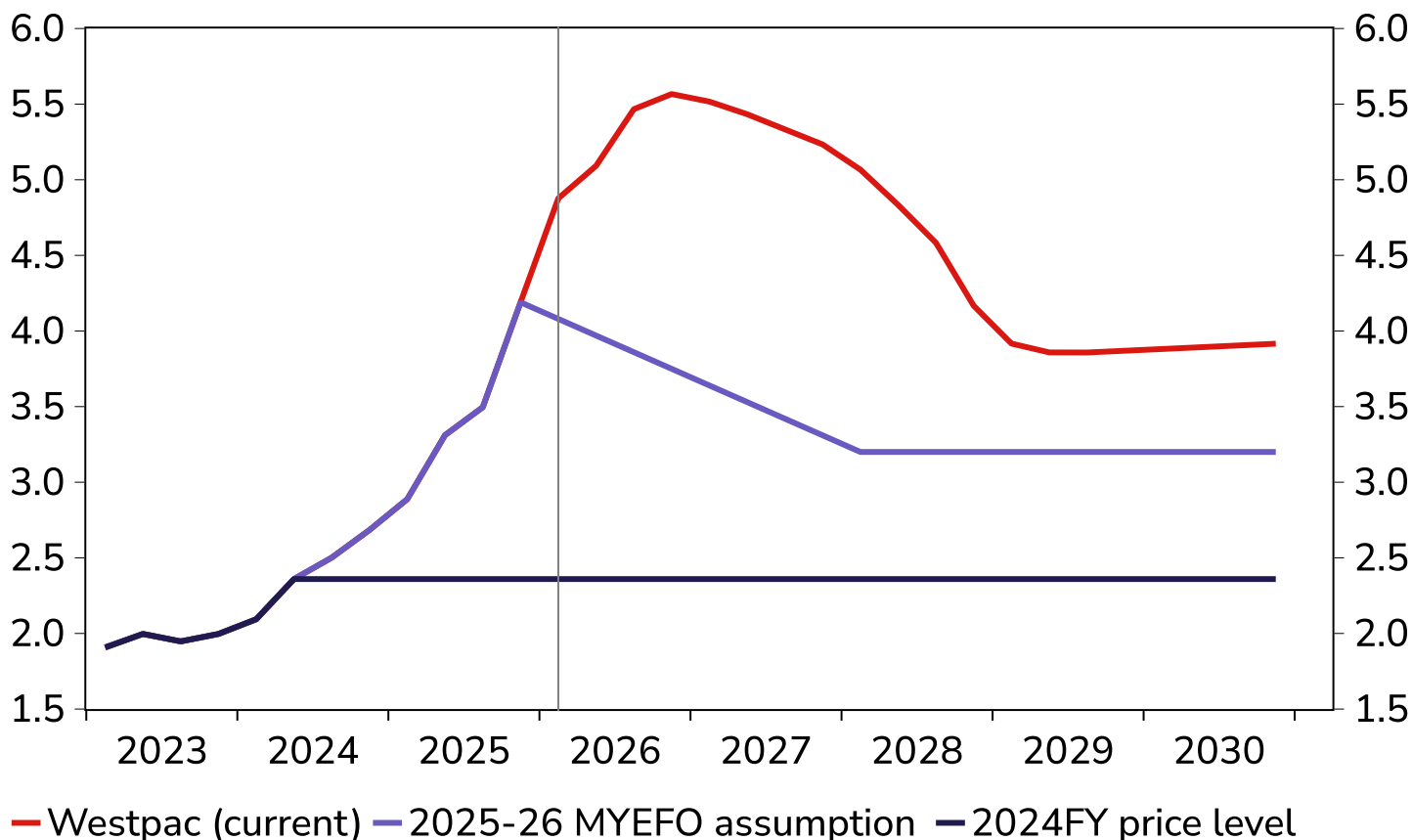


Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

As Treasury marks commodity prices to market when updating its forecasts, we estimate that around half of this windfall has already been incorporated into the tax base and revenue forecasts. This is evident in the step-up from the FY2024 prices to those underpinning the 2026 MYEFO (see chart below). The remainder of the windfall is yet to be recognised and is expected to flow through in future budget updates, starting with the May 2026 Budget.

Gold price

Thousands, \$US per ounce



Source: Bloomberg, Budget documents, Macrobond, Westpac Economics

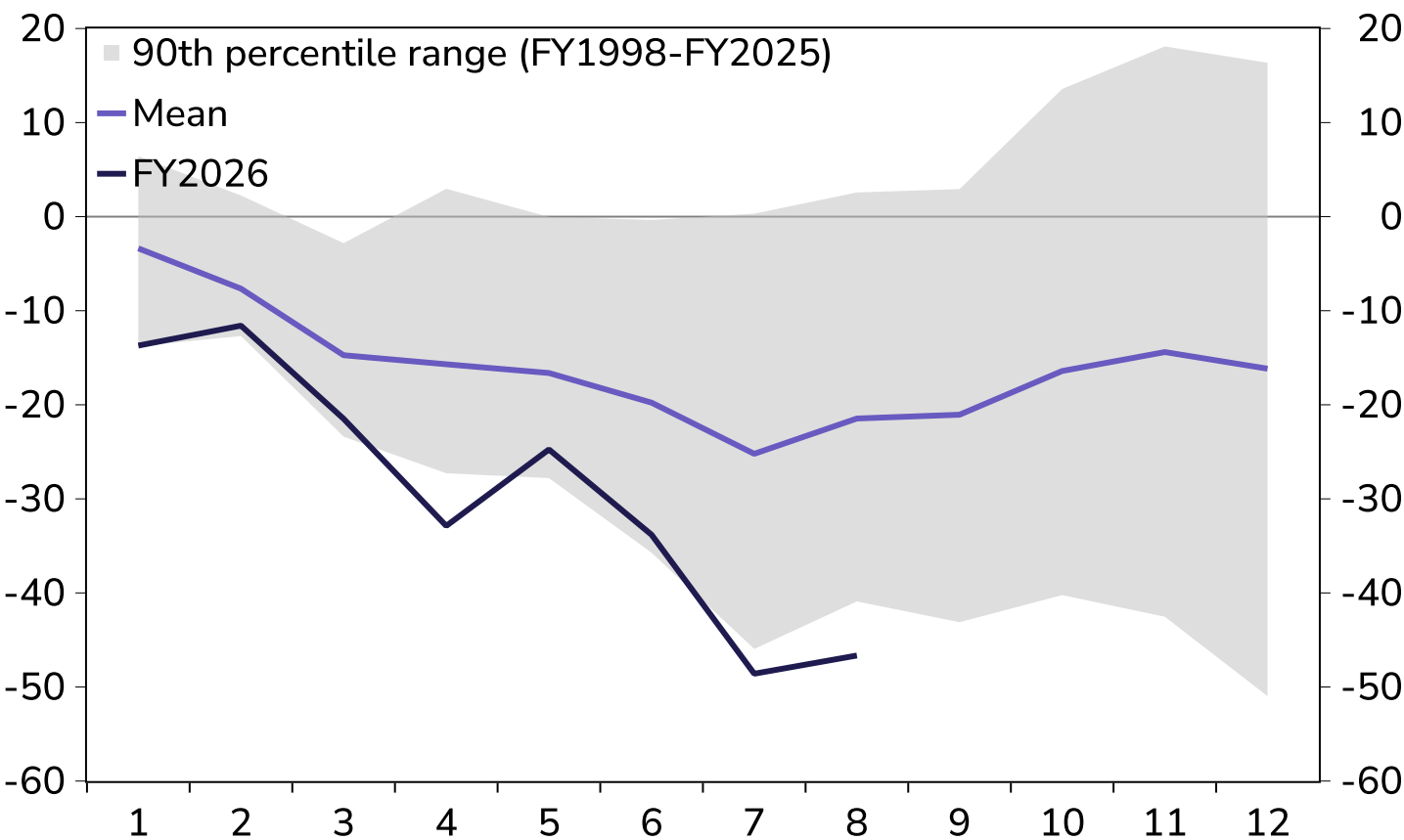
While the gold driven windfalls may seem modest in the context of the overall budget, this represents a genuinely unexpected positive surprise, one that is three times as large as the PRRT and almost as large as the fringe benefits tax base.

What about the other tax bases?

As we have previously noted, Australia's cyclical economic upswing coupled with elevated inflation are boosting nominal incomes and tax bases. This is consistent with the March monthly statements showing income and indirect tax revenue were around \$7.0bn and \$2.5bn ahead of MYEFO estimates, respectively. More broadly, the underlying balance was \$8bn ahead of MYEFO estimates, just a few months after the MYEFO document was published. Despite this, the budget remains deeply in deficit, with the FY2026 year to date position worse than the 90th-percentile outcome recorded over the FY1998–FY2025 period.

Federal government receipts & payments

UCB, Rolling YTD aggregates, \$bn



Source: Australian Department of Finance, Macrobond, Westpac Economics

Bottom line

While there will be some offsetting pressures on the payments side of the budget, we expect the revenue uplift to dominate, resulting in a net improvement in the budget position. We will provide a full set of bottom-line estimates ahead of the Budget, incorporating revenue and payments variations, as well as expected policy changes.

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31 March 2026

A materially bigger and more persistent shock

Westpac Economics

- Longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil now expected to peak at an average \$120/bbl in Q2 and Japanese LNG prices at \$26mmbtu.
- Australian CPI inflation now expected to peak at 5.4%yr in June quarter, and even higher on the monthly series, despite the announced cut to fuel excise. Trimmed mean inflation peaks around 4% in 2026 H2. Food prices a particular concern through to 2028, but broader pass-through to non-energy prices also an issue.
- RBA now expected to hike rates three times (May, June, August), revised up from one more (in May) previously. Peak cash rate now 4.85%, above previous peak.
- Supply shock and tight monetary policy drag on demand, especially consumption and other interest-sensitive sectors. GDP growth forecast to trough at 1%yr in 2027; unemployment rate peaks at 5% end-2026.

Energy situation

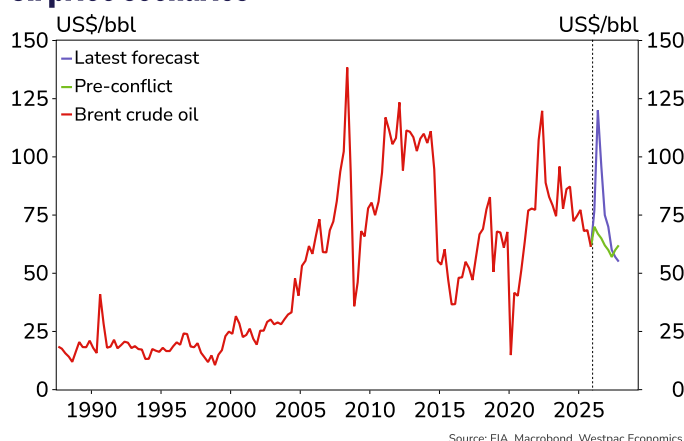
As previously highlighted, the key risk to our previous central case view (released on [March 17](#)) was that the Middle East conflict would prove to be more prolonged than assumed. With the conflict now entering its fifth week, it has become increasingly clear that the US/Israel–Iran confrontation is likely to result in a longer-lasting disruption to energy production in the Middle East and shipping through the Strait of Hormuz. We have therefore revised our baseline assumptions.

Specifically, we now assume the Strait of Hormuz remains effectively closed until the end of April, a total of eight weeks, and takes longer to reopen fully. This compares with our earlier assumption of a one-month disruption followed by a relatively rapid normalisation.

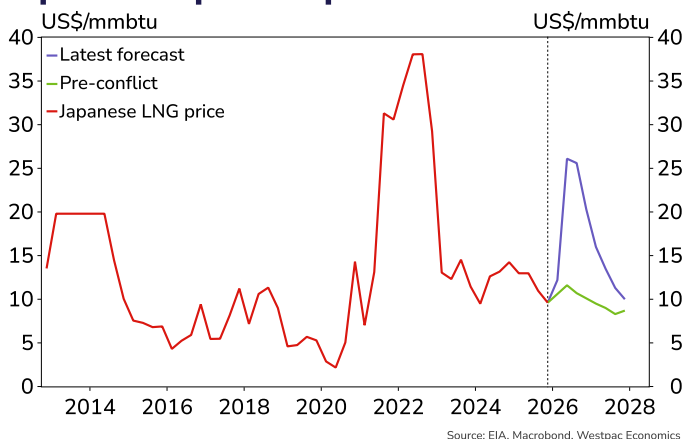
The slower recovery reflects several factors. Recent shipping traffic through the Strait has been limited to countries Iran deems friendly to it. Insurance premiums are expected to remain elevated given the risk of further attacks by regional factions. Shipping companies will also require time to re-establish vessel rotations and contractual delivery arrangements across energy and upstream industrial inputs.

As a result, we now assume traffic through the Strait reaches only around 20% of normal levels in May. Traffic is expected to continue to improve thereafter, although capacity is not expected to return to normal levels until end 2026.

Oil price scenarios



Japanese LNG price comparison



The extension of the conflict and slower normalisation will lead to more 'shut-ins' (temporary stops in production due to storage capacity limits) among smaller Gulf producers. Coupled with some oil infrastructure damage, we now project this to see a shortfall in global oil production of around 6mb/d on average in Q2. This assumes Saudi Arabia and the UAE continue to divert exports via operational pipelines to partially bypass the Strait, with an available capacity at around 1.6–5.5 mbpd, alongside the release of IEA emergency stockpiles.

Risks around this path remain clearly skewed to the downside, particularly if there is more damage to port and energy infrastructure and/or shipping via the Red Sea is also impacted now that Yemen's Houthi rebels have entered the conflict.

This would represent a sharp escalation, but it could also see a faster resolution as it would bring more Gulf state countries into the fray against Iran.

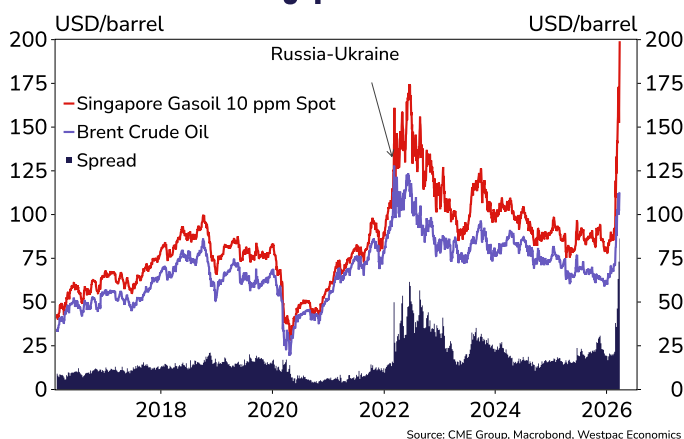
Overall, the changes to our baseline assumptions imply a materially bigger and more persistent energy price shock than previously assumed.

Consequently, we now expect Brent crude oil prices to average around US\$120/bbl in Q2, compared with US\$90 previously. Prices are expected to remain elevated for longer, reflecting both ongoing physical disruptions and a sustained risk premium linked to security and insurance costs. Under our revised base case, oil prices ease only to around US\$75/bbl in Q4, still US\$13 above our pre conflict baseline, and do not converge back to pre conflict levels of around US\$60/bbl until Q2 2027.

The impact on gas markets is even larger than for crude oil. LNG exports from the Middle East, particularly Qatar, have no viable alternative route that bypasses the Strait, leaving supply highly exposed to an extended disruption. Moreover, Qatar's Ras Laffan LNG plant has suffered extensive damage halting production, with reports that it will potentially take up to five years to fully repair. As a result, Japanese LNG prices have surged above US\$20mmbtu in recent weeks and are currently trading US\$10 above pre-conflict levels. We forecast further increases as supply tightens to a quarterly average price of around US\$26mmbtu over the next few quarters. Prices are projected to remain elevated even after oil markets begin to stabilise.

We have also made greater allowance for wider refinery margins than our previous forecasts. Disruptions to crude supply, combined with tight refined product inventories in Asia, have driven a sharp widening in the spread between Brent crude and Singapore Gas10, the key benchmark for Australian petrol and diesel prices. The spread has recently surged to around US\$70/bbl, exceeding levels seen following Russia's invasion of Ukraine. Given the importance of refined product availability and logistics, we expect margins to remain elevated even as the conflict eases, materially amplifying the pass through from higher crude prices to domestic fuel costs.

Brent Crude oil vs Singapore Gasoil 10



More acute pressures on supply chains

Given the prolonged closure, we now also assume supply chain pressures are more acute and persistent. Container freight rates have risen by 20% since the start of the conflict, reflecting longer shipping routes, higher fuel costs, insurance surcharges and booking constraints. While freight rates are still lower than the peaks in 2021–22, Iran is reportedly extracting additional charges from non-hostile vessels negotiating passage through the Strait, further increasing transit costs even where shipping through the Strait is allowed.

The Middle East is also a key upstream supplier of industrial inputs, including fertilisers, chemicals, polymers and metals. Around 33% of global fertiliser trade, particularly urea and ammonia, transits the Strait. Disruptions are already pushing up prices for these inputs, with Egyptian urea prices, a global indicator for fertiliser prices, particularly nitrogen fertilisers, reaching its highest level in more than three years. That said, at around US\$475/t, it is still significantly below its record of \$1050 following Russia's invasion of Ukraine.

Globally, manufacturing PMIs show a sharp re-acceleration in input cost growth, with energy, freight and intermediate goods cited as key drivers, alongside some lengthening in supplier delivery times. In Australia, the PMI manufacturing input price measure has risen to its highest level since August 2023.

However, while supply chain pressures are rising and are expected to remain elevated beyond the end of the conflict, they are expected to remain materially below the peak levels experienced in 2021–22. The port congestion, post-COVID reopening surge in demand and broad-based shortages that were features in this episode remain absent. The appreciation of the Australian dollar, both against the US dollar and on a trade weighted basis, will also provide a partial offset to imported cost pressures, reducing the local currency impact of higher global input prices. In contrast, the AUD/USD cross fell by 9% around during the 2022 episode, amplifying the rise in import costs.

Accordingly, while price pressures are rising, particularly for energy-intensive inputs such as fertilisers and aluminium, the impact on producer prices and the flow through to headline and core inflation is expected to be smaller than during the 2022 cost of living crisis.

Inflation impact

Both the Oxford Economics model and our bottom-up forecasts imply that higher energy, freight and upstream input costs are expected to lift headline inflation materially over 2026. The direct impact comes firstly through fuel and transport-related components before it broadens as higher distribution and input costs are passed on to a wider range of consumer prices.

Reacting to this, the Australian Government announced that from April 1, the fuel excise tax will be cut in half, reducing the pump price of petrol and diesel by 26¢/litre. We are now expecting headline CPI to peak at 5.4%yr in Q2 2026, up from 4.1% previously, with monthly inflation likely to be even higher breaking through 6%yr around April or May.

Fuel inflation is expected to contribute 1.1ppt to the headline figure by the June quarter with national weekly average petrol and diesel prices projected to peak at around \$2.65/litre and \$3.25/litre in early April – they would have both been much higher through April and into May were it not for the cut in the fuel excise. The excise only applies to fuels used on Australian roads and is not applied to fuel sold for farming, mining, other industrial purposes, including aviation and shipping.

Higher energy, freight and fertiliser costs are expected to flow through to agricultural prices and food prices with a lag. The pass-through is unlikely to be uniform across products; more energy-intensive production will see greater pass-through, along with products where production elsewhere in the world is constrained. At first glance, winter crops such as wheat would appear to come under pressures, but for now strong global supply balances will keep these prices contained and the risks of large price increases sit more in 2027. At this stage we have food price inflation of more than 4%yr by end 2026 and into the first half of 2028.

We have allowed for larger spillovers into services prices and wages than previously, based on early firm announcements as well as the higher profile for fuel prices. Higher fuel costs are feeding directly into transport prices, including airfares, with Qantas already announcing a 5% price increases in response to higher jet fuel costs. More broadly, higher transport and input costs will mechanically lift prices for items such as eating out and even new home construction, adding to core inflation pressures even as weaker real disposable income growth signals some limited scope for costs to be fully passed on.

We expect the Trimmed mean inflation to peak at around 4.0%yr by end 2026 and remain above 3%yr in 2027. That said, a key risk is that memories of the last global supply shock mean businesses react pre-emptively to increases in prices, something we are already hearing anecdotally. This time around, businesses could also be readier to pass on any actual cost increases to consumers. Indeed, there have already been calls from some Australian businesses to implement a fuel surcharge including the Australian Restaurant and Cafe Association proposing a 5% charge. Again, we see these spillovers as likely to be smaller than in 2022, when demand was recovering strongly, policy was expansionary and a wider range of supply chains were disrupted. They will, however, contribute to a slower normalisation in underlying inflation.

RBA response

We have changed our forecast for the RBA cash rate, adding in two more hikes, in June and August, on top of the increase we were already forecasting for May. The cash rate is now expected to peak at 4.85%, significantly above the previous peak of 4.35%. With trimmed mean inflation sitting around 4% in the second half of this year and only slowly declining thereafter, the Monetary Policy Board (MPB) will want policy to be clearly restrictive to keep inflation expectations anchored. It will be dismayed at the recent examples of rapid pass-through of energy costs to other prices, and

Despite the weaker economic outlook and potential undershoot of the inflation target implied by these revised forecasts, we think the RBA will be slow to reverse this policy

tightening and risks getting behind the curve in coming years. We push out the date for rate cuts and pencil in four rate cuts, one per quarter in February, May, August and November 2028. We have low conviction about the exact timing.

The main rationales for the slower reversal are that Australia already had relatively limited spare capacity at the point the conflict broke out, and that pre-emptive pass-through by firms could keep underlying inflation high into 2027. We also note that the RBA is likely to have something of a “once bitten, twice shy” approach even as inflation declines towards the 2–3% target range. Inflation kicked up shortly after it cut rates last year, and the MPB would want to avoid a repeat of the backtracking that induced.

GDP impact

The combination of a deeper energy shock globally and higher path for inflation and interest rates locally points to a more pronounced and prolonged slowdown in the Australian economy than we forecast in mid-March. The combination will place particularly intense strains on the household sector. We now expect real consumption growth to slow to just 1.2%yr in 2026, implying a renewed period of decline in per capita terms.

Higher borrowing and input costs will also weigh on other interest-sensitive parts of the economy, particularly dwelling construction and business investment in construction-related industries, including new commercial buildings.

Taken together, these forces are expected to see real GDP growth slow to just 1% in 2027 and remain subdued at 1.6% in 2027. With population growth running at 1.6%yr, activity is set to contract in per capita terms in 2026, holding flat in 2027. Beyond that, anticipated rate cuts in 2028 should mean that monetary policy no longer prevents a recovery in growth. With energy supply assumed to have recovered by then, demand growth can rebound to 2.8% over 2028, though there will still be considerable spare capacity at that point.

Australia's labour market is also expected to experience a more pronounced and extended weakening. The combination of slower employment growth and a slightly higher participation rate sees the unemployment rate rise from 4.3% currently to a peak of 5% by year end, holding near these levels through 2027. That additional slack will, in turn, accentuate the moderation in inflation expected to come through as energy price related pressures subside in 2028.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (30 Mar)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.70	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.72	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.08	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	68	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.40	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75

Exchange rate forecasts

	Latest (30 Mar)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.6861	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5739	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.72	156	155	154	152	150	148	146	144	142
EUR/USD	1.1506	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3254	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9103	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.1958	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.4
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.5

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Week beginning 13 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: On hoping you'll be wrong.

The Week That Was: Ceasefire optimism to be tested.

Focus on New Zealand: A hawkish RBNZ is prepared to act decisively.

For the week ahead:

Australia: Unemployment rate, employment change, Westpac-MI consumer sentiment, Westpac-Now.

New Zealand: Retail card spending, selected price indices, REINZ house sales and prices, net migration.

Japan: Industrial production.

China: GDP, fixed asset investment, industrial production, retail sales.

Euro area: HICP inflation, trade balance, industrial production.

UK: Monthly GDP.

United States: PPI, Federal Reserve's Biege Book, industrial production, existing home sales.

Information contained in this report current as at 10 April 2026.

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On hoping you'll be wrong



Luci Ellis
Chief Economist, Westpac Group

- The economy does not care about your feelings, so forecasts must reflect what you think is the most likely outcome, not necessarily what you wish would happen. This distinction is especially salient now. The outright fall in global fuel supply has different implications than other recent supply shocks, and the outlook for Australia and the world is rough.
- The ceasefire announced this week was obviously welcome, but the question is whether the Strait of Hormuz opens properly. The first 24 hours after the announcement were not promising. But if it does, that would be a better outcome than the baseline forecast update we released last week. We would be happy if our baseline forecast was wrong for this reason.
- The key issue for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

The thing about forecasting is that your preferences do not matter. A baseline scenario is simply what you think is most likely. It is not necessarily what you wish would happen. And of course things could play out differently. It is the role of scenario and risk-sensitivity analysis to articulate these other possible future states of the world.

The disconnect between what you hope will happen and what you think will actually happen is especially salient now. The near-term outlook for Australia is tough: higher inflation, with consumers again squeezed by some combination of higher interest rates, lower income growth and higher unemployment. Things are even worse for many other countries. Australia has been able to leverage its LNG exports to ensure we have – so far – not been left short of other fuels. Many lower-income countries do not have this advantage and have been facing the prospect of shortages and rationing; some of our neighbours in the Pacific are particularly hard-hit.

The economic shock from the Gulf conflict centres on global oil and gas supply. It is different from COVID, when the disruptions were all the way down supply chains. It also differs from the energy shock following Russia's invasion of Ukraine, where the Russian oil and gas supply did not disappear, it just needed time to be redistributed to non-European nations willing to buy it despite the sanctions; the peak decline in

its oil output was [estimated](#) to be around 3 million barrels per day, but the disruption faded quickly. This time around, the oil and gas are not getting out of the Persian Gulf. Some production has been redirected through Saudi pipelines to other ports, but not all of it. Current [estimates](#) are that the net reduction of global production has been 8–9 million barrels per day for oil and one-fifth of pre-war global supply for gas. And at the same time, Russia's output capacity has been reduced by successful Ukrainian attacks on Russian oil infrastructure; news [reports](#) suggest this has cut global output by a further 0.7–1 million barrels per day.

The effect on prices from such a cut to capacity was always going to be severe.

“Forecasts are an assessment of the most likely outcome, not the preferred one.”

News this week that a two-week ceasefire had been agreed was obviously welcome. Assuming it holds well enough to reopen the Strait of Hormuz properly – a big if given the attacks in the 24 hours following its announcement – it would be a better outcome than the baseline update we released last week, and one of the “risks on both sides” we contemplated when we released it. A lasting ceasefire and faster opening up of the Strait would put energy prices on a trajectory between the one we contemplated in last week's baseline, and the one underpinning the forecasts in the March [Market Outlook](#). A return to pre-war prices is unlikely in the short term, though, given the damage to oil and gas infrastructure in the Gulf states and in Russia.

Even if the ceasefire holds well enough that the Strait stays open, a key watchpoint is whether ships enter the Gulf during the next two weeks, not just whether those previously stuck there leave. If ships do not enter, the next wave of production will not be able to be shipped. Supply will sag again a few weeks later and prices will rebound, especially for refined product.

If the ceasefire does not hold, the reprieve on fuel supply will be brief. Trust between the parties is low and Iranian control of the Strait – even jointly with Oman – is an unstable equilibrium that is unacceptable to much of the rest of the world. Even if the ceasefire gets back on track after its rocky start, flare-ups later in the year cannot be ruled out.

The real question for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. On this there is less cause for optimism. While 'temporary fuel levies' are easier to unwind as fuel prices decline, for many products, list prices have been lifted significantly and a reversal seems less likely. Building materials are a particular issue, with the cost of building a detached home increasing as much as 10%, on our preliminary estimates. The lift in pricing has been widespread across industries and in some cases quite large relative to overall inflation trends. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

Our next forecast round, scheduled for release next week, will contemplate both the case where traffic through the Strait remains disrupted and one where the ceasefire holds.

If the ceasefire does hold, downside risks to growth diminish and inflation risks ease. Because of the downstream pass-through to other prices we are already seeing, though, the inflation risks do not disappear and the RBA is still likely to raise the cash rate further. Still, it would be a better outcome than our current published baseline. This would be one of the instances where we would be quite happy to be wrong.

Cliff Notes: ceasefire optimism to be tested

Elliot Clarke, Head of International Economics

Mantas Vanagas, Senior Economist

Ryan Wells, Economist

Ahead of the worst of the current conflict, the [ABS' household spending indicator](#) gained 0.3% in February, in line with January's result and the trend pace of the past two years. Services continued to drive growth overall, aided in particular by holiday-related spending. Goods spending only managed a 0.1% gain, however, remaining weak.

Our Westpac-DataX Card Tracker suggests spending growth is likely to moderate in coming months as higher energy prices and weaker sentiment are felt, though a lasting end to hostilities could ease concern and see households look through some of the [cost shock](#) already in train. Geopolitical considerations are challenging for market participants to digest, let alone households and small business. For these individuals, [in the fulness of time](#), pricing responses and time delays up and down the supply chain could prove as, or more, significant than the energy market dynamics currently being witnessed. Risks for the Australian consumer are therefore likely to linger.

In New Zealand, [the RBNZ](#) maintained the stance of policy as expected. However, our New Zealand team took the commentary to be hawkish, with a particular focus on second-round inflation pressures. The RBNZ's short-term inflation forecast is now 4.2%yr at June 2026, in line with Westpac NZ Economics' 4.1%yr projection. As a result, Westpac's expected timing for the first hike for the coming cycle has been brought forward from December to September 2026, with the risk of a further acceleration if evidence of second-round inflation impacts accumulates.

Further afield, the data flow was concentrated in the US and mixed in tone. Over the Easter long weekend, nonfarm payrolls rebounded 178k in March, bringing the three-month average back up to 68k compared to an average monthly outcome of -8k in the second half of 2025 and 10k over the full year. The unemployment rate was also consistent with labour supply and demand being in balance in March, edging back down to 4.3%. Note though, this outcome was due to a further decline in the participation rate (now down 0.7ppts since April 2025) rather than an increase in household survey employment.

The weak outcomes for employment through late-2025 look to increasingly be affecting household demand – indeed, the downward revision to Q4 GDP to just 0.5% annualised was in part due to sub-par consumption growth (1.9% annualised).

Since the turn of the year, momentum looks to have slowed further, with real personal consumption expenditure up just 0.1% in February after a flat January. With business investment soft and susceptible to downside risks (core goods order growth in Q1-to-date is less than a third of the pace

registered in Q4), US Q1 GDP growth looks likely to maintain a pace well below trend, closer to Q4's third estimate than the 1.3% annualised pace currently projected by the [Atlanta Fed's GDPNow nowcast](#). This is before the sentiment and cost of living shock emanating from the Middle East is felt.

“pricing responses and time delays... could prove as, or more, significant than the energy market dynamics”

The above outcomes are unlikely to materially alter FOMC member's baseline view and overall risk assessment. While the [latest meeting minutes](#) indicate “a vast majority of participants” see “risks to the employment side of the mandate... [as] skewed to the downside”, the labour market is considered to be in good health overall. Active risk assessment is therefore likely to focus more on price uncertainty, both with respect to the initial jump in energy prices and second-round effects which, over time, could build greater persistence into the core inflation pulse. This is not to say that the FOMC will vote on hiking interest rates anytime soon, in contrast to the RBA and RBNZ, but it likely means debate over a need to cut further will be deferred for the foreseeable future.

A hawkish RBNZ is prepared to act decisively



Kelly Eckhold
Chief Economist NZ

Views on the likely duration and the severity of the war waxed and waned over the week as markets wavered between the prospect of an end to a civilization (as mooted by President Trump) and the alternative of world peace in our time. The reality remains cloudy and the prospects of a long bumpy road ahead remain the base case. This week the RBNZ channelled these themes of uncertainty and the prospect of potentially longer-lived inflationary impacts, by delivering a hawkish hold. We brought forward our view of when the OCR will begin to normalise and have further fine-tuned how the overall tightening cycle may evolve.

The Iran war and its impacts on New Zealand remained front and centre this week. It's very well understood that the impact will critically depend on the size and duration of the disruption to global energy supply. And this week we saw the full gamut of possibilities on how the war could impact on New Zealand. Businesses and consumers have taken an initial pessimistic view of how the war will impact the operating environment. The questions now are whether those views will be borne out and just how far off course will inflation be knocked and for how long.

The early part of the week was dominated by Trump's Tuesday deadline to Iran to reopen the Straits of Hormuz to traffic or suffer devastating attacks on civilian infrastructure. Fortunately (and as frankly had seemed most likely) cooler heads prevailed, with a hastily arranged cease-fire "deal" announced that at the least allows for a couple of weeks of breathing space for further negotiations towards a permanent truce to occur. That at least is an advance on where we have been in the last six weeks, which had seen little evidence that discussions were even occurring between key players in Iran, Israel and the US. Initial negotiations will take place this weekend and reports concerning these will help determine the tone when markets reopen on Monday.

News of the ceasefire has seen a marked reduction in the risk premia evident in oil and refined products markets, resulting in a fall in prices. However, we think that the reality around the opposing parties' views on the "deal" means the prospect for a quick resolution of the situation looks low. As we stand today nothing has really changed in terms of New Zealand's medium-term fuel security situation as no meaningful increase in tanker flows out the Persian Gulf is occurring. That said, news that Asian refineries are securing crude feedstock from elsewhere – notably the US – was welcome. This would appear to lower the near-term risk of interruption to fuel inflows into New Zealand. This provides breathing space for the government to work on additional storage options and to fine-tune plans for the hopefully unlikely situation where interventions to allocate scarce fuel stocks become necessary.

This week the RBNZ channelled the themes of uncertainty about the outlook, but also realism on just how long-lasting the impact of the war might have on the economy and inflation outlook. The tone of the RBNZ's commentary shifted from the relatively sanguine approach that Governor Breman had communicated a couple of weeks ago. We signalled in our [OCR preview](#) that such a shift could be in the offing as the broader MPC had a greater opportunity to weigh in. And it seems the MPC was presented some initial forecasts which showed a markedly higher inflation profile was in the offing.

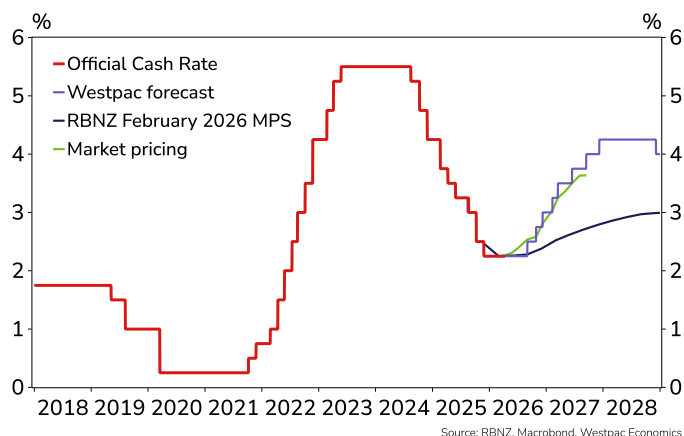
The MPC seems to have separated into a couple of camps: a more hawkish group that sees an argument for a proactive approach to lean against potentially persistent inflation pressures with a higher OCR from perhaps in May or July; and a more dovish camp that's happier to take more time to assess given the possibility that the activity implications of the oil shock could dampen inflation over the medium term. That latter group might perhaps be happier to wait until later in the year before beginning to raise rates, but even among this group there seems no appetite for OCR cuts. Hence, as it was before the Iran war, the issue for the MPC is when, not if, to tighten.

One interesting tidbit from the RBNZ's communications was the sense that coming into the war the economy was gathering momentum following a slightly disappointing December quarter. The RBNZ retains optimism that economic momentum won't be unduly undermined by the war given the assumption that it will be over relatively soon. Certainly, some of the data seemed to support that optimism given that the Business NZ PMI for March showed resilience by falling only modestly, although understandably respondents expressed more concerns in the comments submitted with their responses. The ANZ's Heavy Traffic Index – a measure of commercial traffic flows – was also resilient in March, although light traffic volumes declined, likely reflecting higher fuel prices. We also notice that weekly filled jobs trends continued to track in line with year earlier levels through March, suggesting that any job shedding due to the war has not started.

This more hawkish take from the MPC prompted us to bring forward when we expect OCR increases to begin, from December to September 2026. We expect 25bp interest rate hikes at each meeting from then until the OCR reaches 3.5% – at which point the OCR will be firmly in the neutral zone from the RBNZ's perspective. After then, the outlook is cloudier and we expect a slower approach where the OCR increases at Monetary Policy Statements only and the pace of tightening accordingly slows. We continue to believe that the same shape

of the latter part of the interest rate cycle where the OCR rises above our assessment of neutral (which remains at 3.75%), peaking at 4.25% in December 2027 and remaining at 4.25% through 2028 before returning to 3.75% in 2029. Hence, we have brought forward our OCR profile by two meetings.

RBNZ Official Cash Rate



There is a lot of uncertainty about how the economic outlook will play out for obvious reasons. Hence, we think that it's easier to break down the entire interest rate cycle into two components: the initial move of the OCR from stimulatory levels to the neutral zone; and then what happens from there. For now, we suspect it will be easier to get a handle on the first part of the cycle. And indeed, the bar to starting the lift-off of the OCR towards neutral levels is likely a lot lower than moving the OCR above neutral and beyond.

The key focus for the MPC seems to be what the high-frequency data can tell them about the peak in inflation, but especially how persistent inflation pressures are likely to be. Top of mind are indicators of inflation expectations (especially medium-term expectations), firm pricing behaviour and wage growth trends. The reality is that little will be learned about wage setting trends for some time – and indeed stronger wage growth if in the offing is more likely a 2027 than a 2026 story. So, the focus should be on what we can learn from the monthly inflation expectations surveys, the Quarterly Survey of Business Opinion and monthly Selected Price Indices to see if there are signs of broad and potentially persistent inflation pressures.

Looking to the week ahead, there are several data releases to watch. On Monday, we'll get the March Business NZ PSI which will provide a snapshot of how the service sector has been tracking coming into the current period. Later in the week, we'll get updates on migration and house sales. The latter is likely to show that house price growth has remained muted, with abundant supply and upward pressure on borrowing costs keeping a lid on prices.

On Friday we'll get updates on both selected consumer prices and retail spending for March. Those releases will warrant close attention, with the impacts of the Middle East conflict likely to be evident. On retail spending, we're expecting a fuel-related rise in spending as prices rocketed higher over the month and many people rushed to fill their tanks ahead of further price increases. However, increased spending on essentials like fuel and groceries is weighing on spending in other areas such as hospitality. As a result, core (ex-fuel) spending is likely to be down. On the price front, March's Selected Prices update will show a sharp rise in fuel costs. The big question is how those costs are rippling through the economy more broadly. The full impact of those indirect fuel price rises won't be evident until later this year. However, we will see some early impacts, with airlines announcing large increases in domestic and international airfares during the month.

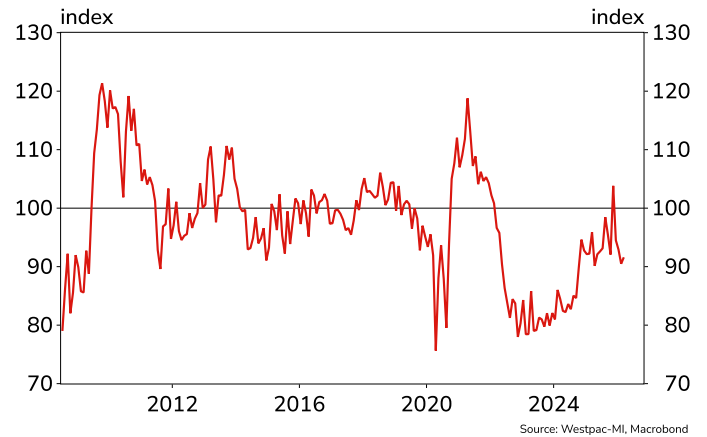
AUS: Apr Westpac-MI Consumer Sentiment (index)

Apr 14, Last: 91.6

Consumer sentiment edged 1.2% higher to 91.6 in March from 90.5 in February. The survey was conducted in the first week of the month, during the initial outbreak of conflict in the Middle East but prior to the RBA's 25bp rate hike in the third week of the month. While the survey as a whole showed a slight improvement, daily responses showed a material weakening over the course of the survey week with responses captured in the last three days of the week consistent with an index read of just 84.

The April survey is in the field over the week ending April 11. It will almost certainly show a decline with the Middle East conflict escalating (albeit with a ceasefire announced on April 8) and big spike in fuel prices (up +44c a litre vs last month). With last month's RBA rate hike and wider inflation fears also in the mix, sentiment looks primed for a sizeable fall.

Consumer Sentiment Index



AUS: Mar Labour Force – Employment Change (000s)

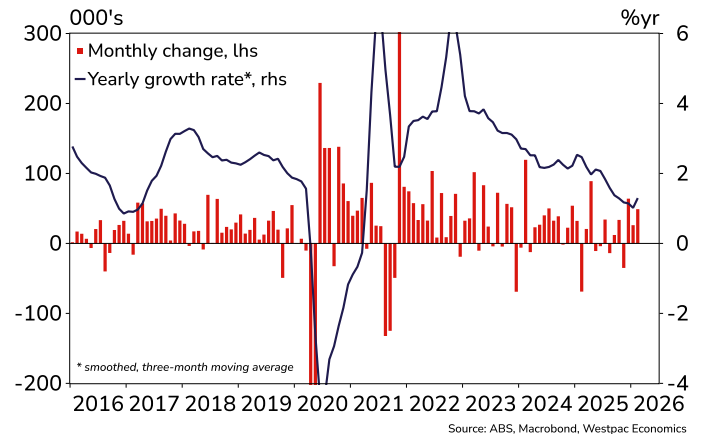
Apr 16, Last: 48.9, Westpac f/c: 25
Market f/c: 20.0, Range: 5.0 to 35.0

Feb's gain in employment was firmer than expected, but it was partly a result of a shift in seasonal patterns around marginally attached workers, resulting in softer Jan reads and stronger Feb reads for employment.

Having now moved past this seasonal dynamic, we have pencilled in a lift in employment of +25k for March – slightly firmer than the average gain over the preceding twelve months, reflecting the pre-conflict trend of firming employment growth.

The March survey was in the field from March 1 to 14. This will garner significant interest given it is the first official economic data release that overlaps the Middle East conflict. However, it is far too early to detect any meaningful shift in broad labour market conditions in response. See our preview [here](#).

Employment growth moving past its trough



AUS: Mar Labour Force – Unemployment Rate (%)

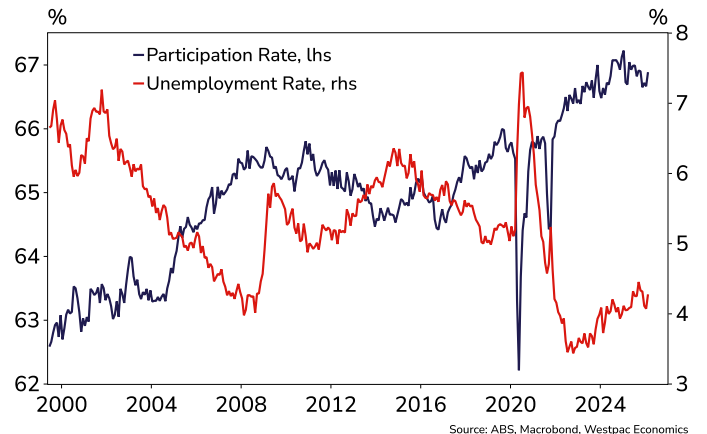
Apr 16, Last: 4.3, Westpac f/c: 4.2
Market f/c: 4.3, Range: 4.2 to 4.4

The unemployment rate lifted from 4.1% over Dec/Jan to 4.3% in Feb, taking it back to the levels seen through most of the second half of last year. The increase was mainly due to a lift in the participation rate, from 66.7% to 66.9%.

Lower prints for unemployment around in Dec/Jan came from lower labour force participation – while employment growth was weak, growth in the size of the labour force was even weaker, resulting in apparent 're-tightening'.

For March, we have pencilled in a slight dip in the participation rate to 66.8%, seeing the unemployment rate tick down to 4.2%. Looking further ahead, we think the unemployment rate will rise to 5% by year-end. See our preview [here](#).

Participation and unemployment rates lift

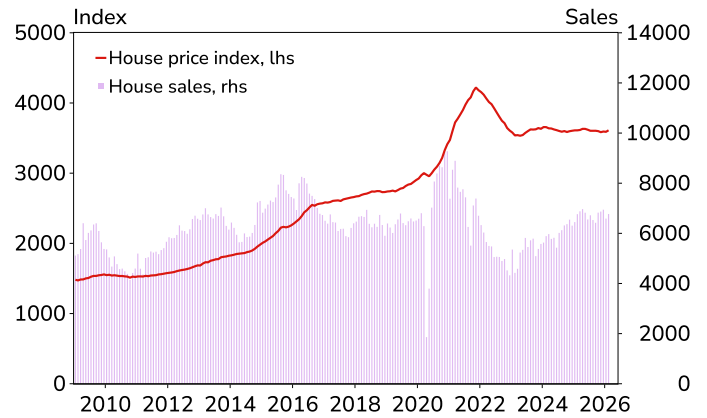


NZ: Mar REINZ House Sales and Prices (%yr)

Apr 15, Sales last: 0.3, Prices last: 0.0

February was a perkier month for the housing market, with a lift in the number of sales and a 0.6% seasonally adjusted rise in prices. However, neither measure has escaped from the generally sideways trend of the last year or so. Low mortgage rates are supporting demand, but the ample supply of homes on the market, low population growth and falling rents mean that there is a lack of pressure on house prices. The move higher in fixed-term mortgage rates in recent months has likely weighed on investor sentiment as well.

REINZ house sales and prices



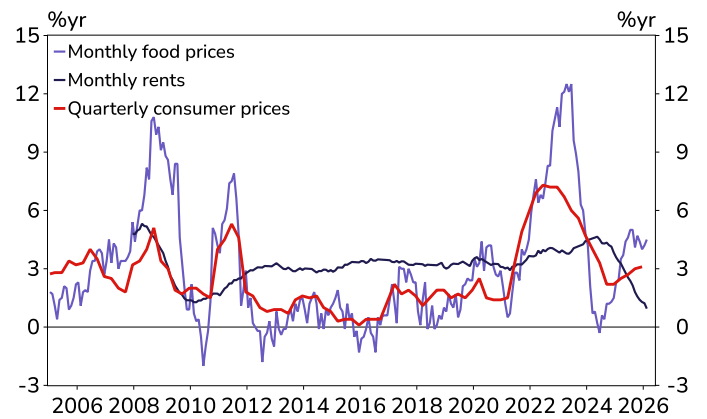
Source: REINZ, Macrobond, Westpac Economics

NZ: Mar Selected Prices (%mth)

Apr 17

The SPI covers around 50% of the full CPI (out 21 April) and will provide an early read on how the Middle East conflict has affected inflation pressures. Petrol prices are estimated to be up 20% over the past month with diesel prices up 50%. Importantly, those higher fuel prices have been flowing through to other prices. While the full impact of those indirect price rises won't be evident until later this year, March did see large increases in domestic and international airfares. There could be some related softness in other prices, like holiday accommodation, but that would only offset a small proportion of the other cost increases were seeing. On the housing front, we're expecting to see continued softness in rents.

NZ selected consumer prices



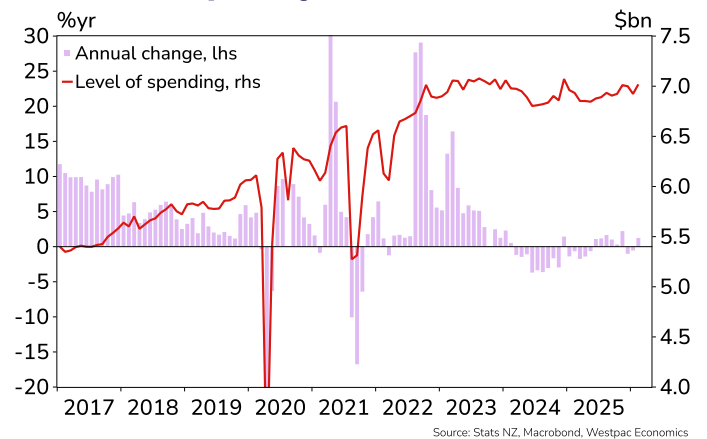
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Mar Retail Card Spending (%mth)

Apr 17, Last: 1.4, Westpac: 0.5

We're expecting a 0.5% rise in retail card spending in March. But underlying that is an ugly breakdown of spending across categories. Underpinning the expected rise in spending is the large increases in petrol and diesel prices over the past month as a result of the Middle East war. We also saw households rushing to fill tanks and keep them full. We're also expecting a pick-up in grocery food spending, in part due to concerns about shortages which saw some households stocking up. However, core spending (ex fuel) is likely to be down over the month, with higher fuel prices and increased spending on essentials likely to see households reining in their spending in discretionary areas. In particular, we expect a sharp fall in hospitality spending.

NZ retail card spending



Source: Stats NZ, Macrobond, Westpac Economics

China: Q1 GDP

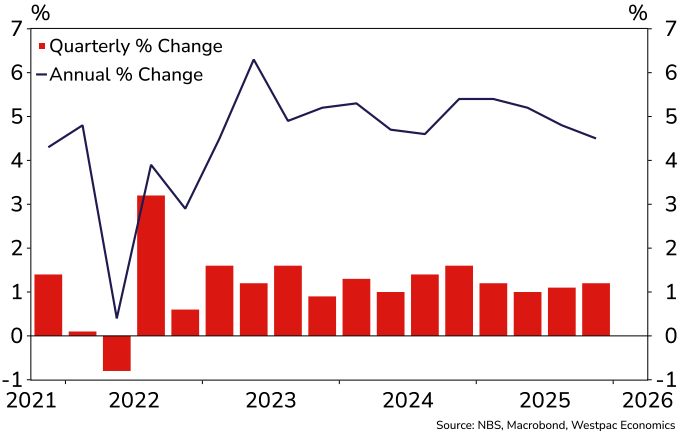
Apr 16, %y/y, Last: 4.5%, Mkt f/c: 4.8%, WBC f/c: 4.8%

China’s authorities achieved their 5.0% growth ambition in 2025, albeit with an abnormally large contribution from net exports and despite persistent weakness in household demand. Given the scale of their trade surplus and China’s dominant position in global manufacturing, such a feat will be very difficult to repeat in 2026 and beyond.

This year, growth is likely to be softer, closer to 4.5% than 5.0%, and will increasingly rely on the consumer and domestically-focused investment (housing and infrastructure) as trade provides support only at the margin.

In getting a read on growth opportunities in 2026, the monthly activity data to March will be as important as the GDP detail. This is true both for the baseline view and the risks.

2025 target achieved; 2026 at risk



What to watch

For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 13						
NZ	Mar	BusinessNZ PSI	index	48.0	–	– Began the year on a contractionary heading.
Jpn		BoJ Governor Ueda	–	–	–	– Speaking at Trust Companies Conference.
US	Mar	Existing Home Sales	%mth	1.7	0.1	– Low turnover in established market reflects rate pressures.
Tue 14						
Aus		RBA Deputy Governor Hauser	–	–	–	– Fireside chat at NYU, at 8:45am AEST.
	Apr	Westpac–MI Consumer Sentiment	index	91.6	–	– Will capture the full reaction to US-Iran oil price shock.
	Mar	NAB Business Conditions	index	7	–	– Conditions on shaky footing, confidence evaporating.
NZ	Feb	Net Migration	no.	4460	–	– Recent signs of an uptick, though data is prone to revisions.
Jpn	Feb	Industrial Production	%mth	–2.1	–	– Final estimate.
US	Mar	NFIB Small Business Optimism	index	98.8	–	– Acute risks facing small businesses amid uncertainty.
	Mar	PPI	%mth	0.7	1.2	– Wholesale inflation already lifting pre-conflict.
		Fedspeak	–	–	–	– Goolsbee.
Wed 15						
NZ	Mar	REINZ House Prices	%yr	0.0	–	– Prices remain muted despite low mortgage rates...
	Mar	REINZ House Sales	%yr	0.3	–	– ...with an ample supply of homes available for sale.
Jpn	Feb	Core Machinery Orders	%mth	–5.5	–1.1	– Exceptionally volatile, but was on a firmer footing pre-conflict.
Eur	Feb	Industrial Production	%mth	–1.5	0.4	– PMIs pointing to a slowdown in industrial activity.
US	Apr	Fed Empire State Manuf Survey	index	–0.2	–	– Blizzards impact, but high-tech skew is paying dividends.
	Mar	Import Price Index	%ann	1.3	–	– Headline vs. ex petroleum will give sense of scale.
	Apr	NAHB Housing Market	index	18.1	–	– Surge in fuel costs rubs salt in the wound for homebuilders.
		Federal Reserve's Beige Book	–	–	–	– Update on conditions across the districts.
		Fedspeak	–	–	–	– Bowman.
Thu 16						
Aus		RBA Deputy Governor Hauser	–	–	–	– Panel participation at IIF Forum, 6:00am AEST.
	Apr	MI Inflation Expectations	%ann	5.2	–	– Fuel price shock is salient to consumers.
	Mar	Employment Change	000s	48.9	20.0	25 The first 'hard' economic data since conflict begun, but it ...
	Mar	Unemployment Rate	%	4.3	4.3	4.2 ... will take longer for labour market weakening to take hold.
		RBA Assistant Governor Hunter	–	–	–	– Panel participation at IMF Spring Meetings, 4:30am AEST.
Chn	Q1	GDP	%ann	4.5	4.8	4.8 Growth expected to remain sub-5% on an annual basis.
	Mar	Retail Sales	ytd %yr	2.8	–	– Lunar New Year muddies the read on local consumption ...
	Mar	Industrial Production	ytd %yr	6.3	–	– ... but its clear that foreign demand remains a key support.
	Mar	Fixed Asset Investment	ytd %yr	1.8	2.0	– Cooling in high-tech manufacturing investment largely done.
Eur	Mar	HICP Inflation	%ann	2.5	2.5	– Final estimate.
UK	Feb	Monthly GDP	%mth	0.0	–	– Shaky start to the year, before conflict impacts.
US		Initial Jobless Claims	000s	–	–	– Still at a low level versus history.
	Apr	Phily Fed Manufacturing	index	18.1	–	– Continues to outperform all other regions.
	Mar	Industrial Production	%mth	0.2	0.1	– Set to slow near-term given fuel intensity of industry.
		Fedspeak	–	–	–	– Williams.
Fri 17						
Aus	Q1	Westpac-Now	%qtr	0.6	–	– Refined Q1 GDP growth nowcast.
NZ	Mar	Selected Price Indices - Food	%mth	–0.1	–	0.3 Grocery food price pushing higher.
	Mar	Selected Price Indices - Rents	%mth	–0.1	–	0.1 Very weak, with the demand-supply balance favouring tenants.
	Mar	Retail Card Spending	%mth	1.4	–	0.5 Core spending to fall, as higher fuel price constrain spending.
Eur	Feb	Trade Balance	€bn	12.1	–	– Maintaining a solid surplus despite trade disputes.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.66	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	4.97	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	67	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.30	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.49	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	39	45	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7069	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5848	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.25	156	155	154	152	150	148	146	144	142
EUR/USD	1.1690	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3418	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8320	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2089	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.1	3.3
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

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Week beginning 6 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Revised RBA rates view: two extra hikes, 4.85% peak, later reversal.

The Week That Was: Mixed messages.

Focus on New Zealand: Not hawkish. Not dovish. Balanced.

Forecast Update: we pencil in three more rate hikes this year and have posted our full baseline forecasts.

For the week ahead:

Australia: Household spending indicator, MI inflation gauge.

New Zealand: RBNZ Policy decision, manufacturing PMI.

Japan: Household spending.

China: CPI, PPI.

Euro area: PPI, retail sales, Sentix investor confidence.

United States: CPI, GDP, personal income, personal spending, PCE deflator, factory orders, consumer credit.

Global: Easter Monday, S&P Global Services PMIs.

Information contained in this report current as at 2 April 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Revised RBA rates view: two extra hikes, 4.85% peak, later reversal



Luci Ellis
Chief Economist, Westpac Group

We have revised our view of the outlook for RBA policy, adding two further hikes to the near-term profile and pushing out the eventual reversal. We now expect 25bp rate hikes at the 16 June and 11 August decisions, in addition to the 25bp hike we already expected at the May meeting. The peak for the cash rate is now expected to be 4.85%.

This shift reflects the longer disruption to and slower recovery in fuel supply assumed in the revised baseline forecasts we first published on [Friday afternoon](#), with the Strait of Hormuz essentially closed for eight weeks and traffic recovering only slowly after that. It also reflects the surprisingly rapid pass-through of higher fuel and other oil-derived product prices into other prices in Australia. We believe the RBA will respond to this pricing behaviour by tightening monetary policy by more than would have been needed absent that pass-through.

The halving of fuel excise, announced by national cabinet today, reduces the near-term outlook for headline CPI inflation, but a peak of 5.4%yr in June quarter remains likely. The announcement also does not affect prices of other oil-related products, including aviation fuel and various plastics, or any price increases from damage to gas and other production facilities in non-combatant Gulf states. Much of the second-round pass-through of prices is therefore likely to remain in place, and we continue to expect trimmed mean inflation to peak around 4%yr later this year.

The higher cash rate profile will weigh on Australia's economic outlook. Growth will be slower, especially consumption, and the labour market will be softer. We expect unemployment to peak around 5%, somewhat higher than the 4.7% peak we flagged last week. Headline inflation will dip below 2½% by mid 2027 and will remain in the lower half of the 2–3% target range through to 2028. Trimmed mean inflation will take a little longer to decline, but will be back in the target range in 2028.

A companion note, also to be released this afternoon, fleshes out the rest of the forecasts. The revisions incorporate the assumed longer closure of the Strait of Hormuz and other supply disruptions in the Middle East flagged last week. In addition, we have updated for the new profile for the cash rate, the changes to fuel excise and some other recent events.

Despite the weaker economic outlook and potential undershoot of the inflation target implied by these revised forecasts, we think the RBA will be slow to reverse this policy tightening and risks getting behind the curve in coming years. We push out the date for rate cuts and pencil in four rate cuts, one per quarter in February, May, August and November 2028. We have low conviction about the exact timing.

The RBA will have already been spooked by the way inflation kicked up late last year after it took back some of its earlier rate hikes (though the usual lags of policy imply that the cuts were not the cause of that increase in inflation). We therefore suspect that the unwind of the current policy tightening will involve something of a “one bitten, twice shy” mentality. Second-round pass-through to other prices and costs will only increase the RBA's reluctance to unwind the current policy tightening.

“we continue to expect trimmed mean inflation to peak around 4%yr later this year.”

We also believe the RBA's [evolving intellectual framework](#) will militate against an early reversal of these hikes. A supply shock such as the one the world is now facing should ordinarily be looked through to the extent possible, so long as longer-term inflation expectations remain anchored. Because it believes Australia is starting from a position of little spare capacity, though, the RBA sees the supply shocks as a potential reason to have both a restrictive stance of policy and to revise up its view of what constitutes restrictive policy.

The RBA has insisted that it retains its earlier strategy of holding onto as much of the post-pandemic employment gains as possible, subject to meeting the inflation target. While inflation was actually in the 2–3% target range for part of last year, underlying inflation did not get all the way back to the 2½% target midpoint before lifting again. This is clearly being interpreted in some quarters as inflation having been above target continuously. The Monetary Policy Board will therefore want to demonstrate its commitment to returning inflation back to target expeditiously and its willingness to do what it sees as necessary to achieve this.

As noted last week, there are risks on both sides of our revised baseline view. Iran is already letting some ships through the Strait, and it is possible that fuel supply recovers faster than we are currently assuming. It is also possible that a consensus forms domestically to resist second-round inflation, especially where the flow-on of higher costs to downstream prices could be construed as excessive. On the more inflationary side, it is possible that the war drags on longer, or domestic pass-through is stronger than we currently expect.

Forecast changes

- RBA now expected to hike rates three times (May, June, August), revised up from one more (in May) previously. Peak cash rate now 4.85%, above previous peak.
- Longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil now expected to peak at an average \$120/bbl in Q2 and Japanese LNG prices at \$26mmbtu.
- Australian CPI inflation now expected to peak at 5.4%yr in June quarter, and even higher on the monthly series, despite the announced cut to fuel excise. Trimmed mean inflation peaks around 4% in 2026 H2. Food prices a particular concern through to 2028, but broader pass-through to non energy prices also an issue.
- Supply shock and tight monetary policy drag on demand, especially consumption and other interest-sensitive sectors. GDP growth forecast to trough at 1%yr in 2026, and remain subdued at 1.6%yr in 2027; unemployment rate peaks at 5% end-2026.

Cliff Notes: mixed messages

Elliot Clarke, Head of International Economics

At the turn of the week, [Chief Economist Luci Ellis](#) and Westpac Economics highlighted how severe the inflationary impact is expected to be for Australia. Recognising the extreme uncertainty surrounding the conflict and the passage of time, we extended our baseline supply assumption from a one to two-month complete shutdown of the Strait of Hormuz followed by a protracted recovery in transit from 20% of pre-conflict supply in May to normal supply at year end. Also, a consequence of elevated refining margins globally, annual Australian consumer inflation is now expected to peak around 6%yr in mid-Q2. While headline inflation will fall back to target over the following year, trimmed mean inflation is forecast to remain above 3.0%yr until end-2027 and only settle in the middle of the target range in late-2028, having peaked at 4.0%yr at end-2026.

With Australia already experiencing tight capacity and elevated domestic inflation pressures, attested to again by the RBA in the [March Monetary Policy Board meeting minutes](#), the Middle East conflict warrants pre-emptive action by the RBA through three 25bp cash rate hikes in May, June and August 2026 to 4.85%. Policy is then seen on hold until 2028, when success with inflation should allow the cash rate to be reduced by 100bps steadily through the year. The consequence for GDP is likely to be a deceleration to just 1.0%yr in 2026, followed by a sub-par 1.6%yr gain in 2027, then an above-trend 2.8%yr recovery in 2028. The unemployment rate is forecast to rise to 5.0% at end-2026, and to take until end-2028 to return to its full employment level, circa 4.5%.

To the above forecasts, time matters a great deal. If, as has been mooted in recent days (and may be confirmed in a Presidential address later today), the Trump administration calls a quick end to the US' strikes against Iran, Australian GDP and the labour market may receive a reprieve. That said, heightened inflation will remain an acute risk while transit and supply-chain disruptions persist, and businesses may also take the opportunity to re-set margins. The balance between inflation and activity risks will therefore remain in focus for the RBA over the coming year. Ahead of the Federal Budget, [the Government's financial position](#) is also in flux, although current conditions look more likely to prove a positive than negative at this stage.

Local data out this week meanwhile focused on housing. [Cotality home values](#) increased a solid 0.6% in March. Although affordability saw a divergence in conditions city by city, with prices down a touch in Sydney and Melbourne as strong growth continued in Brisbane, Adelaide and Perth. Where conditions are weakest, reduced turnover is holding prices up. [Dwelling approvals](#) remained volatile in February, a

29.7% monthly gain lifting the annual growth rate to 14%yr. Australia clearly has need for significant, sustained additions to housing supply across our major cities, but affordability and the cost of construction are material risks which are likely to persist into the medium term.

“heightened inflation will remain an acute risk while transit and supply-chain disruptions persist”

Offshore, the list of data worthy of mention was short this week. University of Michigan consumer sentiment was, unsurprisingly, weak in March, 19% below the 5-year average and 37% under the full-history benchmark. The Conference Board's measure showed greater resilience but was still weak versus history. That said, ADP private payrolls continued to grow in March, and the retail sales control group recorded a solid gain of 0.5%mo. The ISM manufacturing index for March was also favourable, although the survey only caught the beginning of disruptions related to the Middle East conflict and the detail was also mixed, with production up, new orders down and employment contracting. China's official PMIs emphasised the nation's ability to weather uncertainty, with both the manufacturing and services indexes higher in March.

The key international data release for the week is still to come on Friday night. The US March employment report will be closely scrutinised after February's weak detail reset participants current understanding and expectations for the labour market. US policy makers have been more focused on inflation risks in recent weeks, but another poor employment result could see them reconsider this view. In contrast, a rebound in job creation will likely see market pricing for near-term policy decisions shift materially in favour of a hike, or two, as has been the case elsewhere across the developed world.

Not hawkish. Not dovish. Balanced.



Satish Ranchhod
Senior Economist

The RBNZ meets next week for its April Monetary Policy Review (Wednesday 8 April, NZ 2pm). As [discussed in our preview](#), in the absence of major developments in the Middle East over the coming days, the RBNZ is set to leave the Official Cash Rate (OCR) at 2.25%. However, rather than the immediate OCR decision, the key focus will be on how the RBNZ is balancing the significant challenges stemming from the conflict in the Middle East and what that implies for the longer-term policy outlook.

Since the RBNZ last met in February, the risks around the economic outlook have changed significantly. Economic growth in the final quarter of last year has already come in below the RBNZ's forecast. More significantly, disruptions stemming from the war in the Middle East mean that growth over 2026 is now also likely to fall well short of the RBNZ's previous forecast. We expect the economy to grow just 1.9% in the year to December, well below the February MPS forecast for growth of 2.8%. We also expect a higher track for the unemployment rate.

At the same time, inflation is set to run much hotter than the RBNZ had expected over 2026. [We're forecasting that inflation will peak around 4.1%](#) around the middle of this year before softening a little to 3.8% by year's end – well above the RBNZ's previous year-end forecast for 2.4%. Our stronger inflation outlook is mainly due to the direct impact of higher oil prices (i.e., higher prices for petrol and diesel). However, even if global oil prices were to drop back now, inflation is still set to linger above the RBNZ's forecast over the remainder of this year, as disruptions to supply chains and other related increases in costs of production will take time to dissipate.

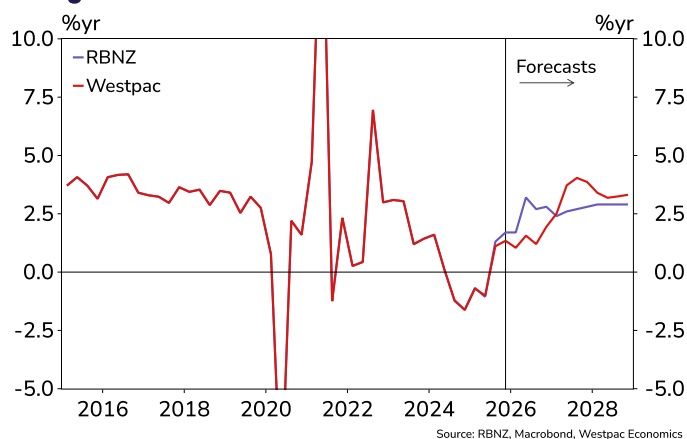
RBNZ Governor Breman has already outlined how she is thinking about those challenges in [a recent speech](#). That speech described an orthodox (and sensible) approach to monetary policy in the face of a supply shock, of which the current oil price is a typical example. The Governor noted that the RBNZ would not react to the immediate fuel-related lift in inflation. The RBNZ can't offset a rise in oil prices that has already occurred with higher interest rates now, but doing so would compound the downward pressure on growth. Furthermore, with interest rates taking around 12 to 18 months to have their maximum impact, hiking rates now would potentially result in an even deeper fall in inflation at the same time as the eventual falls in oil prices will naturally pull it lower.

Instead, the focus for the RBNZ will be the longer-term outlook for inflation. And this is where things start to get murky. The key issue for the RBNZ is whether the current

sharp rise in prices will have lingering effects, resulting in higher inflation even when oil prices eventually ease. That could occur if businesses come to expect continued large increases in operating costs and raise their prices accordingly. There's also the risk that we see demands for higher-than-normal cost-of-living increases as workers try to recoup the current loss of spending power. Both of those risks are very plausible given that we've recently been through an extended period of high inflation and related pressure on businesses' operating costs. And if those risks do materialise, the current uplift in inflation could end up being much more protracted.

It will take some time before we know whether those longer-term inflation risks (sometimes referred to as 'second round' impacts of an oil price shock) are manifesting. The starting point for the economy is important on this front and provides some cause for optimism. Soft activity in recent years has left the New Zealand economy with a high level of spare capacity, including a higher-than-average unemployment rate. That will limit the ability to push through larger increases in output prices or wages (though that does also imply related pressure on margins and households' purchasing power).

GDP growth forecasts



We are already seeing reports of businesses raising their prices due to the direct impact of increases in fuel prices on their operating costs (e.g., higher fares and fuel surcharges within the land transport industry). Perhaps of more concern for the RBNZ, the latest ANZ Business Outlook Survey (which was conducted following the outbreak of the war) showed a sharp rise in inflation expectations, along with increases in the number of businesses who said they are planning to increase their prices. That said, given the outlook for inflation, it would

be surprising if surveyed inflation expectations did not rise in the near-term. Some comfort might be taken from firms' expectations for wage growth. These remained muted in the survey, suggesting that firms are not expecting current cost increases to feed a wage-price spiral.

The RBNZ's discussion of how its balancing the impact on growth and near-term inflation will be crucial for how markets react next week. Markets have been very focused on the rise in inflation pressures and related hawkish comments from other central banks. That's seen financial markets also pulling forward expectations for rate hikes here: at the time of writing, market pricing was consistent with an 60% chance of an OCR hike in July, and just over two hikes are priced in before the end of the year.

In its communications on 8 April, the RBNZ will balance a desire to avoid a further tightening of financial conditions with the desire to not sound complacent about the medium-term inflation risks that come with an energy price shock. Reinforcement of the approach communicated in Governor Breman's speech guidance should continue to lean against the market's current pricing for earlier rate hikes, especially as liquidity issues in the domestic market continue to ease. We continue to forecast just one 25bp hike this year, but also that significant tightening will occur in 2027 once the activity implications of the energy shock begin to dissipate.

The RBNZ's guidance about what to expect at future meetings will also likely echo the Governor's speech. In crafting this guidance, the MPC will aim to reassure markets that it will not overreact to the shock, which could cause markets to further tighten financial conditions. At the same time, the RBNZ will need to ensure it sounds credible to households and businesses about its willingness to tighten policy if inflation expectations and pricing behaviour evolve in a manner inconsistent with achieving the inflation target over the medium-term. While monetary policy should look through a temporary spike in energy prices, the MPC will need to be vigilant – and be seen to be vigilant – against the risk that inflation becomes persistent.

As we discuss in our latest [Hawks, doves, and kiwis](#) note, there are clearly risks on both sides for the OCR. Governor Breman's recent speech did draw on feedback from other MPC members, but there could still be a range of views among the Committee. Furthermore, this is a fast-changing situation. And with inflation pressures continuing to build over the past few days, even more dovish or balanced members of the MPC could start to change their assessments of risks. With that in mind, the Record of Meeting accompanying next week's interest rate review will be monitored closely to see where the members of the Committee see the risk. Key areas where the views of the Committee could diverge include the likely duration of the conflict, the impact on the economy, the likelihood of second-round effects driving persistent inflation over the medium-term, and the appropriate course

for monetary policy over time. Such discussions might provide some insight into how the consensus view of the MPC might evolve as more is learnt about the evolution of the conflict and its economic impacts.

As part of her efforts to improve central bank transparency, Governor Breman has introduced a full press conference at interim reviews, and this will be the first review under that new framework. Historically, the RBNZ has not released updated forecasts at review meetings, and instead released them at the more complete quarterly updates. However, given the large changes in the economic landscape in recent weeks, the RBNZ is likely to discuss the risks around their previous forecasts. And we wouldn't rule out the chance that they could release some initial forecasts of key variables, like GDP, inflation, and the OCR.

AUS: Feb Household Spending Indicator (%mth)

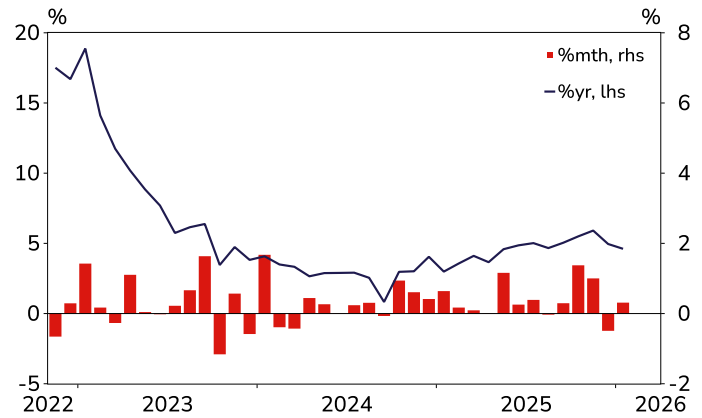
Apr 7, Last: 0.3, Westpac f/c: -0.2

Mkt f/c: 0.2, Range: -0.2 to 0.4

The Household Spending Indicator rose 0.3%_{mth} in January, in line with its average monthly pace over the past two years. Annual growth eased back to 4.6%_{yr}, having averaged just over 5%_{yr} through the second half of 2025.

The detail from our **Westpac-DataX Card Tracker** suggests the ABS spending indicator will show a dip for the February month. Our forecast 0.2% decline in the month would take annual growth to 4.2%_{yr}. With population growth tracking at 1.6%_{yr}, the 2.6%_{yr} pace in per capita terms this points to a slight decline in real, inflation-adjusted terms. Of course, all of this pre-dates the Middle East conflict and associated fuel price surge. Our card tracker shows this has already seen significant disruptions to activity in March (see [here](#)).

Monthly household spending indicator



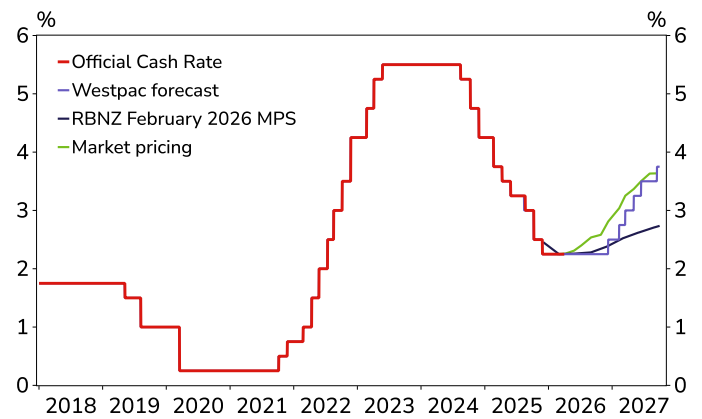
Source: ABS, Macrobond, Westpac Economics

NZ: RBNZ Monetary Policy Review

Apr 8, Official Cash Rate – last: 2.25%, Westpac: 2.25%, Market: 2.25%

We expect the RBNZ to hold the OCR at 2.25% at its 8 April review. We expect the RBNZ to emphasise that it will not react to the first-round impact of higher energy prices on near-term inflation, but that it will respond should there be evidence of second round effects that might create persistent inflation. The Bank is not scheduled to present revised economic projections at this meeting. However, it is possible that the RBNZ will provide some guidance of the likely magnitude of the upward revision to near-term inflation and downward revision to GDP.

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

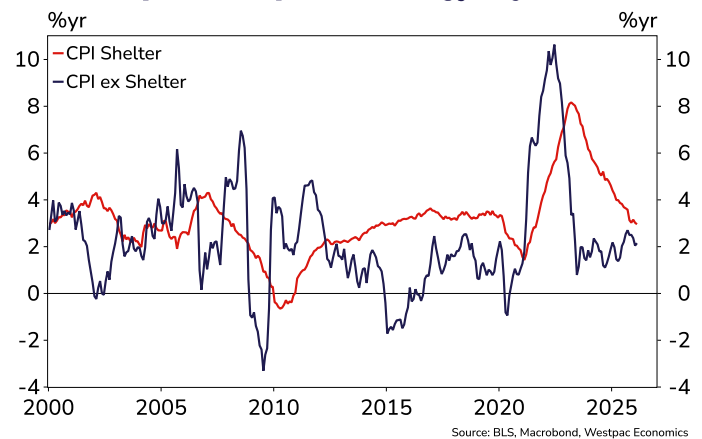
US: Mar CPI

Apr 10, %m/m, Last: 0.3%

February saw a 0.3% increase in headline consumer prices as both food and energy contributed to the aggregate impulse. The gain for core prices was measured at 0.2%, although that means underlying inflation continues to run meaningfully above the FOMC's 2.0% target on both an annual and annualised basis.

March is likely to see a material step up in headline inflation as the Middle East conflict shocks energy prices higher. Firms may also take the opportunity to push through additional increases to strengthen margins. All the while, capacity pressures continue to hold up price growth for services, and the weaker dollar and tariff costs support core goods pricing. Inflation risks will remain a lasting concern for the FOMC.

Domestic pressures persist; energy to jolt



Source: BLS, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 06							
US	Mar	ISM Services PMI	index	56.1	54.9	–	Confidence shock could arrest the upturn in services activity.
World		Easter Monday	–	–	–	–	Markets closed.
Tue 07							
Aus	Mar	MI Inflation Gauge	%ann	3.6	–	–	Will kick materially higher given the fuel price shock.
	Mar	ANZ–Indeed Job Ads	%mth	3.2	–	–	Labour demand is stabilising, but outlook is cloudy.
	Feb	Household Spending Indicator	%mth	0.3	0.2	–0.2	Card activity suggests momentum is pulling back in early-26.
NZ	Mar	ANZ Commodity Prices	%mth	4.2	–	–	Overall index up due to dairy prices, others mixed.
Jpn	Feb	Household Spending	%mth	–1.0	–1.3	–	Households on fragile footing, even before Middle East.
Eur	Apr	Sentix Investor Confidence	index	–3.1	–5.2	–	Global inflation and growth risks do not bode well for confidence.
US	Feb	Durable Goods Orders	%mth	0.0	–	–	Businesses may delay investment plans amid uncertainty.
	Mar	NY Fed 1-Yr Inflation Expectations	%ann	3.0	–	–	Surge in fuel prices will have a salient impact on expectations.
	Feb	Consumer Credit	\$bn	8.1	–	–	On a firmer trend compared to this time last year.
		Fedspeak	–	–	–	–	Goolsbee.
World	Mar	S&P Global Services PMI	–	–	–	–	Final estimates for Eurozone and UK.
Wed 08							
NZ		RBNZ Policy Decision	%	2.25	2.25	2.25	Key focus will be the discussion of longer term risks.
Eur	Feb	PPI	%ann	–2.2	–	–	Producer price deflation may reverse over coming months.
	Feb	Retail Sales	%mth	–0.1	0.2	–	Choppy over recent months, but annual growth is lifting.
US		FOMC Meeting Minutes	–	–	–	–	Deliberations around conflict risks will be a key focus.
Thu 09							
US	Feb	Personal Income	%mth	0.4	–	–	Income growth continues to outpace inflation, allowing ...
	Feb	Personal Spending	%mth	0.4	–	–	... real consumption to maintain stable growth, but the war ...
	Feb	PCE Deflator	%mth	0.3	–	–	... poses a material risk to both these trends near-term.
		Initial Jobless Claims	000s	–	–	–	Still at a low level versus history.
	Q4	GDP	%ann'd	0.7	–	–	Final estimate closely watched given downward revisions.
Fri 10							
NZ	Mar	Manufacturing PMI	index	55	–	–	Watching for signs of easing as global pressures mount.
Chn	Mar	CPI	%ann	1.3	1.1	–	Temporary boost from Lunar New Year spend will abate ...
	Mar	PPI	%ann	–0.9	0.6	–	... overcapacity and subdued demand back in spotlight.
US	Mar	CPI	%mth	0.3	–	–	Authorities will be focused on second-round effects.
	Feb	Factory Orders	%mth	0.1	–	–	Conflict may put some investment plans on the back burner.
	Apr	Uni. Of Michigan Sentiment	index	53.3	–	–	Flailing sentiment puts consumer spending at risk.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (2 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.30	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.71	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.72	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.03	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	66	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.38	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.51	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.43	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.72	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	34	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (2 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.6878	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5701	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.35	156	155	154	152	150	148	146	144	142
EUR/USD	1.1536	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3236	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9099	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2047	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.1	3.3
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



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Economic Calendar

April 2026



MON	TUE	WED	THU	FRI
		1	2	3
		AUSTRALIA Cotality Home Price Index Mar exp 0.7% prev 0.6% (12:01am) Building Approvals Feb exp 5.0% prev -7.2% (11:30am) CHINA RatingDog Mfg PMI Mar exp 52.5 prev 52.1 (12:45pm) EURO ZONE Unemployment Rate Feb exp 6.1% prev 6.1% (8:00pm) JAPAN Tankan Large Manufacturers Index Q1 exp 16 prev 15 (10:50am) NEW ZEALAND Building Permits Feb prev 1.9% (8:45am) UNITED STATES ADP Employment Change Mar prev 63k (11:15pm) Retail Sales Feb exp 0.4% prev -0.2% (11:30pm) Fedspeak – Musalem (12:05am) Fedspeak – Barr (12:10am) ISM Mfg Mar exp 52.3 prev 52.4 (1:00am) Business Inventories Jan prev 0.1% (1:00am) GLOBAL S&P Global Manufacturing PMI Mar (F)	AUSTRALIA Goods Trade Balance Feb exp \$1.5bn prev \$2.6bn (11:30am) Job Vacancies Q1 exp 3.0% prev -0.2% (11:30am) UNITED STATES Trade Balance Feb exp -\$66.0bn prev -\$54.5bn (11:30pm)	CHINA RatingDog Services PMI Mar exp 53.7 prev 56.7 (12:45pm) UNITED STATES Employment Report Mar (11:30pm) Nonfarm Payrolls Chg exp 51k prev -92k Unemployment Rate exp 4.4% prev 4.4% Avg Hourly Earnings exp 0.3% prev 0.4% S&P Global Services PMI Mar (F) (12:45am) GLOBAL Good Friday – Markets Closed
6	7	8	9	10
UNITED STATES ISM Services Mar exp 55.0 prev 56.1 (1:00am) GLOBAL Easter Monday – Markets Closed	AUSTRALIA MI Inflation Mar y/y prev 3.6% (11:00am) ANZ-Indeed Job Ads Mar prev 3.2% (11:30am) Household Spending Indicator Feb exp -0.2% prev 0.3% (11:30am) JAPAN Household Spending Feb y/y prev -1.0% (9:30am) UNITED STATES Durable Goods Orders Feb prev 0.0% (10:30pm) NY Fed 1-Yr Inflation Expectations Mar y/y prev 3.0% (1:00am) Fedspeak – Goolsbee (2:35am) Consumer Credit Feb prev \$8.1bn (5:00am)	EURO ZONE Ger. Factory Orders Feb prev -11.1% (4:00pm) PPI Feb y/y prev -2.2% (7:00pm) Retail Sales Feb prev -0.1% (7:00pm) JAPAN Current Account Feb prev ¥941.6bn (9:50am) NEW ZEALAND RBNZ Policy Decision prev 2.25% (12:00pm) UNITED STATES FOMC Meeting Minutes (4:00am)	CHINA Credit & M2 Data Mar (9–14 Mar) New Yuan Loans ytd prev CNY5610bn M2 Money Supply y/y prev 9.0% EURO ZONE Ger. Industrial Production Feb prev -0.5% (4:00pm) UNITED STATES Personal Income Feb prev 0.4% (10:30pm) Personal Spending Feb prev 0.4% (10:30pm) PCE Deflator Feb prev 0.3% (10:30pm) GDP Q4 (F) ann'd prev 0.7% (10:30pm) Wholesale Inventories Feb (F) prev -0.5% (12:00am)	CHINA CPI Mar y/y prev 1.3% (11:30am) PPI Mar y/y prev -0.9% (11:30am) NEW ZEALAND BusinessNZ Mfg PMI Mar prev 55.0 (8:30am) UNITED STATES CPI Mar y/y prev 2.4% (10:30pm) Factory Orders Feb prev 0.1% (12:00am) UoM Consumer Sentiment (P) Apr (12:00am) Durable Goods Orders Feb (F) prev 0.0% (12:00am)

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Economic Calendar

April 2026



MON	TUE	WED	THU	FRI
13 UNITED STATES Existing Home Sales Mar prev 1.7% (12:00am)	14 AUSTRALIA RBA's Hauser – Fireside Chat (8:45am) Westpac-MI Consumer Sentiment Apr prev 91.6 (10:30am) NAB Business Survey (11:30am) Conditions prev 7 Confidence prev –1 CHINA Trade Balance Mar prev US\$91.0bn JAPAN Industrial Production Feb (F) (2:30pm) NEW ZEALAND Net Migration Feb prev 4460 (8:45am) UNITED STATES NFIB Small Business Optimism Mar prev 98.8 (8:00pm) PPI Mar y/y prev 3.4% (10:30pm)	15 EURO ZONE Industrial Production Feb prev –1.5% (7:00pm) JAPAN Core Machinery Orders Feb prev –5.5% (9:50am) UNITED STATES NY Empire Manufacturing Index Apr prev –0.2 (10:30pm) Import Price Index Mar prev 1.3% (10:30pm) NAHB Housing Market Index Apr prev 38 (12:00am) FOMC Beidge Book (4:00am)	16 AUSTRALIA RBA's Hauser – Panel Participation (6:00am) Consumer Inflation Expectations Apr y/y prev 5.2% (11:00am) Labour Force Survey Mar (11:30am) Employment Change exp 25k prev 48.9k Unemployment Rate exp 4.2% prev 4.3% Participation Rate exp 66.8% prev 66.9% CHINA GDP Q1 y/y prev 4.5% (12:00pm) Activity Data Mar ytd y/y (12:00pm) Retail Sales prev 2.8% Industrial Production prev 6.3% Fixed Asset Investment prev 1.8% EURO ZONE CPI Mar (F) (7:00pm) UNITED KINGDOM Monthly GDP Feb prev 0.0% (4:00pm) UNITED STATES Philadelphia Fed Manufacturing Index Apr prev 18.1 (10:30pm) Industrial Production Mar prev 0.2% (11:15pm)	17 EURO ZONE Trade Balance Feb prev €12.1bn (7:00pm) NEW ZEALAND Selected Price Indices Mar (8:45am) Retail Card Spending Mar prev 1.4% (8:45am) UNITED STATES Washington's Birthday – Markets Closed
20 NEW ZEALAND Trade Balance Mar prev –NZ\$257mn (8:45am) UNITED KINGDOM Rightmove House Prices Apr prev 0.8% (9:01am)	21 EURO ZONE EU ZEW Expectations Apr prev –8.5 (7:00pm) NEW ZEALAND CPI Q1 (8:45am) q/q prev 0.6% y/y prev 3.1% UNITED KINGDOM ILO Unemployment Rate Feb prev 5.2% (4:00pm) UNITED STATES Retail Sales Mar (10:30pm) Business Inventories Feb (12:00am) Pending Home Sales Mar prev 1.8% (12:00am)	22 AUSTRALIA Westpac-MI Leading Index Mar ann'd prev +0.08% (10:30am) EURO ZONE Consumer Confidence Apr (P) prev –16.3 (12:00am) UNITED KINGDOM CPI Mar y/y prev 3.0% (4:00pm)	23 UNITED KINGDOM Public Sector Borrowing Mar prev 14.3 (4:00pm) UNITED STATES Chicago Fed Nat Act Index Mar prev –0.11 (10:30pm) Kansas City Fed Manufacturing Index Apr prev 11 (1:00am) GLOBAL S&P Global PMIs Apr (P) Manufacturing Services	24 EURO ZONE Ger. IFO Business Climate Survey Apr (6:00pm) JAPAN CPI Mar y/y prev 1.3% (9:30am) UNITED KINGDOM GfK Consumer Sentiment Apr prev –21 (9:01am) Retail Sales Mar (4:00pm) UNITED STATES UoM Consumer Sentiment Apr (F) (12:00am)

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Economic Calendar



April 2026

MON	TUE	WED	THU	FRI
27	28	29	30	1 May
CHINA Industrial Profits Mar y/y prev 5.3% (11:30am) UNITED STATES Dallas Fed Manufacturing Index Apr (12:30am)	JAPAN Jobless Rate Mar (9:30am) BoJ Policy Decision prev 0.75% NEW ZEALAND Employment Indicator Mar (8:45am) UNITED STATES FHFA House Prices Feb (11:00pm) S&P CoreLogic CS House Prices Feb (11:00pm) Richmond Fed Manufacturing Index Apr prev 0 (12:00am) Conf. Board Consumer Confidence Index Apr (12:00am)	AUSTRALIA CPI Q1 (11:30am) Headline q/q exp 1.4% prev 0.6% Headline y/y exp 4.1% prev 3.2% Trimmed Mean q/q exp 0.9% prev 0.9% Trimmed Mean y/y exp 3.5% prev 3.4% Monthly CPI Mar (11:30am) Headline m/m exp 1.1% prev 0.0% Headline y/y exp 4.5% prev 3.7% EURO ZONE M3 Money Supply Mar y/y prev 3.0% (6:00pm) Economic Confidence Apr (7:00pm) Consumer Confidence Apr (F) (7:00pm) UNITED STATES Wholesale Inventories Mar (P) (10:30pm) Durable Goods Orders Mar (P) (10:30pm) Housing Starts Mar prev 7.2% (10:30pm) Building Permits Mar prev -4.7% (10:30pm) FOMC Policy Decision prev 3.625% (4:00am)	AUSTRALIA Private Sector Credit Mar (11:30am) Trade Price Indices Q1 (11:30am) Export Prices prev 3.2% Import Prices prev 0.9% CHINA NBS PMIs Apr (11:30am) Manufacturing Non-Manufacturing RatingDog Mfg PMI Apr (11:45am) EURO ZONE CPI Apr (P) (7:00pm) GDP Q1 (P) prev 0.2% (7:00pm) Unemployment Rate Mar (7:00pm) ECB Policy Decision (Deposit Rate) prev 2.00% (10:15pm) JAPAN Industrial Production Mar (9:50am) NEW ZEALAND ANZ Business Confidence Apr (11:00am) UNITED KINGDOM BoE Policy Decision prev 3.75% (9:00pm) UNITED STATES Personal Income Mar (10:30pm) Personal Spending Mar (10:30pm) PCE Deflator Mar (10:30pm) Employment Cost Index Q1 prev 0.7% (10:30pm) GDP Q1 (F) (10:30pm) Chicago PMI Apr (11:45pm)	AUSTRALIA PPI Q1 prev 0.8% (11:30am) NEW ZEALAND ANZ Consumer Confidence Apr prev 91.3 (8:00am) Building Permits Mar (8:45am) JAPAN Tokyo CPI Apr (9:50am) UNITED STATES ISM Manufacturing Apr (12:00am) GLOBAL S&P Global Manufacturing PMI Apr (F) ISM Manufacturing Apr (12:00am)

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Week beginning 30 March 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: The epic blunder of fighting the last war.

The Week That Was: A fork in the road.

Focus on New Zealand: Inflation up, growth down, OCR on hold?

Forecast Update: our new baseline incorporates a 2-month closure of the Strait of Hormuz.

For the week ahead:

Australia: RBA Minutes, private credit, dwelling approvals, goods trade balance, job vacancies.

New Zealand: employment indicator, business confidence, building permits.

Japan: CPI, jobless rate, industrial production, manufacturers index.

China: NBS PMIs.

Euro area: HICP inflation, unemployment rate.

United States: non-farm payrolls, unemployment rate, ISMs, retail sales, Conf. Board consumer confidence.

Global: Good Friday.

Information contained in this report current as at 27 March 2026.

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The epic blunder of fighting the last war



Luci Ellis
Chief Economist, Westpac Group

- **The Middle East conflict and the resulting fuel crisis are not the same as previous crises and should not require COVID-style policy responses such as work-from-home mandates. Governments and other decision-makers need to avoid the temptation to “fight the last war”. Nor should they fall into the trap of “we must do something, and this is something”, when that something is ill-suited to the current problem.**
- **The focus should instead be on the key issue for the world economy: how the conflict maps into energy-supply disruption via the closure of the Strait of Hormuz and/or damage to oil and gas infrastructure in other Gulf states. Time is almost up on our initial assumption that the Strait would be closed for about a month, so we have updated our baseline forecast to reflect this. But the Strait is a time-limited source of leverage for Iran. At some point, third-party countries will respond to the damage being done to them; already some tankers are being allowed through.**
- **This is a significant shock to the economy and a challenging situation for public policy. For the next few weeks, though, the appropriate monetary policy response is “wait and see”. The current crisis is not (yet) a financial crisis or a pandemic requiring immediate, potentially out-of-cycle, action. And conditions could be quite different in a month’s time. Domestic conditions will continue to shape the RBA’s decisions at its regular meetings.**

“Fighting the last war” is a common cognitive trap: trying to make a current crisis fit a past one. We saw attempts to make COVID fit the GFC template by expecting borrower distress despite massive fiscal support and, in [some quarters](#), to make the AI boom fit the COVID template of sudden mass job losses, at least in the US.

The current conflict in the Middle East is producing plenty of examples of this behaviour, again misguided. The US/Israel attack has not gone the same way as the US intervention in Venezuela, nor are the implications like those of Russia’s invasion of Ukraine. The geographic pinch-point of the Strait of Hormuz shapes both the energy-price implications and the military ones. The context also differs significantly: the world is not emerging from a pandemic, with macroeconomic policy highly expansionary and other supply chains already disrupted.

The domestic context in Australia also differs in important ways, particularly the ceiling on east coast wholesale gas prices introduced after the 2022 episode. We are also four years further along with [solar and battery installation](#). These changes mean that, for Australia, this is mostly an issue of fuel prices and availability, rather than electricity (as in 2022–23).

In addition, the current conflict bears little resemblance to the COVID pandemic, so policy responses should differ. We were surprised that work-from-home mandates have been seriously proposed. A fuel shortage is not a respiratory virus, and there is no reason to prevent or discourage workers from attending their workplace if they commute by foot, bicycle or public transport. Better responses would be to expand public transport coverage and frequency, encourage carpooling (including more extensive transit lanes), and cancel non-essential government travel. Only if those policies fail, or fuel shortages become so extreme that critical workers need to be prioritised, would WFH become an appropriate response.

Likewise, businesses are not facing a sudden loss of income as the community goes into lockdown. Income support measures should therefore be much more targeted, if they are needed at all.

The main similarity to the pandemic is stockpiling, as people fear downstream supply disruptions. Policy responses to address this make more sense than mandating work-from-home. Options include publicising the restocking of petrol stations that had run out of some fuels, as well as measures already taken such as temporary changes to fuel standards and the oil-for-gas supply [deal with Singapore](#).

A kinetic war between US/Israel and Iran could drag on without necessarily having its current dramatic impact on global energy markets. For the rest of the world, the key issues are closure of the Strait of Hormuz and actual or threatened damage to gas and other civilian infrastructure in non-combatant Gulf states. But closure of the Strait is a time-limited source of leverage for Iran. At some point, third-party countries will respond to the damage being done to them; already [some tankers](#) are being allowed through.

The immediate issue for the global and Australian economies is fuel availability. Higher prices will curb demand, but periods of localised unavailability will be especially disruptive.

The implications for macroeconomic policy depend on the broader effects on inflation and growth. The RBA was already hiking rates ahead of the outbreak of the conflict. Demand growth had picked up a little more sharply than they, or we, had expected. And with the economy no longer running with significant spare capacity as in the 2010s, even small upside demand or downside supply shocks show up in prices rather than being absorbed. More frequent policy adjustments should therefore be expected.

As [highlighted](#) by the RBA’s counterparts at the RBNZ, policymakers should ordinarily try to look through the first-round, fuel-specific impacts on inflation from a shock like

this. Second-round effects such as higher transport and materials costs flowing through to other prices may, however, require a response. A lift in inflation expectations is also a watch point. But if the supply-disruption element of the conflict fades over the next month or so, these effects will also be short-lived. While the update to our baseline forecast is more severe than this, the risks around it are two-sided. It will therefore pay to wait to see which scenario plays out ahead of the May meeting. A May rate hike is still on the cards for pre-existing domestic reasons, but pre-judging the second-round effects on inflation, and the need for any hikes beyond the next one, is a much less secure strategy.

In particular, we do not expect an out-of-cycle RBA decision. These are rare: the last one was in March 2020, just ahead of lockdown, and the one before that was in [1997](#), both to cut rates. Even during the GFC, there were no out-of-cycle policy decisions. The decision tree facing the RBA also does not require one. May seems a long way away, but by then either things will have de-escalated, or the war will have escalated, drawn in Gulf states and worsened energy supply. De-escalation would see some of the inflationary shock soon moderate, weakening the case for further policy tightening. Escalation would be an even larger negative shock to global growth than we are already facing, but also inflationary. With the Board already split on the need to hike expeditiously, we see neither the need, nor the appetite, to bring forward that decision in either scenario. This is not COVID, and we do not expect policymakers to act like it is.

Forecast changes

- The US/Israel–Iran conflict is likely to result in a more prolonged disruption to energy production in the Middle East and shipping through the Strait of Hormuz than we previously assumed.
- We have therefore revised our baseline forecast to assume an eight-week closure of the Strait of Hormuz and a slower recovery, compared with the previous assumption of a one-month closure and one month of recovery. Shipping traffic through the Strait is assumed to be closer to 20% of normal in May, with a gradual return to normal by year end.
- Oil is now expected to average US\$120/bbl (Brent) in Q2, from \$90/bbl previously. It is expected to remain \$13 higher even by the end of the year. Japanese LNG prices are expected to peak at a quarterly average of US\$26mmbtu over the next few quarters.
- We have also made more allowance for wider refinery margins and downstream flow-on from transport and fertiliser costs into prices, especially food prices, as well as some moderate second-round effects including wages. We continue to assess that there will be minimal impact on Australia's domestic electricity prices.
- For Australia, headline inflation peaks at 5.5% in 2026 Q2. Trimmed mean inflation is less affected but still peaks at 4% by end 2026.
- At 1.4%, GDP growth over 2026 is more than 1ppt weaker relative to pre-war forecast and 0.6ppts weaker than our March Market Outlook base case. The unemployment rate is also higher in the second half of 2026, reaching 4.7% in Q4.
- There have been no changes to our forecasts for interest rates and exchange rates.
- There are risks on both sides of this base case, depending on the progress of negotiations between US/Israel and Iran, the status of the Strait of Hormuz and whether there is further damage to energy infrastructure.
- Additional detail on our revised base case forecasts will be released on Monday.

Cliff Notes: a fork in the road

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

In Australia, [February's CPI](#) came in slightly below expectations, headline inflation ticking down to 3.7%yr from 3.8%yr, while trimmed mean inflation held steady at 3.3%yr. Constructive elements of the detail included: dwelling purchases posting its smallest increase in ten months; a below-expectations annual increase in education prices; and lower childcare costs, the result of increased take-up of the Childcare Subsidy following the introduction of the three-day guarantee. There were also a couple of upside surprises, however, most notable were clothing and some food-related categories. The impact from electricity rebates has also now abated, bringing reported electricity prices back into line with actual prices.

The net result is that the inflationary pulse Australia was experiencing prior to the current surge in fuel prices was marginally softer than expected. While fuel will undoubtedly boost headline inflation from March, the trimmed mean pulse is likely to hold above but near the top of the target range through 2026. For a detailed view of how each state's economy is positioned to weather coming headwinds, see our latest [Coast-to-Coast](#) report.

The Q1 [Westpac-ACCI Survey of Industrial Trends](#) meanwhile showed that the long-awaited improvement in manufacturing conditions is finally materialising, the Actual Composite rising to 59.3 – a strong expansionary read. Underpinning the move was a surge in output growth, another solid lift in new orders and, encouragingly, a rise in employment and overtime. Note though, this survey was largely completed before the onset of the Middle East conflict. Australian manufacturing's acute exposure to fuel and energy costs is likely to see a partial reversal in Q2 and a degree of apprehension over the outlook.

“the trimmed mean pulse is likely to hold above but near the top of the target range through 2026”

Offshore, data released was inconsequential. The preliminary March S&P Global PMIs for the major advanced economies unsurprisingly pointed to softer momentum and heightened inflationary pressures in the initial weeks of the Middle East conflict. FOMC members Bowman and Waller meanwhile were focused more on labour market weakness than inflation, though they felt it prudent to wait-a-while to assess the implications of the current conflict for price risks.

Regarding the state of the Middle East conflict, equity markets took solace in news the White House had been involved in initial intermediated discussions over the path to a ceasefire, although uncertainty over who in Iran's leadership will take the lead in any formal negotiations has kept participants guessing on both the timing and potential success of these initiatives. The overnight extension of the 5-day reprieve for Iranian energy infrastructure by President Trump to 10 days is a positive step towards fruitful negotiations, however.

Iran's military actions have also been relatively contained this week, and safe passage through the Strait of Hormuz has been provided to several ships, consistent with prior communications from Iranian officials that ships operated by countries not involved in the conflict are free to transit if Iran's conditions are met. It is not clear if this includes a payment of up to US\$2 million per shipment as previously telegraphed. If Iranian authorities hold to this guidance, China's fleet and vessels from other non-aligned countries such as Malaysia (a key supplier to Australia who reportedly reached an agreement with Iran overnight) could slowly reduce the current global deficiency in crude and LNG supply, even if the US/Israel and Iran continue military actions against one another. The key risk remains the intentional, or unintentional, destruction of production and/or logistics facilities, turning a temporary loss of supply into an enduring one. The duration of this conflict and lost supply matters a great deal to both the persistence of global consumer inflation and the policy outlook.

Inflation up, growth down, OCR on hold?



Kelly Eckhold
Chief Economist NZ

As the war has drawn on and evidence of disruption to the NZ economy has accumulated, we have had another cut at estimating the impact on the economic outlook. The hit to growth and employment looks significant and inflation is set to move well above the top of the RBNZ's target range. The RBNZ noted an intention to try and look through the direct impacts of the shock. But there is significant uncertainty around the outlook so we should be humble around what we know now about how things will develop over the year ahead.

The Iran war is expected to significantly crimp the previously expected recovery.

The Iran war has not moderated in the last couple of weeks and in some sense the pressure on the New Zealand economy has intensified as early hopes of a fast resolution and quick return to global economic normality have waned. We can't say with any certainty when the conflict will end. But we now think it will be at least another month until we see tangible signs of an end to the war with the possibility of more normal service to the global oil markets returning.

Crude oil prices have remained volatile but refined fuels markets have continued to tighten as the flow of crude oil around the world has now been constrained for more than three weeks. Damage to infrastructure in the Persian Gulf has accumulated which means that even if the war ended tomorrow, the path to normality will take some time. As refined fuels spreads are wider and capacity at the Asian refineries where we and our trading partners access fuel has declined, pressure has built on the economic outlook.

We continue to assume that the Iran war eases in around a month and that crude oil and refined fuels prices will gradually ease over the rest of 2026. Crude oil prices are expected to drop back to around pre-war levels by the start of 2027. However, refined fuels prices remain elevated compared to levels seen a few months ago as we expect some element of a war risk premium to remain, and damage to infrastructure may take time to repair. That means inflation in New Zealand will likely linger at elevated levels for much of this year.

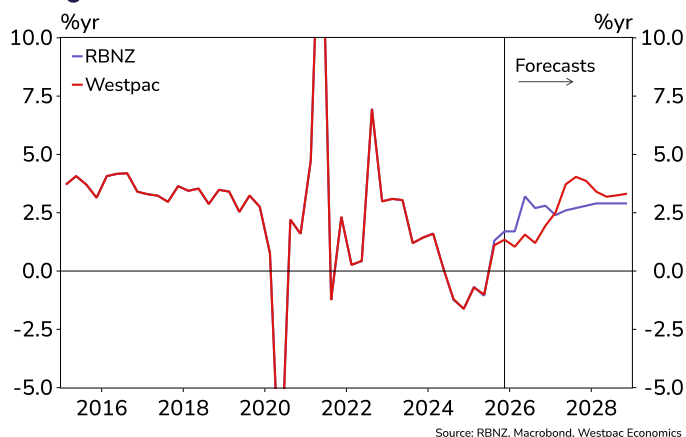
We think that the Iran War will have damaged confidence in the household and business sectors and will be prompting changes in spending and investment plans given people have no real idea on when conditions will improve. We saw an early read on this with the monthly consumer confidence survey for March released today. This showed that consumer confidence

dropped sharply over the month and currently likely sits some distance below the average level of confidence reported for the month overall.

We've pulled down our forecast for GDP growth over 2026 to 1.9% (from 2.8% previously). In the very near term, we've pencilled in a fall in quarterly GDP of 0.4% in the June quarter. That's mainly due to an expected drop in household spending in response to increases in living costs and related falls in consumer confidence. Those headwinds will not be significantly offset by the Government's support package targeting lower income households.

We also expect weakness in investment spending over the coming year, with some businesses likely to delay major capital spending in response to the increased uncertainty about the outlook for economic growth and the near-term downturn in demand that may be experienced in some industries. We will learn more about this when the NZIER QSBO is available on 21 April.

GDP growth forecasts



The most direct impact of the shock on exports will be felt in the tourism sector, with the recent strong growth in international arrivals likely to be reversed for a period due to a combination of flight disruptions, much higher airfares and perhaps consumer reluctance to travel long distances. The economic impact will be partly mitigated by fewer New Zealanders choosing to holiday abroad. At this stage we have made no major changes to our forecasts for the volume of merchandise trade. As is usually the case in New Zealand, weaker global growth is likely to manifest mostly through lower prices, rather than lower volumes.

Growth is expected to pick up again next year as the eventual fall in oil prices boosts households' disposable incomes. However, the recovery in investment spending is expected to be more gradual, with businesses likely to remain cautious about major capital expenditure until they are confident that the recovery is entrenched.

We anticipate that the shock will put paid to the recovery in the labour market we had expected over 2026. We now expect unemployment will rise from 5.4% currently to 5.6% in the middle of this year, before easing back gradually. With a softer outlook for economic growth, businesses are likely to remain cautious about taking on new staff, and some firms may shed workers.

With weakness in activity and the jobs market, the overall level of wage inflation is expected to remain moderate in the near term (though some workers with specialised skills may be able to negotiate larger pay increases in response to the rise in living costs). Longer term, as the economy recovers, we are likely to see demands for larger cost-of-living adjustments to wages as workers try to claw back the loss in their purchasing power.

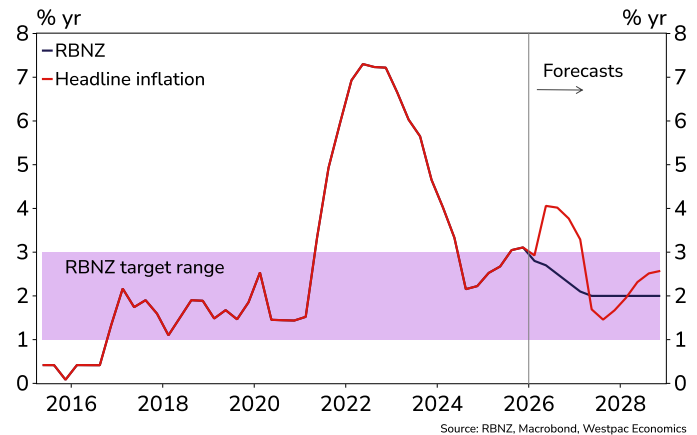
Another sector that won't likely see an improvement over 2026 now is the housing market. The hit to the household sector coming from the increase in fuel costs combined with the weaker labour market is likely to be a kick in the guts of a housing market that was already just treading water. We now expect house prices to fall around 1% over 2026 as buyers step back from the market. Further ahead, we expect a return to more moderate rates of house price growth.

Our revised economic outlook also has implications for the Government's fiscal position. As growth is expected to be weaker then so also will be government revenue. Spending is also likely to be higher than expected as unemployment rises. The Government's fuel package announced this week will have just a modest impact given the Government indicates that the roughly \$370 m cost implied will fit within current operating allowances. The bottom line is that the OBEGALx deficit in 2026/27 is now likely to be around \$4bn larger than we had forecast previously. A surplus might still be achievable in 2029/30, but the cumulative deficit over the forecast period would be around \$7-8bn higher than forecast previously, with net core Crown debt peaking at around 46% of GDP. Treasury's forecasts are likely to be more pessimistic than our own with implications for the forecast bond programme.

There are consequential implications for the inflation outlook. We now expect that inflation will peak at 4.1% in mid-2026, and that it will remain above 3% through the first quarter of 2027. That is up sharply from our previous forecasts, which assumed a peak in inflation of around 3.2%. And importantly, inflation is set to remain well above the levels the RBNZ had previously assumed for all of 2026. Higher refined fuels costs are the key driver here. There are direct impacts on petrol and diesel costs, but also indirect impacts through a broad range of goods and services.

When oil prices do eventually drop back, inflation is expected to fall to levels that are lower than we previously assumed (a pattern that is often seen in the wake of oil price spikes). In our updated projections, inflation is expected to briefly dip below 2% in late-2027, before rising back up to around 2.3% further ahead.

CPI inflation forecasts



The extent of the current uplift in inflation signals upside risk for inflation expectations and business price setting behaviour. In the near term, any uplift in output prices will be moderated by the softness in activity. However, when activity recovers, we expect some firms will attempt to rebuild margins, while workers are likely to ask for larger wage increases to offset the erosion of their purchasing power.

This leaves the question on how the RBNZ will respond to the significant change in circumstances. The RBNZ is "exquisitely skewed" between a much higher inflation outlook and the likelihood and increasing excess capacity amid weak growth.

Governor Breman released a speech this week discussing the framework the RBNZ expects to follow. Breman's emphasis was that policy would be focused on medium term inflation pressures, and that for now there's little evidence these have lifted by enough to justify near-term OCR hikes. Breman indicated that rate hikes will only be brought forward should there be an accumulation of evidence suggesting that the oil shock is generating second-round pressures on wages and prices, leading to higher inflation over the medium term. Those second-round effects – which are more likely to occur if the conflict is prolonged – are unlikely to be evident for some time.

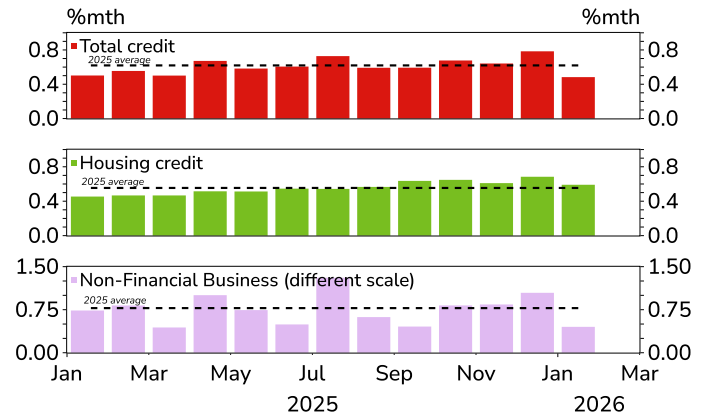
AUS: Feb Private Sector Credit (%mth)

Mar 31, Last: 0.5 Westpac f/c: 0.6
Mkt f/c: 0.6, Range: 0.2 to 0.7

Private sector credit growth reached 0.8%_{mth} in December but eased to 0.5%_{mth} in January, surprising to the downside as all major credit components reported weaker growth.

We expect growth to rebound to 0.6%_{mth} in February – slightly below the average pace of 0.7%_{mth} recorded in the second half of last year. The RBA cash rate increase in early February and weaker consumer sentiment at the start of the year are likely to affect credit flows with a lag. With house prices remaining firm, though somewhat lower than last year, credit growth should be supported for now. However, inflationary pressures and rising interest rate expectations from higher energy prices represent a downside risk for Q2 and beyond.

Private sector credit growth



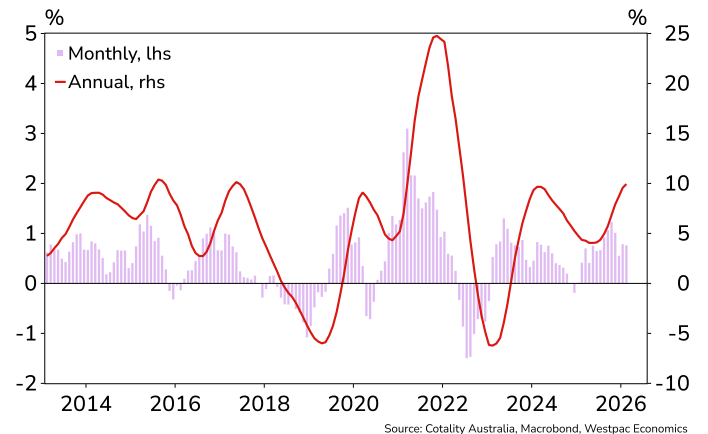
AUS: Mar Cotality Home Value Index (%mth)

Apr 1, Last: 0.6, Westpac f/c: 0.7

The Cotality home value index rose 0.6% in Feb following a 0.7%_{mth} in Jan, a 0.4% rise in Dec and 0.9-1.2%_{mth} gains through Aug-Nov. Despite the softer tone in recent months, annual growth still lifted, rising to 9.6%_{yr}. The detail shows a significant slowing in price growth and a pull-back in turnover in the Sydney and Melbourne markets but a much more muted slowing effect in other markets.

The daily measure points to a similar 0.7% rise for the March month, the detail again showing softness in Sydney and Melbourne but robust gains in Brisbane, Adelaide and Perth. Weekly auction activity – which is only a meaningful guide to conditions in Sydney and Melbourne – suggests there has been a further weakening in these markets into month-end.

Cotality home value index



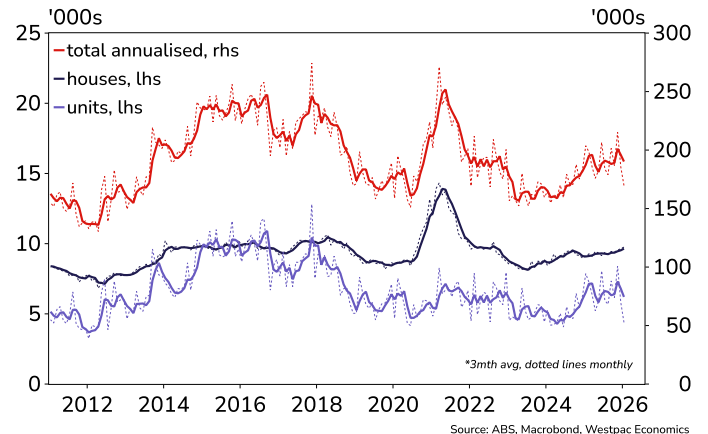
AUS: Feb Dwelling Approvals (%mth)

Apr 1, Last: -7.2, Westpac f/c: 5.0
Market f/c: 6.0, Range: -1.0 to 14.0

Dwelling approvals have been very choppy over the last six months, most recently falling 7.2% in Jan after a 14.9% drop in Dec unwind 15.9% jump in Nov, the swings driven by high rise. On a rolling 3mth avg basis, growth has slowed back to 0.9%_{qtr}. As always, housing data needs to be treated with more caution over the December-January low period.

Feb is likely to see some 'pop' higher for headline approvals, with high rise approvals coming off an 18mth low. The segment can be very hard to predict but is generally slower to respond to cyclical shifts, suggesting what we have seen recently is more likely to be lumpiness-related noise than a response to the changed interest rate environment. On balance we expect a 5% rise in total approvals with upside risks if high rise returns to average level of the last two years.

Approvals ascent re-emerges



AUS: Q1 Job Vacancies (%qtr)

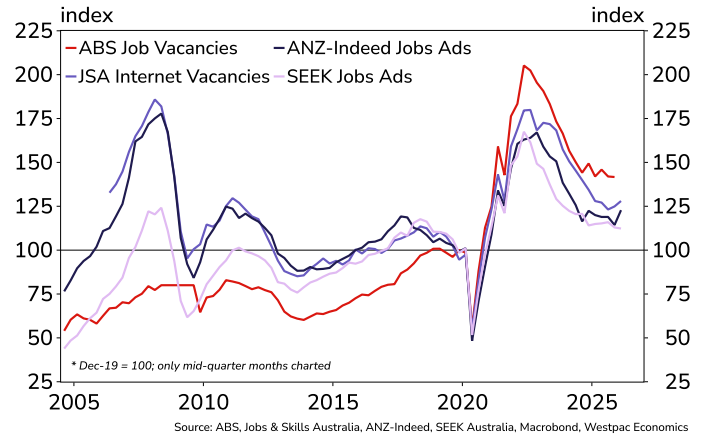
Apr 2, Last: -0.2, Westpac f/c: 3.0

Job vacancies fell by just -0.7k (-0.2%) between Aug and Nov, a smaller decline than expected. Over 2025, job vacancies have been broadly steady around 40% higher than pre-COVID levels.

While vacancies have been stable, the size of the labour force has continued to grow, seeing the vacancy rate nudge lower. The unemployment rate also gradually rose over last year. Overall, the labour market is operating around the Beveridge curve, suggesting the relationship between vacancies and unemployment is behaving broadly as expected.

Monthly partial indicators were on the stronger side in recent months, suggesting the official ABS stock measure of vacancies will likely bounce higher in Q1. We have pencilled in a lift of 3.0% for the quarter.

Partial indicators point to a lift in Q1



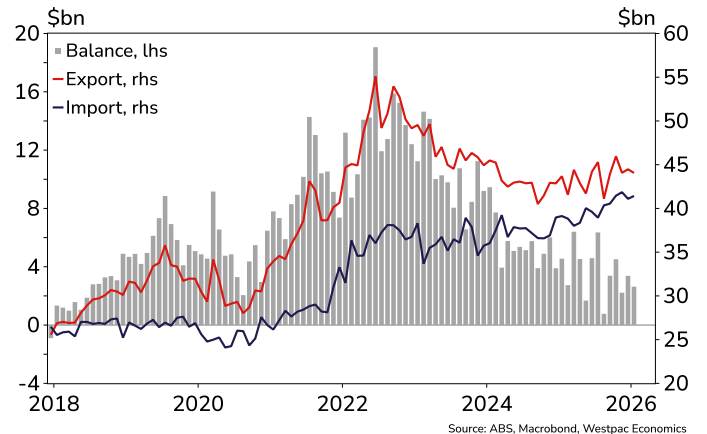
AUS: Feb Goods Trade Balance (\$bn)

Apr 2, Last: 2.6, Westpac f/c: 1.5
Mkt f/c: 2.9 Range: 1.5 to 3.5

Lower exports and higher imports saw the monthly goods trade surplus narrow to \$2.6bn in January. We expect this trend to continue in February – we forecast a further narrowing to \$1.5bn.

Major commodities are likely to report lower exports, as adverse weather has disrupted production and shipments. Coal production in Queensland appears to have been particularly affected. Iron ore shipments are also likely to decline. Significant AUD appreciation is set to weigh on exports of other goods. On the imports side, January saw large monthly changes across major categories, but overall imports increased by a relatively modest 0.8%mt. We may see notable compositional shifts again, although total imports are expected to be only slightly lower.

Goods trade balance

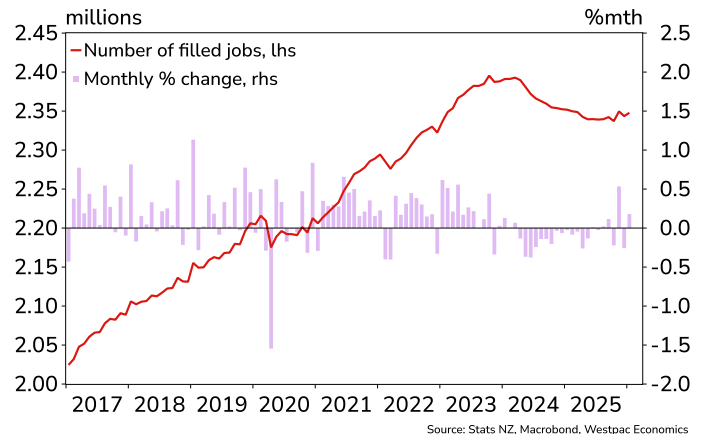


NZ: Feb Monthly Employment Indicator (%mth)

Mar 30, Last: 0.2, Westpac f/c: 0.6

The MEI is likely to add to the evidence that the New Zealand economy was regaining momentum prior to the Iran conflict. The weekly snapshots provided by Stats NZ are now running slightly higher than a year earlier, having been down year-on-year since mid-2024. For the February month, we expect an initial print of around +0.6%, although both that and the 0.2% rise in January are likely to be revised down a little in subsequent releases.

Monthly Employment Indicator

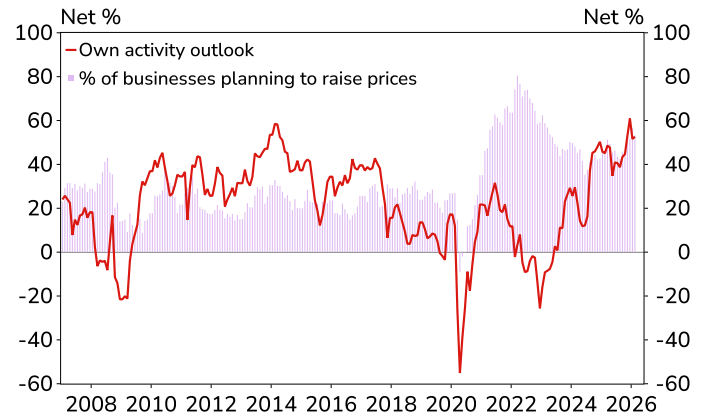


NZ: Mar ANZ Business Confidence (index)

Mar 31, Last: 59.2

ANZ's monthly survey is likely to show a sharp deterioration in business sentiment since the start of the Iran conflict – and as with their consumer confidence survey, it will have worsened over the course of the month, with the headline result only capturing the average. The surge in fuel prices will no doubt send inflation expectations and pricing intentions higher as well; the big question for the RBNZ will be around the potential for ongoing rounds of price increases, given that businesses' own customers are also facing a significant hit to their purchasing power.

Business confidence high prior to Iran conflict

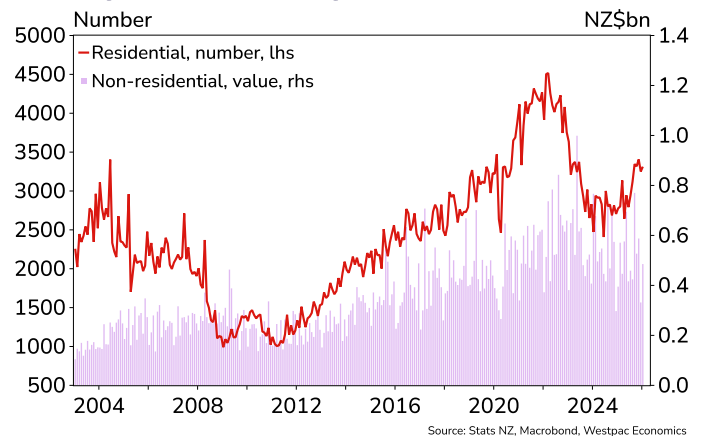


NZ: Feb Building Consents (%mth)

Apr 1, Last: 1.9, Westpac f/c: 5.0

Following a modest 2% rise in January, we're forecasting a 5% rise in dwelling consent numbers in February. That's in part due to an expected bounce in multi-unit consents after softness in January. More notably, if we smooth through the monthly swings, the total number of homes consented over the past 12 months has been trending higher and looks set to reach its highest level since 2023. But while this is encouraging, the lift in consents does pre-date the Middle East conflict and related increases in uncertainty around the economic outlook. We expect those factors will weigh on new construction over the year ahead.

Building consents picking up

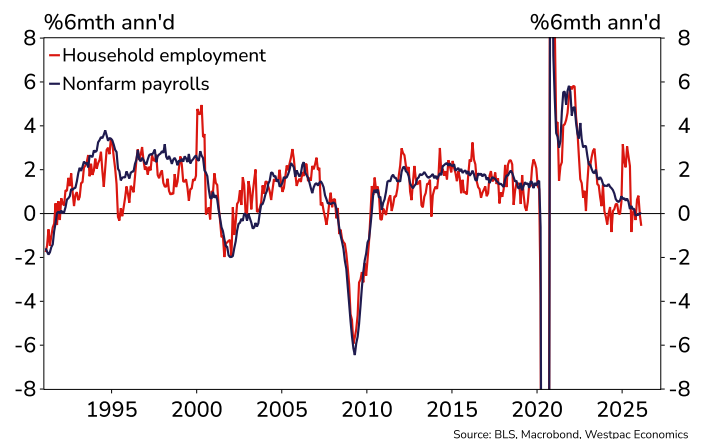


US: Mar employment report

Apr 3, payrolls, Last: -92k, WBC f/c: 70k, Mkt f/c: 51k
Apr 3, U/E rate, Last: 4.4%, WBC f/c: 4.4%, Mkt f/c: 4.4%

The US labour market surprised to the downside in February, with 92k jobs lost in the month and a 69k cumulative downward revision to December and January. Nonfarm payrolls employment rose by just 13k per month over the year to February, a marked step down from 89k the year prior. If this trend rate of growth continues for employment, the unemployment rate will edge up towards 5.0% through the remainder of the year. Given the comparatively low level of participation, there is also a risk of a step change in the unemployment rate any given month. For the FOMC, downside risks will have to be balanced against inflation pressures.

Labour demand has stalled



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 30							
NZ	Feb	Monthly Employment Indicator	%mth	0.2	–	0.6	Signs of picking up prior to the Iran conflict.
Eur	Mar	Economic Confidence Indicator	index	98.3	–	–	Economic sentiment set to drop on weak consumer confidence.
US	Mar	Dallas Fed Manufacturing survey	index	0.2	–	–	Volatile, but pointing to a tentative improvement in 2026.
		Fedspeak	–	–	–	–	Williams.
Tue 31							
Aus	Mar	RBA Minutes	–	–	–	–	Will provide more colour around the 5–4 split vote to hike.
	Feb	Private Sector Credit	%mth	0.5	0.6	0.6	With house prices firm credit growth should see support.
NZ	Mar	ANZ Business Confidence	index	59.2	–	–	An immediate response to the Iran conflict and fuel prices.
Jpn	Mar	Tokyo CPI	%ann	1.6	1.6	–	Core inflation decelerating but still sustainable.
	Feb	Jobless Rate	%	2.7	2.7	–	Labour market is softening marginally.
	Feb	Industrial Production	%mth	4.3	–2.0	–	Very strong start to the year for factory output.
Chn	Mar	NBS Manufacturing PMI	index	49.0	50.2	–	Factory activity softened as expected ...
	Mar	NBS Non-Manufacturing PMI	index	49.5	50.0	–	... post-LNY data will provide a clearer read.
Eur	Mar	HICP Inflation	%ann	1.9	2.7	–	ECB now forecasting inflation above target in 2026.
UK	Q4	GDP	%qtr	0.1	–	–	Final estimate.
US	Jan	S&P/CS Home Price Index	%mth	0.5	–	–	Stabilising but on fragile footing as confidence falters.
	Mar	Chicago PMI	index	57.7	–	–	Middle East conflict brings apparent exuberance into question.
	Mar	Conf. Board Consumer Confidence	index	91.2	88.0	–	Confidence revisiting pandemic- and tariff-era lows.
	Feb	JOLTS Job Openings	000s	6946	–	–	Labour market is not a source of inflationary pressure.
		Fedspeak	–	–	–	–	Goolsbee.
Wed 01							
Aus	Feb	Dwelling Approvals	%mth	–7.2	6.0	5.0	Volatile high-rise approvals to come off an 18-month low.
NZ	Feb	Building Permits	%mth	1.9	–	5.0	Consent issuance to continue trending higher.
Jpn	Q1	Tankan Large Manufacturers	index	15	16	–	How will manufacturers react to offshore risks?
Chn	Mar	RatingDog Manufacturing PMI	index	52.1	52.5	–	Suggests export-facing businesses are faring better.
Eur	Feb	Unemployment Rate	%	6.1	6.1	–	Continues to surprise and hit new record lows.
US	Mar	ADP Employment Change	000s	63	40	–	Been on the firmer side of official payrolls figures of late.
	Feb	Retail Sales	%mth	–0.2	0.4	–	Momentum decelerating but consistent with growth at trend.
	Mar	ISM Manufacturing	index	52.4	52.3	–	Echoing the positive signals from regional surveys recently.
		Fedspeak	–	–	–	–	Musalem.
World	Mar	S&P Global Manufacturing PMI	index	–	–	–	Final estimate for Japan, Europe, UK and US.
Thu 02							
Aus	Feb	Goods Trade Balance	\$bn	2.6	2.9	1.5	Adverse weather disruptions to major commodity exports.
	Q2	Job Vacancies	%qtr	–0.2	–	3.0	Monthly indicators point to a bounce in Q1.
US	Feb	Trade Balance	US\$bn	–54.5	–66.0	–	Volatile as companies adapt to tariffs.
		Initial Jobless Claims	000s	–	–	–	Still at a low level versus history.
Fri 03							
Chn	Mar	RatingDog Services PMI	index	56.7	53.7	–	Suggests Lunar New Year holiday spend was firm.
US	Mar	Nonfarm Payrolls	000s	–92	51	70	Jobs growth revised lower, strikes also temporarily weighing.
	Mar	Unemployment Rate	%	4.4	4.4	4.4	Constrained labour supply keeps unemployment low ...
	Mar	Average Hourly Earnings	%mth	0.4	0.3	–	... and wages growth fairly robust.
	Mar	ISM Services	index	56.1	–	–	Shaky confidence puts services activity boom at risk.
World	Mar	S&P Global Services PMI	index	–	–	–	Final estimate for Japan, US.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (27 Mar)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.35	4.35	4.35	4.35	4.35	4.35	3.85	3.60	3.60
90 Day BBSW	4.30	4.40	4.40	4.40	4.45	4.45	4.30	3.80	3.70	3.70
3 Year Swap	4.80	4.60	4.45	4.40	4.35	4.25	4.10	3.95	3.80	3.60
3 Year Bond	4.82	4.62	4.47	4.42	4.37	4.27	4.12	3.97	3.82	3.62
10 Year Bond	5.11	4.95	4.90	4.85	4.80	4.75	4.75	4.70	4.70	4.70
10 Year Spread to US (bps)	70	65	55	45	35	25	20	10	5	0
United States										
Fed Funds	3.625	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375
US 10 Year Bond	4.42	4.30	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70
New Zealand										
Cash	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.54	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.52	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.76	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	34	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (27 Mar)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.6909	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5761	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.64	156	155	154	152	150	148	146	144	142
EUR/USD	1.1542	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3343	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9128	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.1963	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.1	0.3	0.4	0.5	0.5	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.7	1.4	1.4	1.8	2.6	1.4	2.0	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.5	4.7	4.7	4.6	4.3	4.7	4.5	4.4
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
CPI Headline %qtr	1.3	0.6	1.4	2.1	0.7	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.1	5.5	4.8	4.5	3.6	2.1	3.6	4.5	2.4	2.7
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.7

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

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